Meeting of the Board
17 – 20 February 2025
Songdo, Incheon, Republic of Korea
Provisional agenda item 11

GCF/B.41/02/Add.10

27 January 2025

Consideration of funding proposals – Addendum X

Funding proposal package for FP262

Summary

This addendum contains the following six parts:

a) A funding proposal summary titled "Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal" by La Banque Agricole;
b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
c) Environmental and Social report(s) disclosure;
d) Independent Technical Advisory Panel's assessment;
e) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
f) Gender documentation of the funding proposal.

Table of Content

Funding Proposal

Project/Programme title:	Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal
Country(ies):	Senegal
Accredited Entity:	La Banque Agricole (LBA)
Date of first submission:	[2024/07/20]
Date of current submission	[2024/12/01]
Version number	[V.004]

GREEN CLIMATE FUND

Contents

Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the GCF Information Disclosure Policy, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

A. PROJECT/PROGRAMME SUMMARY

A.1. Project or programme	Programme	**A.2. Public or private sector**	Private
A.3. Request for Proposals (RFP)	*If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+.* Not applicable		

A.4. Result area(s)

*Check the applicable GCF result area(s) that the overall proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of **GCF and Co-financers' contribution** devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.*

	GCF contribution	**Co-financers' contribution**[1]
Mitigation total	15 %	15 %
☐ Energy generation and access	Enter number %	Enter number %
☐ Low-emission transport	Enter number %	Enter number %
☒ Buildings, cities, industries and appliances	4 %	4 %
☒ Forestry and land use	11 %	11 %
Adaptation total	85 %	85 %
☒ Most vulnerable people and communities	30 %	30%
☒ Health and well-being, and food and water security	55 %	55 %
☐ Infrastructure and built environment	Enter number %	Enter number %
☐ Ecosystems and ecosystem services	Enter number %	Enter number %

A.5. Expected mitigation outcome *(Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)*	*Indicate greenhouse gas (GHG) emission reductions or removals in tCO2eq over total lifespan of the project/programme*[2] ***3.76 million tCO2e***	**A.6. Expected adaptation outcome** *(Core indicator 2: direct and indirect beneficiaries reached)*	*Indicate total number of direct and indirect beneficiaries 687413*	
			Indicate number of direct beneficiaries	*Indicate number of indirect beneficiaries*
			152,266 (0.84% of Senegal's Population)	*535,147 (2.95% of Senegal's Population)*
A.7. Total financing (GCF + co-finance[3]**)**	48.425 million Euros	**A.9. Project size**	Small (Up to USD 50 million)	
A.8. Total GCF funding requested	23.425 million Euros *For multi-country proposals, please fill out annex 17.*			

[1] Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

[2] The total lifespan of the project/programme is defined as the maximum number of years over which the outcomes of the investment are expected to be effective. This is different from the project/programme implementation period.

[3] Refer to the Policy of Co-financing of the GCF.

A.10. Financial instrument(s) requested for the GCF funding	*Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.* ☒ Grant 4.725 million ☒ Loan 18.7 million ☐ Guarantee Enter number ☐ Equity Enter number ☐ Results-based payment Enter number		
A.11. Implementation period	*Indicate the number of years and months the project/ programme is expected to be implemented. 5 years*	**A.12. Total lifespan**	*Indicate the maximum number of years over which the outcomes of the investment are expected to be effective, i.e. to lead to adaptation and/or mitigation results. 20 years*
A.13. Expected date of AE internal approval	*This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/ programme, if available.* *7/31/2025*	**A.14. ESS category**	*Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category.* I-2
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	**A.16. Has Readiness or PPF support been used to prepare this FP?**	Yes ☒ No ☐
A.17. Is this FP included in the entity work programme?	Yes ☒ No ☐	**A.18. Is this FP included in the country programme?**	Yes ☒ No ☐
A.19. Complementarity and coherence	*Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.* Yes ☒ No ☐		
A.20. Executing Entity information	La Banque Agricole (LBA): LBA, the Accredited Entity, also acting as an executing entity for this Programme, will collaborate with Baobab Microfinance to jointly implement Component 1. Additionally, LBA will be solely responsible for executing Components 2, 3, and 4. Baobab Microfinance: Baobab Microfinance will co-execute Component 1 in partnership with LBA. Component 1: the AE and Baobab Microfinance Components 2, 3, and 4: LBA in the capacity of AE		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			

Provide an executive summary of the project/programme including:

In Senegal, agriculture's economic viability is heavily contingent on climatic conditions, with decreasing rainfall and rising temperatures posing significant challenges. Despite agriculture's substantial contribution to the Gross Domestic Product and its role as a primary source of livelihood for much of the population, sustainable financing remains a critical barrier to invest in low emissions and climate resilient measures while developing agricultural value chains and enhancing the resilience of the food system. This challenge is exacerbated by the scarcity of concessional funding for financial institutions and the insufficient allocation of public funds for agricultural development. Access to affordable agricultural credit holds immense potential to bolster food security, increase farm productivity, and raise household incomes, particularly in rural areas. It also encourages the adoption of Climate Smart Agricultural practices crucial for mitigating Senegal's vulnerability to climate change impacts. Compounded by the fiscal strain caused by COVID-19 and subsequent crises (such as the global inflation), the Senegalese government faced heightened financial pressures. Complementary funding is thus essential to bolster the adaptive capacity of smallholder farmers.

The Green Finance Facility aims to tackle the increasing need for concessional finance to bolster climate smart agriculture in Senegal through the following targeted interventions:

- Establishment of a dedicated line of credit for Climate-Smart Agriculture (CSA) investments, facilitated by La Banque Agricole (LBA) and Baobab Microfinance.
- Implementation of a pilot CSA digital lending platform to improve access to concessional loans for Micro, Small, and Medium Enterprises (MSMEs) engaged in agriculture.
- Provision of technical assistance to assist farmers and MSMEs in adopting and scaling up CSA practices, with a focus on reducing greenhouse gas emissions and enhancing climate resilience.
- Establishment of a knowledge management framework to document successes, lessons learned, and best practices in CSA, fostering an enabling environment for sustainable agriculture.

Climate Results: The Programme aims to achieve significant outcomes:

- **Reduced Emissions and Enhanced Resilience:** By promoting low-emission technologies and climate-smart practices including the use of renewable energy (primarily biogas), the Programme seeks to decrease greenhouse gas emissions and bolster agricultural resilience against climate change impacts.
- **Increased access to finance, financial inclusion and improved risk management in agricultural lending.** The Programme seeks to improve the access to finance by providing a concessional line of credit, which can be accessed traditionally at the bank branch, or digitally via the digital tools the Programme seeks to develop.
- **Strengthened policy frameworks, knowledge dissemination and enhanced institutional capacity to support the scaling-up of CSA**. This will encompass creating an enabling environment and dissemination platform for CSA.

Benefits of the Programme

- **Job creation**: Engaging MSMEs, service providers, asset financiers, and large corporates in programme activities is expected to drive job creation within the financed sectors.
- **Improved Food Security, Livelihoods and well-being:** Increased adoption of CSA practices is anticipated to enhance food security by boosting agricultural productivity and household incomes, particularly in rural areas.
- **Increased access to climate finance for women smallholder farmers and women-led MSMEs**: The Programme incorporates a technical assistance component that targets women, increasing their capacity in accessing financial product.

The Green Finance Facility for Climate-Smart Agriculture in Senegal addresses the dual challenges posed by climate change and limited agricultural financing. Through innovative financial mechanisms, technical assistance, and knowledge dissemination, the Programme endeavours to revolutionize agricultural practices, fortify resilience, and advance sustainable development amidst climate uncertainties.

La Banque Agricole (LBA) will support the small and medium holder farmers collaborating closely with Farmer Organizations (FOs), Cooperatives, Service providers/asset managers and Micro, Small, and Medium Enterprises (MSMEs) to facilitate concessional loans aimed at promoting climate-smart agricultural practices. LBA will administer a dedicated line of credit, enabling the targeted beneficiaries to access loans directly or indirectly (via Baobab Microfinance). Additionally, a CSA digital lending platform will improve the accessibility of concessional loans to farmers and MSMEs. Technical assistance will support Programme participants in adopting and scaling up CSA activities, while also demystifying CSA lending. Knowledge management activities will be implemented to document successes, lessons learned, and best practices in CSA, fostering an enabling environment for widespread adoption of climate-smart practices throughout the agricultural value chain. A Programme Management Unit (PMU) will oversee the day-to-day implementation of the Programme. LBA, as the accredited and main executing entity, will collaborate with BAOBAB Microfinance. The Programme aims to sequester **3.76 million tCO_2e** and build resilience of approximately 152,266 direct and 535,147 indirect beneficiaries.

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

1. Senegal, located in the far west of the African continent, spans a total area of 196,722 square kilometers and has an estimated population of 18,126,390 (2023)[4]. With a Human Development Index (HDI) of 0.517 (2022)[5], it is ranked among the least developed countries, placing 166th out of 189 countries and territories, reflecting a low level of human development in 2018. Poverty rates remain high, with 53.2% of the population considered multidimensionally poor. Between 2016 and 2018, approximately 1.8 million Senegalese faced hunger. About 70% of Senegal's population is employed in the agricultural sector, which contributes 17% to the GDP, with around 30% of this coming from the livestock sector. Agriculture occupies about 46% of Senegal's land, with 17% being arable. The sector is predominantly made up of very small family farms, which account for roughly 95% of the country's agricultural land. The agricultural sector remains highly vulnerable to weather shocks, which are expected to intensify due to climate change. Only 2% of cultivated land is irrigated, making Senegalese agriculture highly dependent on rainfall[6]. Moreover, agriculture and water resources are identified as the two most vulnerable sectors in Senegal's Nationally Determined Contributions (NDCs) adaptation component.

2. Agriculture is central to Senegal's economy and employment but is increasingly threatened by climate change. As part of the development of this funding proposal a dedicated climate risks and impact assessment relevant to this sector has been performed covering the different agro-ecological zones, using a combination of observational data, reanalysis data and Global Climate Model (GCM) outputs provided by NEX-GDDP-CMIP6 at 0.25° resolution. The study assessed climate conditions and their impact on crop production in three time periods: the present day (1981-2010), the near future (2015-2044) and the far future (2045-2074). It looked at key climate parameters such as temperature and precipitation, crop-related indicators, and analyzed climate indices recommended by the WMO expert team on climate change relevant to agriculture and human settlements. These indices also reflect climate hazards such as heat waves, droughts and floods.

a) Observed and projected impacts of climate change

Observed Climate (historical climate)

3. Analysis of past climate data over Senegal is very valuable for understanding climate variability and trends. Climatologically, more precipitation (> 250 mm) is recorded during June-August season over the Casamance and the southern part of the Senegal oriental regions for the period 1981-2010 as agreed in both gridded observation from the Climate Research Unit archive[7] (CRU) and ensemble of nine Global Climate Models (GCM) from NEX-GDDP-CMIP6[8]. Higher maximum temperature values (> 39 °C) are observed and well modelled in the March-May season, over the Senegal oriental and the southern part of the Ferlo regions.

4. The trend analysis from observational dataset (CRU) indicates that temperatures have increased significantly over the past period (1981-2010) in the six agro-ecological zones, with a maximum warming trend of about 0.23 and 0.47 degrees Celsius per decade in the Niayes region for minimum and maximum temperatures respectively (Table B.1.1). This warming trend is likely to have affected socio-economic activities in Senegal, such as agriculture, by increasing evapotranspiration rates.

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[4] Agence Nationale de la Statistique et de la démographie (ANSD), 2023; Senegalese Republic
[5] https://hdr.undp.org/data-center/specific-country-data#/countries/SEN
[6] Profil de risque climatique : Sénégal
[7] https://crudata.uea.ac.uk/cru/data/hrg/cru_ts_4.08/
[8] NASA Earth Exchange Global Daily Downscaled Climate Projections

Table B.1.1. *Historical trend of minimum and maximum temperature over the different agro-ecological zones for the period 1981-2010 as shown by the observational dataset (CRU)*

Agro-ecological zones	**Minimum temperature**		**Maximum temperature**	
	Slope (°C/decade)	Significant at 95% level	Slope (°C/decade)	significant
Bassin Arachidier	0.23	Yes	0.44	Yes
Casamance	0.24	Yes	0.44	Yes
Ferlo	0.2	Yes	0.42	Yes
Niayes	0.23	Yes	0.47	Yes
Senegal Oriental	0.22	Yes	0.40	Yes
Vallée du Fleuve Senegal	0.21	Yes	0.45	Yes

5. The western region (Niayes, western Bassin Arachidier, Casamance) has lower crop water requirements (around 3 mm/day) in the current climate, suggesting that crops in these areas have probably required less water, possibly due to favorable climatic conditions such as humidity or rainfall patterns. In contrast, the central and northern regions (e.g. vallée du fleuve Senegal) have significantly higher CWN values (around 6.02 mm/day), indicating that crops in these areas have required more water, possibly due to drier conditions or more intense heat, and this is likely to have negatively affected crop yields.
6. The suitability of different crops in Senegal based on both observed data and GCMs simulations over the historical period (1981-2010) shows that crops such as rice, onion and potato face particularly low suitability in critical areas such as the Vallée du Fleuve Senegal, Ferlo and Niayes, with suitability indices as low as 0.1 due to harsh climatic conditions and water scarcity. Other crops, such as groundnuts and tomatoes, show only marginal suitability, especially in regions with reduced rainfall, such as the northern zones. In contrast, the central regions, which receive more than 100 mm of rainfall per month, show better suitability for agriculture. The consistency of these findings in both observational data and GCM simulations underlines the robustness of the models and provides valuable foresight for future agricultural planning in the face of ongoing climate change.
7. In terms of crop yield over the period 1991-2022, most crops (banana, tomato, onion, potato, etc.) show an increasing trend in Senegal. While tomato shows an increase rate of about 382.22 g/ha/year, onion shows an increase of 5280.6 g/ha/year. However, it is important to note the inter-annual variability, with a sawtooth pattern for the crops. For instance, 2008 saw a drastic fall in tomato and potato production in Senegal.

Climate change projection

8. Future projections suggest that all regions will continue to experience significant temperature increases in the near future (2015-2044) under the two case CO_2 emission scenarios (SSP2-4.5 and SSP5-8.5). Under the SSP2-4.5 scenario, the highest minimum temperature increases of about 0.31°C per decade is predicted for the Ferlo region, while under the SSP5-8.5 scenario, it is predicted to be 0.49 °C per decade in the Senegal Oriental region. Similarly, the highest increase in maximum temperature is predicted to be about 0.27 °C per decade in the Senegal oriental under the SSP2-4.5 scenario, whereas it is predicted to be 0.38 °C per decade under SSP5-8.5 in the Vallée du Fleuve Senegal region.

9. Regarding climate hazards, the analysis suggests that indicators of heat stress, such as the heat wave frequency (HWF), heat wave number (HWN), and the Warm spell duration indicator (WSDI) are expected to increase significantly in all the regions in the near future (2015-2044) compared to the baseline. This rise in heat stress could adversely impact on the crop production in these regions.
10. Indicators related to flooding are projected to increase in both the near and distant future in all regions except Oriental Senegal. This could potentially lead to more frequent and severe flood events with immediate and severe consequences, including destruction of crops, loss of livestock and damage to infrastructure.
11. The analysis of the consecutive dry day (CDD) index, the standardized precipitation index and the standardized evapotranspiration index (SPEI) shows that most of the regions, especially when considering the SPEI, could experience longer dry spells, especially in the near and far futures. These longer periods without rain could have a negative impact on the agricultural sector, exacerbating water scarcity and affecting crop yields.
12. In terms of the crop-related indicators, the analysis shows that in the near future, crop water demand is expected to increase slightly by 0.1mm/day in most parts of the country, with the western region experiencing a more notable rise of up to 0.24mm/day under the SSP245 scenario. For the far-future period, the increase becomes more substantial, with rises of 0.22mm/day and 0.31mm/day under the SSP245 and SSP585 scenarios, respectively. The western and southern regions show a projected increase of 0.22mm/day under the SSP585 scenario, highlighting the importance of region-specific adaptation strategies to address these varying demands.
13. In the near future, the suitability index for most crops in Senegal is expected to rise compared to the baseline. For instance, banana suitability will improve in the Senegal Oriental zone, cowpea in the Niayes and Ferlo zones, groundnut in multiple zones including Niayes and Casamance, and maize and millet in several regions. However, onion suitability is projected to decline in the Vallée du Fleuve Senegal, Niayes, and Ferlo regions, and tomato suitability will decrease in Casamance but increase in the Vallée du Fleuve Senegal and northern Ferlo.
14. Looking ahead to the far future, banana suitability will decrease in much part of the Senegal Oriental zone. Groundnut suitability will improve in most areas but decrease in northern Senegal Oriental and southern Ferlo. Onion suitability will continue to decline in the Vallée du Fleuve Senegal, Niayes, and Ferlo regions. Meanwhile, tomato suitability will decrease in Casamance and southern Ferlo but increase in southern Ferlo and the Vallée du Fleuve Senegal.
15. Although the analysis shows an increase in the suitability indicator for most crops compared to the respective areas where they were financed, it is important to consider the suitability level of the baseline, which in most cases was below 0.4 (marginal suitability). This situation is more pronounced for onion and tomato production, where a deteriorating situation is observed for the near and far future compared to the baseline. It is therefore important to recommend adaptation measures to make these crops' production more resilient to climate change and profitable for the producers and the LBA. The table below shows the different climate risks relevant for each agro-geographical zone and the appropriate adaptation measures for the crops.

Table 1: Summary of climate risks and impacts assessment and proposed adaptation measures

Areas of intervention	**Climate Risks**	**Projected changes in crop suitability (climate change impact)**	**Adaptation measures**
Bassin du Fleuve Sénégal (**Rice**, **Tomato**, **Onion**, and **Potato**)	- Heat stress; - inundation; - Water stress	- Increase for rice but marginal in the present climate. - Decrease for onion and potato. - Decrease in some parts for tomato.	- **Crop Diversification:** Encourage farmers to diversify their crops by introducing alternative crops that are better suited to the changing climate conditions in each region. This can help mitigate the impact of decreasing onion suitability. - **Improved Irrigation Practices:** Invest in and promote improved irrigation techniques to ensure adequate water supply for onion cultivation, especially during periods of water stress caused by changing climate patterns. - **Varietal Selection:** Research and develop onion varieties that are more resilient to the anticipated changes in climate conditions, such as increased temperatures and altered rainfall patterns. - **Soil Management:** Implement soil conservation and management practices to maintain soil fertility and moisture retention, thereby enhancing the resilience of onion crops to changing environmental conditions. - **Capacity Building:** Provide training and extension services to farmers on climate-smart agricultural practices, including proper crop management techniques, pest and disease control, and efficient water use; - **Market Diversification:** Explore alternative markets for onions, both domestically and internationally, to reduce dependency on regions where suitability is decreasing and to mitigate potential economic losses. - **Policy Support:** Advocate for supportive policies at the national and regional levels that prioritize agricultural adaptation to climate change, including incentives for adopting climate-smart practices and investments in agricultural research and development.
Niayes + Ferlo (**Onion**, **Potato**, **Tomato**, **Groundnut**, **Cowpea**, and **Maize**)	- Heat stress; - inundation; - Water stress	- Decrease (increase) for cowpea, maize, potato, tomato, and groundnut. - Decrease for onion.	
Casamance (**Groundnut** and **Tomato**)	- Heat stress; - inundation; - Water stress	- Increase for groundnut but marginal in the day climate. - Decrease for tomato.	
Bassin Arachidier (**Groundnut**, **Maize**, **Millet**, and **Sorghum**)	- Heat stress; - Inundation; - Water stress	- Increase for groundnut in the near future. - Increase for maize in the near future. - Increase for the millet and the sorghum but marginal in the present-day climate.	
Sénégal oriental (**Banana**, **Groundnut**, and **Sorghum**)	- Heat stress; - Water stress	- Increase in some parts and decrease in others for banana, groundnut, and sorghum.	

Note on colour codes used in table 1:

(green)	Low risk
(orange)	Medium risk requiring adaptation measures
(red)	High risk

16. Senegal faces a range of natural hazards and risks, particularly flooding, droughts, wildfires, water scarcity, storms and extreme heat. The main climate-related natural hazards observed in Senegal between 1980 and 2020 were flooding followed by droughts as shown in the Figure 1[9].

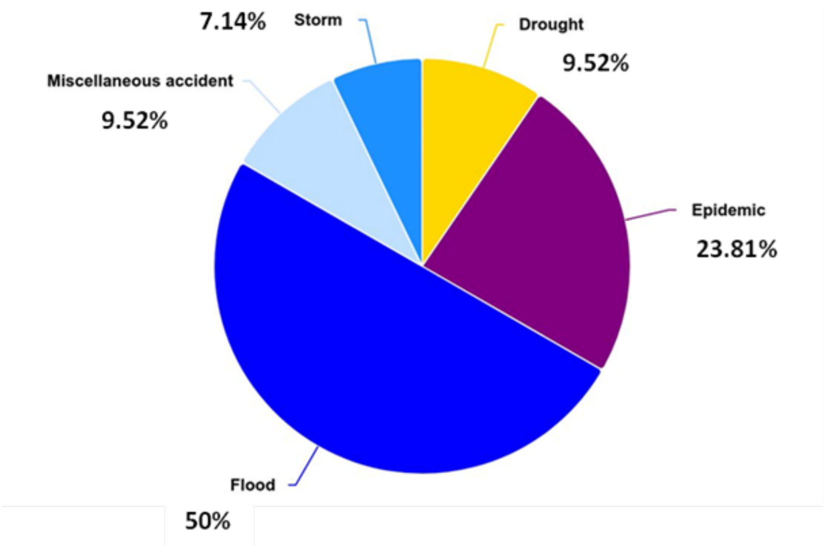

Figure 1: Average annual natural hazard occurrence for 1980-2020[10]

17. Livestock production is the livelihood of 60 per cent of Senegal's population, contributes about 30 per cent of agricultural GDP and is heterogeneously embedded in local food systems[11]. It consists of the pastoral system (northern Senegal), the agropastoral system (eastern and southern Senegal) and the off-land system (urban areas). In the pastoral system, drought affects the pasture production and water availability to the livestock production[12], especially in arid and semiarid zones. It has been shown in the current climate, a declining trends of water levels in the major surface water bodies, such as the Senegal river, as a result of frequent droughts[13]. The entire region could experience an increase in drought frequency in the future under both scenarios compared to the baseline. This could exacerbate water availability and adversely affect pasture production in the future.

18. In the agropastoral system, crop production is crucial for feeding livestock. Consequently, climate change and variability have significant negative impacts on livestock farming. Studies using process-based crop models and spatial scale analyses indicate a downward trend in yields for major crops in Senegal due to climate change[14,15]. This vulnerability is particularly pronounced in the Groundnut Basin, where the majority of farming (~97%) relies on rainfed agriculture[16]. For instance, groundnut yields in Senegal are projected to decline by 5 to 25% as a result of climate change. Additionally, the adoption of

[9] EM-DAT: The Emergency Events Database
[10] https://climateknowledgeportal.worldbank.org/country/senegal/vulnerability
[11] Molina-Flores, B.; Manzano-Baena, P.; Coulibaly, M.D. The Role of Livestock in Food Security, Poverty Reduction and Wealth Creation in West Africa; Bedane, B., Ed.; The Food and Agriculture Organization of the United Nations (FAO): Rome, Italy, 2020; ISBN 9789251323397
[12] Epule, E.T.; Peng, C.; Lepage, L.; Chen, Z. The Causes, Effects and Challenges of Sahelian Droughts: A Critical Review. Reg. Environ. Chang. 2014, 14, 145–156.
[13] Ciat, B.F.S. USAID Climate-Smart Agriculture in Senegal; International Center for Tropical Agriculture (CIAT); Bureau for Food Security, United States Agency for International Development (BFS/USAID): Washington, DC, USA, 2016
[14] Eeswaran, R., Nejadhashemi, A. P., Faye, A., Min, D., Prasad, P. V., & Ciampitti, I. A. (2022). Current and future challenges and opportunities for livestock farming in West Africa: Perspectives from the case of Senegal. *Agronomy*, *12*(8), 1818.
[15] Mechiche-Alami, A.; Abdi, A.M. Agricultural Productivity in Relation to Climate and Cropland Management in West Africa. Sci. Rep. 2020, 10, 3393.
[16] Ibid

seasonal climate forecast information for herd management among agro-pastoralists remains minimal and limited[17].

b) Current capacity to anticipate and respond to climate change

19. Smallholder farmers in Senegal face increasing challenges due to the uncertainty and variability of weather patterns driven by climate change[18]. With most crops being rainfed, yields are heavily dependent on precipitation, making them vulnerable to drought. However, both the duration and intensity of the rainy season have become increasingly unpredictable, and access to irrigation remains limited. Currently, only 2.1% of the total national cropland and 17% of the estimated 409,000 hectares of irrigation potential are equipped and utilized for irrigation[19]. Barriers to implementing adaptation strategies include limited access to finance and credit, insufficient technical support, insecure land tenure, and a lack of productive resources[20].

20. Even with substantial food assistance efforts over the past decades, food security continues to be a significant issue in Senegal. Climate risks such as droughts, floods, and heatwaves severely impact livelihoods, exacerbating environmental degradation, poverty, and food insecurity[21]. Given Senegal's high exposure and vulnerability to climate change, and in response to the Paris Agreement, the country is implementing both mitigation and adaptation measures across key economic sectors, including agriculture[22]. For example, the Senegalese government initiated the Senegal Emerging Plan (PSE) in 2014, which runs through 2035[23]. This plan integrates the need for adaptation in economic and social development policies to bolster the resilience of the country's production systems against the impacts of climate change. Furthermore, Senegal has recently completed sector-specific National Adaptation Plans (NAPs) for infrastructure, agriculture, water resources, coastal zones, livestock, fisheries, and public health.

21. Senegal is working to build economic resilience in the agriculture and livestock sectors to mitigate the impacts of climate shocks and stresses on communities while increasing revenues and safeguarding livelihoods[24]. Over the past seven years, USAID, in collaboration with IRI/Columbia University, has assisted the National Agency for Civil Aviation and Meteorology (ANACIM) in developing, processing, and disseminating weather and climate information services (WCIS) to bolster the resilience of farmers, fishers, and herders to climate change. This effort will continue over the next five years, with a focus on increased investment in the Weather and Climate Services (WCIS) value chain, expanding access to pay-for-service WCIS products, and advancing work on hydrometeorological services for flood control and drought management, as well as WCIS for nutrition services and health sector needs. Under the Feed the Future initiative, smallholders in Senegal are supported in high-potential horticulture and small ruminant value chains to adopt climate-smart agriculture (CSA) technologies and practices[25]. This includes scaling up the use of WCIS, developing index insurance products, and implementing ICT-enabled farmer subscription systems linked to mobile money payments and contracting models that incorporate enhanced climate risk mitigation through financial mechanisms.

[17] Kitchell, E. Information Sharing and Climate Risk Management among Senegalese Agropastoralists. Clim. Dev. 2016, 8, 158–168
[18] Trend Analysis in Rainfall, Reference Evapotranspiration and Aridity Index in Southern Senegal: Adaptation to the Vulnerability of Rainfed Rice Cultivation to Climate Change (scirp.org)
[19] AQUASTAT, "Irrigation and drainage development in Senegal," 2018.
[20] FAO and International Finance Corporation, "Senegal: Irrigation Market Brief. Country Highlights," Rome, Italy, 2016
[21] https://www.uncclearn.org/wp-content/uploads/library/wfp10.pdf
[22] https://www.usaid.gov/sites/default/files/2023-11/2023-USAID-Senegal-Climate-Change-Profile.pdf
[23] https://afripoli.org/climate-change-adaptation-in-senegal-strategies-initiatives-and-practices
[24] USAID.GOV/CLIMATE; SENEGAL CLIMATE CHANGE COUNTRY PROFILE
[25] https://www.rti.org/impact/scaling-agriculture-and-food-systems-senegal-reduce-poverty

Green House Gas emission

22. Senegal's greenhouse gas (GHG) emissions increased by 17.31 million tons of CO_2 equivalent (MtCO2e) from 1990 to 2021. The average annual change in total emissions during this period was 2.32%. Sector-specific average annual changes were as follows: agriculture (1.52%), energy (4.69%), land-use change and forestry (LUCF) (-0.65%), waste (2.95%), and industrial processes (10.85%). According to the World Resources Institute's Climate Analysis Indicators Tool (WRI CAIT)[26], the majority of Senegal's GHG emissions in 2021 originated from the agriculture sector (35.47%) and the energy sector (26.78%). These were followed by emissions from industrial processes (13.32%), waste (12.25%), and LUCF (12.16%).

23. Agricultural emissions saw a 36% increase from 1990 to 2021, driven by factors such as enteric fermentation, manure left on pasture, and the burning of savannah. Senegal's Third National Communication (TNC) notes that during this time, the area of cultivated land expanded, coinciding with a decrease in savannah, where much of the land clearing occurred to facilitate rain-fed agriculture.

24. Energy-related emissions rose by 7.34 MtCO2e between 1990 and 2021. According to the TNC, 55.5% of households used fuel wood for cooking, and 11% used charcoal. In 2013, households consumed 1,735,219 tons of fuel wood and 482,248 tons of charcoal, equivalent to harvesting 3,778,326 cubic meters of forest wood resources.

25. During the same timeframe, Senegal's GDP tripled, with an average annual growth rate of 3.7%[27], compared to a 2.9% increase in GHG emissions. Senegal's rise in per capita CO_2 emissions roughly mirrors its rise in GDP per capita along the same time span, increasing from 0.31 metric tons per capita in 1990 to 0.66 metric tons per capita in 2019. Hence, Senegal's per capita emissions roughly doubled from 1990 to 2019[28].

26. According to Senegal's revised Nationally Determined Contribution (NDC) in 2020, in 2015, the country emitted 10 $MtCO_2e$ from the energy sector and 8.32 $MtCO_2e$ from the agricultural sector. Table 2 below outlines the projected greenhouse gas (GHG) emissions by sector for Senegal from 2010 to 2030, as stated in the Nationally Determined Contributions (NDC) for 2020[29].

*Table 2: **GHG Emissions Projections by Sector to 2030 (in '000 tCO2e)***

Sector	**2010**	**2015**	**2020**	**2025**	**2030**
Energy	*6,165*	*10,080*	*13,060*	*19,512*	*23,927*
Agriculture	*7,354*	*8,323.9*	*9,110.7*	*9,903.4*	*10,600*
Waste	1,820	2,061	2,081	2,189	2,575
Industrial Processes and Product Use (IPPU)	1,412	1,986	3,146	3,953	3,953
TOTAL	16,752	21,637	25,404	32,648	37,761

Source: Senegal's NDC (2020)

27. Two sectors (Energy and Agriculture) emerge as the principal contributors to GHG emissions at the national level. The energy sector is projected to experience exponential growth, accounting for over 50% of the country's total emissions by 2022. Meanwhile, emissions from the agricultural sector are expected to increase gradually and steadily until 2030.

[26] https://www.climatewatchdata.org/countries/SEN?end_year=2022&source=PIK&start_year=1850
[27] https://futures.issafrica.org/geographic/countries/senegal/
[28] https://www.american.edu/cas/economics/ejournal/upload/global_majority_e_journal_15_1_minden.pdf
[29] Senegal's NDC (2020)

Existing national policies, strategies and programmes

28. The Plan Senegal Emergent (PSE) 2024-2028 and its Priority Action Plan 3 provides the framework for implementing CC-related measures included in various policies:

Table 3: Applicable Policies and Programs

Policy/Program	Key Actions/Measures
National Strategy for Food Sovereignty (2024-2028)	Adaptation: - Hydro-agricultural development with 1,442 billion FCFA investment - Promoting agroecology, bio-organic fertilizers, family composting units, pilot villages/fields, climate information services, agricultural insurance, and resilient livestock systems Mitigation: - Bringing peri-urban livestock farms in line with environmental regulations, promoting climate-smart practices
Agricultural Program for Sustainable Food Sovereignty (PASAD) 2022-2026	Water recovery project for the development of value chains (PROVALE-CV): - Modernizing agricultural infrastructure - Effective Water management - Restoring degraded land
Nationally Determined Contribution (NDC) (2020)	Adaptation: - Use of adapted seed varieties - Diversified production systems - Integrated agriculture-livestock-forestry systems - Increased access to Climate information services - Water management systems e.g., Transforming 28,500 ha of irrigated rice to System of Rice Intensification (SRI) - Restoring degraded landscapes - Establishing 100,000 ha of Assisted Natural Regeneration - Restoring soil organic fertility – 4,500 ha with compost use Mitigation: - Realization of 27 000 organic digesters by 2030 (unconditional scenario) The Programme aims to align its activities to the NDC thus leading to: - The increase in carbon sequestration through the implementation of projects related to the agroforestry practices. - Strengthening the portfolio of projects approved at the GCF for the implementation of NDC - Information, awareness and capacity building of national actors involved in the fight against climate change
National Adaptation Plan for the Agriculture Sector in the face of Climate Change 2023-2035	Priority Projects under the programme: - Management and development of water resources - Promotion of good agricultural practices - Sustainable agricultural practices and value chains - Scaling-up intensive rice-growing system - Climate risk management - Monitoring-evaluation system for adaptation policies

LBA's Baseline Investments

29. La Banque Agricole has demonstrated a strong commitment to supporting climate-smart agricultural practices through a variety of baseline investments, listed in Table 4 below. This table summarizes LBA’s previous investments, highlighting the lessons that inform and enhance the GCFF to foster climate smart agriculture in Senegal.

Table 4: LBA Baseline Investments

Programme	Description	Key Lessons Learned and Application to the GCFF
Line of credit from Agence Française de Développement (AFD)	AFD provided a €15 million credit line in 2016 for Senegalese agricultural investments, plus a €300,000 grant for climate strategy development focused on Climate-Smart Agriculture (CSA). A second phase added €20 million to boost resource mobilization for climate strategies.	The AFD line of credit is dedicated to agriculture investment as a whole. In the second phase AFD and LBA set a target of 30% for climate investment. This €6 million euro serves as a co-financing for the GCFF providing a strong alignment with climate goals and targeted financing can drive sector resilience.
Green Credit Line and KfW Grant	KfW offers €15 million in credit for renewable energy to Senegalese institutions, plus €3 million in technical assistance and incentives. This complements the biogas initiatives in the current programme.	This dedicated facility for Renewable Energy Financing allows the Green Climate Finance Facility (GCFF) to enhance its Climate-Smart Agriculture (CSA) objectives by building on KfW's Green Credit Line investments and Technical Assistance Grant. KfW's financing incentives lower upfront financial barriers for farmers, fostering greater adoption of renewable energy technologies. This foundational support helps overcome energy-related challenges to agricultural resilience, highlighting the impact of collaborative investments in sustainable, climate-focused solutions. Together, these efforts contribute to a more resilient agricultural sector and emphasize the importance of joint action in climate adaptation and mitigation.
EIB Credit Lines	EIB is appraising a €30 million loan to support MSMEs and mid-cap agriculture, gender, and climate-focused activities.	The European Investment Bank (EIB) focuses on supporting MSMEs with a €30 million credit line dedicated to agriculture, gender, and climate-focused activities, while the Green Climate Finance Facility (GCFF) targets climate resilience for smallholder farmers. By combining these efforts, EIB and GCFF can provide a broader range of financial offerings tailored to diverse agricultural stakeholders. This collaboration enables both institutions to prioritize underserved segments—EIB strengthening access for MSMEs, and GCFF supporting primarily smallholders in adopting climate-smart practices. Together, these initiatives expand the reach of climate-smart agriculture (CSA) solutions and drive more inclusive and resilient agricultural outcomes.
Government Funds - PDCEJ	Government project funded by AfDB, including a 2 billion FCFA credit line managed by LBA, to enhance workforce and youth involvement in agriculture and solar energy.	This AfDB-funded government project, with its 2 billion FCFA credit line managed by LBA to enhance youth and workforce involvement in agriculture and solar energy, serves as a strategic baseline investment for the Green Climate Finance Facility (GCFF). By building foundational skills in sustainable agriculture and renewable energy among young people, it creates a pipeline of skilled individuals ready to adopt and implement climate-smart practices. This initial investment aligns well with GCFF's objectives, as it fosters a workforce already trained in climate-resilient techniques, enabling GCFF to scale up these efforts with targeted financial support. Additionally, the project's emphasis on renewable energy in agriculture complements GCFF's climate resilience goals, providing a strong platform for further investments that build on existing knowledge, capacity, and infrastructure.
LBA and CNAAS Agricultural Insurance Partnership	LBA collaborates with CNAAS for crop insurance since 2019, insuring 14B FCFA of loans, with 505.6M FCFA in premiums	The LBA-CNAAS crop insurance partnership serves as a valuable baseline investment for the Green Climate Finance Facility (GCFF) by establishing a proven risk mitigation mechanism in agricultural finance. With 14 billion FCFA in insured loans and demonstrated premium generation, this

	in 2022-23. Expansion includes index-bundled credit products.	collaboration provides a solid foundation for reducing the financial risks associated with climate impacts on agriculture. This model enables GCFF to integrate similar index-based insurance products within its own credit facilities, enhancing risk protection for smallholder farmers and agricultural businesses. By building on LBA's existing insurance framework, GCFF can expand access to climate-resilient finance, leveraging insurance as a tool to safeguard investments and promote sustainable agriculture under increasingly volatile climate conditions.
LBA-GIZ Partnership on Renewable Energy	GIZ trained 20 LBA staff in solar and biogas, launched a digital platform for SME financing, and is developing a green finance taxonomy.	GIZ's training of 20 LBA staff in solar and biogas, along with the launch of a digital platform for SME financing and development of a green finance taxonomy, establishes a foundational investment in green finance capacity for the Green Climate Finance Facility (GCFF). This initiative highlights the importance of employee training and digital tools for effective project implementation. For GCFF, it serves as a model to support biogas-related credit assessments and standardized loan checklists within its programs, ensuring that staff are equipped with the technical expertise and digital resources to evaluate and facilitate climate-smart investments accurately. By building on GIZ's groundwork, GCFF can further enhance its own green financing mechanisms, streamlining credit processes and promoting renewable energy adoption in agriculture.
National Domestic Biogas Program of Senegal (PNB-SN)	PNB-SN, LBA, and Cofina provide financing, with FONGIP-backed guarantees for biodigester installation. Over 3,000 biodigesters installed since 2010.	The financing partnership between PNB-SN, LBA, and Cofina, supported by FONGIP guarantees for biodigester installations, provides a valuable baseline investment for the Green Climate Finance Facility (GCFF). With over 3,000 biodigesters installed since 2010, this initiative highlights how guarantee mechanisms and quality standards can foster project scalability and lasting impact. For GCFF, this model underscores the potential of using guarantees to mitigate financial risk and maintain high standards in renewable energy investments. By tapping into similar guarantees, GCFF can bolster its biogas initiatives, helping meet national goals of 27,000 biodigesters by 2030 and advancing climate resilience in agriculture through sustainable energy adoption.

Complementarity with existing initiatives

30. The Programme seeks to build on the complementary actions carried out by the projects and programmes already ongoing in the agricultural sector, as listed in Table 5 below.

Table 5: Complementarity analysis

Programme	**Objectives**	**Description and Synergy**
Inclusive Green Financing Initiative (IGREENFIN I)	To develop climate-resilient, low-emission agriculture in the Great Green Wall countries with credit lines and technical assistance.	IGREENFIN I and the GCFF for fostering Climate-Smart Agriculture (CSA) in Senegal are strongly aligned in providing concessional credit lines for climate-resilient, low-emission agriculture. Together, they increase access to affordable loans and enhance technical skills for MSMEs, cooperatives, and Farmer Organizations (FOs). IGREENFIN I emphasizes renewable energy in agriculture, while the GCFF's expands the technology base by integrating biodigesters, thereby broadening climate-smart financial solutions in Senegal.
Africa Integrated Climate Risk Management Programme	To improve climate risk management for agricultural stakeholders	The Africa Integrated Climate Risk Management Programme promotes climate risk management through public initiatives that enhance climate information access and early warning systems, complementing LBA's GCFF private-sector credit line. Together, they reduce agricultural

	through climate information, early warning systems, and insurance.	vulnerability by equipping farmers with resilience strategies and tools, advancing LBA's objectives in climate risk reduction.
Government funds - DER/FJ	To finance agricultural equipment and promote entrepreneurship for women and youth with low-interest loans.	DER/FJ empowers youth and women entrepreneurs by supporting self-employment, funding, and skill development, with guidance and project monitoring. The GCFF's private-sector CSA credit line builds on this, supporting maturing ventures as they become eligible for concessional loans. This synergy fosters financial inclusion and extends affordable agricultural credit, aligning with Senegal's sustainable agriculture objectives.
Government funds - PROVALE-CV	To modernize agricultural infrastructure and value chains with a dedicated credit fund.	PROVALE-CV supports young and women agri-entrepreneurs in maximizing the impact of investments by developing agricultural value chains through water resource management. The GCFF's private-sector CSA credit line complements this by providing financing for climate-resilient agriculture, strengthening sustainable practices, and supporting value chain modernization alongside PROVALE-CV's infrastructure efforts.
Mastercard Foundation Credit Fund to Caurie Microfinance	To provide agricultural financing focused on biodigesters.	This EUR 1.5 million fund allowed LBA to pilot biodigester financing, helping to manage financial and technological risks. The GCFF's CSA credit line will scale up this initiative, meeting rising demand for biodigesters and enabling farmers to adopt clean energy solutions, thereby reducing emissions from traditional agricultural methods.
IFAD's PADAER II	To reduce poverty, enhance food security, and create jobs in rural areas.	PADAER II focuses on public-sector infrastructure and value chain development, which complements the GCFF's CSA private-sector credit line. By creating a strong foundation for agricultural value chains, PADAER II enhances the effectiveness of LBA's financing in driving sustainable agricultural practices.

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

Theory of change for the LBA Green Finance Facility for Climate-Smart Agriculture in Senegal

31. **Goal Statement:** IF concessional finance is made accessible to smallholder farmers and MSMEs for CSA investments, supported by the development of tailored financial products, risk assessment tools, capacity building, and knowledge-sharing, THEN Senegal's AFOLU sector will be resilient to climate change, enhancing the livelihood and resilience of communities BECAUSE smallholder farmers and MSMEs will be able to use finance and invest in climate-resilient technologies leading to reduced greenhouse gas emissions, and improved food security.
32. The Green Finance Facility for Climate-Smart Agriculture in Senegal is designed to drive systemic change in the agricultural sector by addressing key barriers and leveraging opportunities for low emissions, climate resilient and sustainable agriculture through the financial sector. By enhancing the financial and technical capacities of stakeholders, the Programme aims to create a resilient agricultural landscape that can withstand the impacts of climate change while supporting lower emission input coupled with economic development and food security. The theory of change provides a clear roadmap for achieving these goals, linking inputs to activities, outputs, outcomes, and impacts in a structured and coherent manner.

Assumptions and enabling conditions

33. The success of the Green Finance Facility for CSA in Senegal relies on several assumptions and enabling conditions.

- There is **sufficient demand from farmers and MSMEs** for CSA products, technologies, and financial services

- **Viability and Willingness of Smallholder Farmers to Take on Debt**: Smallholder farmers are financially capable and interested in securing loans to invest in climate-smart agricultural practices.
- **Supportive Policy Environment for CSA**: There is a favorable policy framework in place that promotes and encourages the adoption of CSA practices among farmers.
- **Access to Technical Expertise for CSA Implementation**: Programme stakeholders have the necessary technical skills and knowledge to effectively implement CSA practices.
- **Political and economic conditions in Senegal remain stable** enough to allow for uninterrupted Programme implementation

34. Together, these assumptions and enabling conditions form the foundation upon which the Programme aims to transform Senegal's agricultural sector into a more sustainable, resilient, and economically viable landscape. By addressing these factors, the Programme endeavors to overcome barriers and capitalize on opportunities to foster long-term agricultural development and environmental stewardship.

Risks and barriers analysis:

35. The proposed Programme aims to overcome significant risks and barriers that currently hinder the scaling up of CSA finance and practices in Senegal. They represent significant obstacles to achieving sustainable agricultural development and climate change resilience in the country. They include:

- **Economic risks may limit the ability of financial institutions to offer concessional credit**. The Senegalese economy continues to face headwinds as it recovers from the COVID-19 pandemic. The country is confronted with multiple shocks, including: (i) the halt of the cereal export agreement between Russia and Ukraine; (ii) the imposition of restrictions on rice exports by India; (iii) the appreciation of the U.S. dollar; (iv) increasingly stringent regional and global financial conditions, which have raised concerns about potential constraints on funding availability; and (v) instability in some neighboring countries, which has created additional uncertainty and weighed on economic activity[30].
- The prevalent **perception of high financial risks** associated with lending to the agricultural sector among local financial institutions (LFIs). This perception stems from the inherent variability in agricultural yields and incomes, which LFIs view as risky propositions. This perception limits their willingness to invest in agricultural initiatives such as CSA that could improve productivity and sustainability.
- The **challenging risk/return profile of agricultural lending worsens the situation**. High borrowing costs and strict loan terms discourage both lenders and borrowers from participating in agriculture/CSA financing. Despite the promising long-term benefits of adopting sustainable practices, the existing financial environment and offerings (high capital costs and interest rate, short maturity periods, tough collateral requirement) creates barriers that hinder substantial investment in agricultural resilience.
- Operational challenges further compound these issues, particularly the **Additional high transaction costs of delivering credit** to farmers, especially in remote rural areas. These logistical and financial burdens restrict access to essential funding needed to implement CSA technologies and practices effectively on the ground.
- A critical barrier is the **lack of understanding regarding climate risks and vulnerabilities among farmers and financial institutions** alike. This knowledge gap impedes informed decision-making and the adoption of CSA practices that could enhance agricultural resilience. Without comprehensive awareness and education on climate-smart strategies, stakeholders struggle to navigate and address climate challenges effectively.
- **Institutional weaknesses and policy gaps**. There is a general lack of coordination between key stakeholders involved in CSA practices, such as the relevant government ministries and civil society organizations. This often leads to fragmented implementation efforts, duplicative activities, and

[30] https://www.imf.org/-/media/Files/Publications/CR/2023/English/1SENEA2023003.ashx

inefficiencies in resource allocation. Senegal does not yet have a dedicated and comprehensive CSA policy framework that integrates climate adaptation, mitigation, and agricultural productivity. Existing policies, such as the *Plan Sénégal Émergent* (PSE) and National Adaptation Plans (NAPs), include elements of CSA but are not explicitly designed to drive widespread CSA adoption.

- **Low technical capacity to structure, finance and implement CSA oriented projects**. Many farmers and actors in the agricultural space lack comprehensive knowledge of CSA techniques, best practices, and the science behind climate resilience. CSA requires a holistic approach that incorporates not only agriculture but also land use, water management, and sustainable livelihoods.
- **Slow adoption of CSA practices.** Despite a highly positive attitude towards organic practices among both conventional and organic farmers, adoption remains extremely low[31,32]. Access to finance is limited for smallholder farmers and represents a significant barrier to adopting CSA practices[33]. This, coupled with limited agricultural extension services, are insufficient to meet the needs of farmers, especially in remote rural areas.

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36. To tackle these challenges effectively, a comprehensive approach is necessary. This involves mobilizing appropriate capital, including concessional and patient funding, alongside policy interventions, enhanced technical expertise, innovative financial tools, and efforts to fill knowledge gaps. By strategically addressing these barriers, this Programme aims to create a supportive environment conducive to widespread adoption of CSA practices throughout Senegal. The Programme proposes specific activities aimed at fostering CSA in Senegal. These include among others (for full list of activities, see section B3):

Establishment of Dedicated CSA Credit Line:

- **Activity 1.1.1:** Establish a dedicated line of credit for CSA Lending Operations. This initiative aims to enhance access to finance for smallholder farmers, enabling them to invest in climate-resilient agricultural practices.

Integration of Climate Risk Assessments:

- **Activity 2.1.1:** Integrate Climate Risk Assessments in Lending Operations. This activity enhances the ability of LBA to assess and manage risks associated with climate variability, thereby improving the viability of CSA investments.

Development of Climate-Smart Credit Products:

- **Activity 2.1.2:** Design and launch of climate-smart credit products specifically tailored to the needs of the agricultural sector. These products are structured to incentivize and support farmers in adopting sustainable farming practices that enhance resilience to climate change.

Capacity Building in CSA Technologies and Business Planning:

- **Activity 2.2.2:** Provision of training and capacity building workshops for farmers on CSA technologies and the development of CSA business plans. This initiative ensures that farmers are equipped with the necessary skills and knowledge to effectively implement sustainable agricultural practices

37. These activities and others are designed to create tangible outputs such as the establishment of a dedicated CSA credit line, integration of climate risk assessments into LBA financial operations, development of climate-smart lending tools, and formulation of policies supporting sustainable agriculture. Together, they aim to achieve outcomes including reduced greenhouse gas emissions,

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[31] https://doi.org/10.1016/j.jrurstud.2023.103158
[32] https://doi.org/10.1016/j.jafr.2023.100698
[33] https://climateknowledgeportal.worldbank.org/sites/default/files/2019-06/SENEGAL_CSA_Profile.pdf

improved food security, enhanced livelihoods, and strengthened institutional frameworks for climate-resilient agriculture in Senegal. The ToC diagram is presented below:

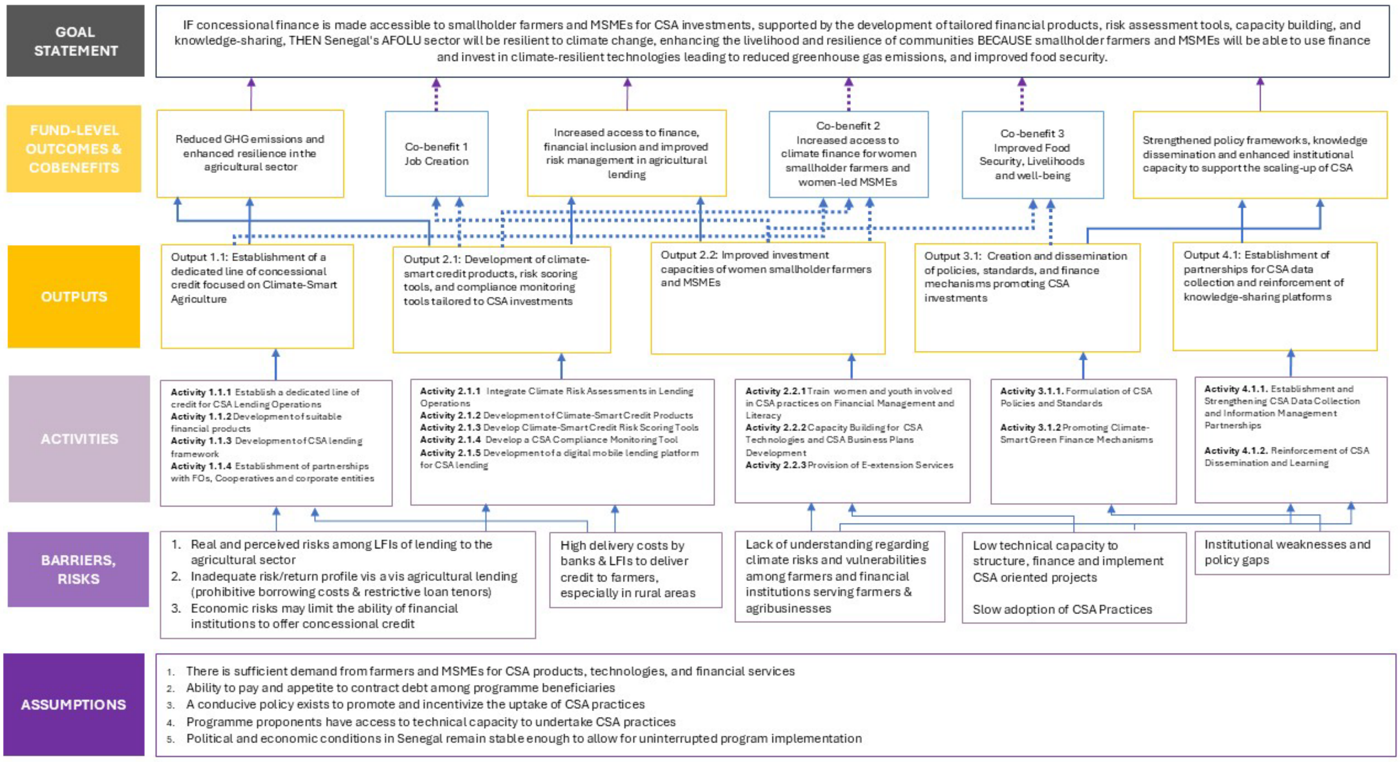


Figure 2: Theory of change diagram

38. The expected outcomes encompass several significant impacts:

- **Reduced GHG emissions and enhanced resilience in the agricultural sector**
- **Increased access to finance, financial inclusion and improved risk management in agricultural lending**
- **Strengthened policy frameworks, knowledge dissemination and enhanced institutional capacity to support the scale-up of CSA**

39. Additionally, the Programme aims to deliver the following co-benefits:

- **Job Creation:** Generating employment opportunities through the implementation of Climate-Smart Agriculture practices, contributing to economic growth and stability in rural areas.
- **Increased access to climate finance for women smallholder farmers and women-led MSMEs:** Empowering women through targeted training and inclusion in CSA activities, thereby enhancing their socio-economic resilience.
- **Improved Food Security, Livelihoods and well-being:** Promoting healthier living conditions and enhanced nutrition through improved food security and sustainable agricultural practices.

These outcomes and co-benefits underscore the Programme's holistic approach to fostering sustainable development, resilience to climate change, and inclusive growth within Senegal's agricultural sector.

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Outcome number	GCF Mitigation Results Area (MRA 1-4)				GCF Adaptation Results Area (ARA 1-4)			
	MRA 1 Energy generation and access	**MRA 2** Low-emission transport	**MRA 3** Building, cities, industries, appliances	**MRA 4** Forestry and land use	**ARA 1** Most vulnerable people and communities	**ARA 2** Health, well-being, food and water security	**ARA 3** Infrastructure and built environment	**ARA 4** Ecosystems and ecosystem services
Outcome 1 Reduced GHG emissions and enhanced resilience in the agricultural sector	☐	☐	☒	☒	☐	☐	☐	☐
Outcome 2 Increased access to finance, financial inclusion and improved risk management in agricultural lending	☐	☐	☒	☒	☒	☒	☐	☐
Outcome 3 Strengthened policy frameworks, knowledge dissemination and enhanced institutional capacity to support the scale-up of CSA	☐	☐	☒	☒	☒	☒	☐	☐

Co-benefit number	Co-benefit					
	Environmental	Social	Economic	Gender	Adaptation	Mitigation
Co-benefit 1: Job Creation	☐	☒	☒	☐	☐	☐
Co-benefit 2: Increased access to climate finance for women smallholder farmers and women-led MSMEs	☐	☒	☒	☒	☐	☐
Co-benefit 3: Improved food security, livelihoods, and wellbeing	☐	☒	☒	☐	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

40. The primary goal of the Green Climate Finance Facility for fostering Climate-smart agriculture in Senegal Programme is to enhance farm productivity, improve resilience to mitigate the impacts of drought, pests, shortened growing seasons, and erratic weather patterns, and reduce greenhouse gas emissions from unsustainable agricultural practices like slash-and-burn. The Programme's overall strategy relies on supporting the financial sector in developing green credit lines that are in line with Senegal's Nationally Determined Contributions (NDC) commitments. The Programme aims to accomplish these objectives by eliminating critical barriers to accessing both financial and non-financial services, thereby aiding farmers—especially those organized within MSMEs, Cooperatives, and Farmers' Organizations—in adopting and implementing climate-smart agricultural practices for enhanced productivity. Specifically, the Programme will:

- Lower the high costs of financing and extend the tenure of loans.
- Expand access to rural agricultural financial products.

- Encourage MSMEs, Cooperatives, and Farmers' Organizations to adopt climate-smart agricultural practices through concessional credit lines.
- Strengthen crop and pasture management practices to build resilience against current and future climate risks.

41. The Programme supports LBA's efforts to establish vertical integration of climate risks throughout its agriculture lending decision-making process embedding scientific evidence into financial investments, and to make the evidence-based business case for bankable private investment in climate change adaptation and resilience measures in the agriculture sector. The table below provide a summary of how the barriers identified will be addressed in this proposed Programme

Table 6: Barrier analysis

Market actor facing barrier	Barrier	How barrier will be addressed
LBA Baobab Microfinance	Economic risks may limit the ability of financial institutions to offer concessional credit LBA and Baobab have insufficient suitable capital (interest and tenor) to finance climate change projects in MSMEs	**A 1.1.1** Establishment of a dedicated line of credit for CSA lending operations
Baobab Microfinance	Real and perceived risks among LFIs such as Baobab Microfinance of lending to agricultural sector	**A1.1.2** Development of suitable financial products **A1.1.3** Development of a CSA lending framework **A2.1.2** Development of Climate-Smart Credit Products Climate-smart loan products and credit scoring will be developed to quantitatively assess farmer risks
LBA Baobab Microfinance	Inadequate risk/return profile vis a vis agricultural lending (prohibitive borrowing costs & restrictive loan tenors)	**A 1.1.1** Establishment of a dedicated line of credit for CSA lending operations **A1.1.2** Development of suitable financial products that integrate flexible repayment structures and at concessional interest rates **A2.1.2 – A2.1.4** Development of Climate-Smart Credit Products, credit scoring tools and compliance monitoring tools.
LBA	High delivery costs to deliver credit to farmers, especially in rural areas	**A2.1.5 Development of a digital mobile lending platform for CSA lending.** Through the digital lending platform, farmers in rural areas will be able to access credit facilities without physically visiting LBA, hence reducing overhead costs for LBA, while simultaneously increasing their outreach

LBA MSMEs, Farmers	Lack of climate risks & vulnerability knowledge among farmers and LBA serving farmers & agribusinesses	**A2.1.1 Integrate Climate Risk Assessments in Lending Operations–** LBA will be able to assess climate risks in their agricultural lending **A4.1.1.** Establish and Strengthen CSA Data Collection and Information Management Partnerships **A4.1.2**. Reinforcement of CSA Dissemination and Learning
Farmers MSMEs	Low technical capacity to structure, finance and implement CSA oriented projects Slow adoption of CSA practices	**A2.2.1** Train women and youth involved in CSA practices on Financial Management and Literacy **A2.2.2** Capacity Building for CSA Technologies and CSA Business Plans Development **A2.2.3** Provision of E-extension Services. This will involve leveraging digital platforms to deliver near real-time agricultural advice and best practices. This would be via a mobile and USSD application **A4.1.1.** Establishment and strengthening of CSA Data Collection and Information Management Partnerships **A4.1.2**. Reinforcement of CSA Dissemination and Learning
LBA, relevant government ministries	Institutional weaknesses and policy gaps	**A3.1.1. Formulation of CSA Policies and Standards –** The Programme will strive to create a CSA conducive environment that crowds-in private sector investment **A3.1.2 Promoting Climate-Smart Green Finance Mechanisms**

42. The overall Programme is projected to reduce or avoid approximately 3.76 million tons of CO_2 equivalent emissions and support the resilience for agriculture and food security for 152,266 direct beneficiaries representing 0.84% of the Senegalese population. The Programme is structured into four components, each focusing on strategic areas to improve the adoption of climate-smart agriculture among farmers

Component 1: Innovative Financing Facility to provide concessional loans to foster climate-smart agricultural practices.

Output 1.1: Establishment of a dedicated Line of Concessional Credit focused on Climate-smart agriculture

43. This output aims to establish a specialized concessional credit facility to accelerate the adoption of Climate-Smart Agriculture (CSA) practices. By providing affordable financing tailored to the needs of smallholder farmers and agribusinesses, the line of credit will enable investments in climate-resilient technologies, sustainable land management practices, and low-carbon solutions such as biodigesters and efficient irrigation systems. It will prioritize inclusive access, especially for women and marginalized groups, and work through financial institutions to ensure sustainability. This intervention is pivotal in reducing barriers to CSA adoption, enhancing productivity, and fostering resilience to climate shocks in agricultural systems.

Activity 1.1.1: Establish a dedicated line of credit for CSA Lending Operations

44. The goal is to enable MSMEs, women and youth organizations, cooperatives, and farmer organizations to access concessional loans with flexible terms to adopt CSA practices in the crop and livestock sectors. These practices span across three main clusters: crop production, livestock production, and energy for resilient agricultural processes (primarily biogas), and include:

- Crop production – Various strategies and techniques related to crop production, agricultural leasing, and post-harvest strategies as presented in the Table 7.

Table 7: Indicative list of eligible activities

Theme	Indicative list of eligible activities	Adaptation*	Mitigation
Energy	**Investment for the production, storage and/or use of renewable energy** - bioenergy equipment (biomass, waste, biogas and biofuels).		X
Water management	**Investment for the establishment, extension and/or maintenance of hydro-agricultural facilities and/or water conservation systems** - irrigated perimeters, canals, dams, dikes, basins, hill reservoirs, rainwater catchment system, wastewater reuse system, reservoirs, cisterns, water towers. - System for rice intensification (SRI) – intermittent irrigation, organic soil enrichment	X	
	Investment for the installation and/or replacement of irrigation systems - boreholes, wells, efficient water pumping system, wastewater reuse and recycling system, irrigation control systems, water meter, connectors, piping, multi-valves, Californian systems, sprinkling, micro-sprinkling, drip irrigation, low pressure systems, various irrigation equipment, etc.	X	
Agricultural Equipment	**Investment in the purchase, maintenance or repair of non-motorized (non-emissive) agricultural equipment** - Crop protection: greenhouses, micro/macro-tunnels, protective nets, anti-grain-eating bird devices. - Tillage for conservation agriculture: rake, harrows, rotary harrow, knife roller, strip-till, ripper, scarifiers, subsoiler, - Zai Pits and Half-Moon Techniques - Sowing and planting: direct seeders, multi-species seeders. - Spreading: manure/slurry spreader, straw spreader, etc. - Maintenance and weeding: mower, brush cutter, smooth rollers (control of cover crops), weeding tools. - Harvesting: lifter, mower, raker, tedder rake. - Transport: bicycle, cart, trailer, tipper. - Animals for draught or transport: ox, donkey, horse. - Other small manual and towed equipment. - Hydroponics solutions - Precision agriculture	X	
Breeding	**Investment in sustainable and resilient production, processing, storage and marketing of fodder** - Equipment for the production of fodder, motor mower, fodder choppers, rakes, balers, fodder bank infrastructures and equipment (silos, tarpaulins, sheds).	X	
	Investments for the establishment, maintenance or repair of infrastructure and/or equipment to promote the resilience of sedentary or semi-sedentary livestock farming - milk storage and processing, ventilation equipment, waterers.	X	
	Investments for the installation, maintenance or repair of biodigester equipment for the manufacture, use and/or sale of gases and organic fertilizers - biodigester infrastructure and equipment, manure collection and transport equipment, effluent and other raw material treatment systems, gas burners, gas light bulbs, piping, geomembrane.		X
	Investments for the installation of sustainable management equipment for silvo-pastoralism activities and rotary grazing - mobile fences, hedges, electric fences, drinking troughs.	X	X
Processing and storage	**Investments for the establishment of infrastructure and/or the purchase of equipment for the storage of local agricultural products and NTFPs (not imported)** - sheds, storage warehouses, silos, cold rooms (including solar), air conditioning equipment, storage equipment (pallets, insulation, bags, etc.).	X	
	Investments for the installation of equipment for the processing of agricultural products and NTFPs	X	

	- shellers, threshers, mills, grinders, presses, ovens, roasting equipment, mixers, pots, drying equipment (dryers), cooking equipment, sorting equipment, packaging equipment - Production of organic fertilizer - Production & development of certified climate-resilient seed materials and varieties.		
Forestry	**Any investment for the implementation and management of reforestation and/or forest plantations** (including NTFPs) - Nursery and plantation equipment, tree protection equipment, wood pruning, cutting and extraction equipment, etc. - Agroforestry practices in home gardens	X	
Climate information services	**Investment for the development of CIS solutions such as:** - Access to real-time climate information - Agronomic optimization techniques such as season duration and planting time management services. - Climate-informed irrigation calendar	X	
Other	**Miscellaneous working capital requirements (limitation on specific commitments on the entire Credit Line:** - Working capital requirements (WCR) for the production, packaging, storage, marketing and/or use of certified **climate resilient** seed - WCR for the import, production, storage, packaging, marketing and/or use of organic soil improvers and fertilisers, manure, compost, biofertilisers, biostimulants, bio-pesticides, etc. - WCR for the maintenance and/or repair of agricultural equipment to improve climate resilience as listed in the previous items - WCR for the operation, maintenance and/or repair of bio-digesters - WCR for the implementation and/or maintenance of reforestation and forest plantations	X	X

- Livestock production – Implementing agroforestry practices and cultivating forage crops to enhance the supply of high-quality feed, thereby reducing enteric methane emissions; utilizing low-emission feeds derived from crop by-products and co-products of the agri-food industry; establishing fodder banks.

- Energy – Biodigesters to convert waste into energy, providing a sustainable alternative to traditional energy sources. Investing in biodigesters under this Programme will facilitate the replacement of agrochemical fertilizers with bio-slurry (a by-product of biodigesters), which optimizes resource use, enhances crop yields, and reduces both fertilizer consumption and greenhouse gas (GHG) emissions. This approach also benefits farmers' health by minimizing their exposure to harmful agrochemicals and smoke from fuel wood used in cooking. Furthermore, investing in biodigesters alleviates the demand for fuel wood from forests, thereby decreasing the rate of deforestation and contributing to the reduction of GHG emissions.

45. Of the EUR 23.425 million requested from the GCF, EUR 18.7 million will be provided as a loan at GCF's concessional rates. Additionally, La Banque Agricole (LBA) will contribute EUR 15 million in co-financing, AFD EUR 6 million, while BAOBAB Microfinance will add another EUR 4 million as parallel financing. The remaining EUR 4.725 million from the GCF will be allocated as grant resources for various purposes, including technical assistance, capacity building (such as financial education), integration of E-extension services and climate information into loan terms, the design of climate-smart credit products and processes, digital mobile lending, development of climate-smart credit scoring tools, monitoring climate-smart compliance, fostering an enabling environment to promote widespread adoption of climate-smart agriculture (CSA), dissemination of CSA information, knowledge sharing, and overall program management. The credit line will be structured as a revolving fund to ensure continuous financing for CSA activities. The portfolio is tentatively structured as follows:

Table 8: Tentative portfolio structure

Category of Beneficiary	#	Type of Loan	Annual Average	Average Loan Size (*Min and Max loan size in square bracket*)	Purpose
Smallholder Farmers	142,490 over 20 years	One-year loans	7124 Smallholder Farmers per year	EUR 850 [500 - 1,200] per borrower	Working capital and asset financing for CSA practices and technology needs
Medium-scale Farmers	9,775 over 20 years	Two-year loans	978 Medium-scale Farmers every two years	EUR 4350 [1,201 - 7,500] per farmer	Scaling up CSA practices and technology adoption
Small and Medium-sized Enterprises (MSMEs) in Agri-processing	227 over 20 years	Five-year loans	57 MSMEs in agri-processing every five years	EUR 26,250 [1,701 - 45,000] per entity	Expansion of agri-processing capacity and adoption of climate-smart technologies
Service Providers and Asset Financiers	51 over 20 years	Five-year loans	13 Service providers and Asset financiers every five years	EUR 52,500 [45,001 - 60,000] per provider	Supporting agricultural services and asset financing aligned with CSA practices
Large Corporates (e.g., Large Contract Farmers)	18 over 20 years	Ten-year loans	9 Large corporate every ten years	EUR 230,000 [60,001 - 400,000] per entity	Major investments in large-scale CSA initiatives and technology integration

46. LBA as the principal credit provider for smallholder farmers across Senegal, accounts for 50–60% of microfinance products in the agricultural sector. LBA facilitates access to credit for both individual farmers and farmers' associations, supporting the financing of agricultural inputs and post-harvest activities. By providing on-lending opportunities to Programme participants either directly or indirectly (via Baobab Microfinance). LBA can significantly scale up agricultural lending, thereby increasing the availability of agricultural credit. Given LBA's substantial market share in agricultural lending and its role as the executing entity for the proposed Programme, the risk of negative market distortions is expected to be minimal. The Programme aims to increase the flow of credit towards sustainable agricultural practices, promoting a positive shift in the agricultural finance landscape.

47. Baobab Sénégal, established in 2007, has established itself as a leader in financial inclusion, supporting micro and small entrepreneurs throughout Senegal. By 2023, it had built a robust network of 54 branches, including 10 in Dakar, and employed 400 agents nationwide. During this period, Baobab Sénégal served 556,209 clients and employed 782 people, with a notable representation of women, comprising 38% of the workforce and 44% of credit recipients. The institution achieved a significant financial milestone with a credit portfolio of 147.3 billion FCFA (approximately €224 million), marking a 26% increase from 2022. Client deposits also saw a notable rise, increasing by 17% to 122.2 billion FCFA (approximately €186 million). In addition to its traditional services, Baobab Sénégal has been a pioneer in Climate Smart Agriculture lending, promoting sustainable agricultural practices. The institution

has prioritized digital transformation to enhance customer experience and extended its branch network to reach remote areas, thereby expanding its market presence.

Activity 1.1.2: Development of suitable financial products

48. This activity will enable LBA to advance financial inclusion for smallholder farmers, while simultaneously emphasizing and promoting the adoption of Climate-Smart Agriculture (CSA) practices throughout the agricultural value chain. Given that only an estimated 3% of total bank credit in Senegal is dedicated to agriculture, this initiative will help make high-cost technologies accessible and establish service delivery channels that facilitate access to financial services through digital lending, particularly in rural areas.

Activity 1.1.3: Development of a CSA lending framework

49. The credit line will concentrate solely on lending for CSA practices, thereby sustainably increasing agricultural productivity and incomes, enhancing adaptation and resilience to climate change, and reducing or removing greenhouse gas emissions where feasible. Applicants to loan under the CSA facility must be either existing or new clients of LBA or BAOBAB, present a project aligned with the objectives of the CSA facility, comply with Environmental and Social Safeguard (ESS) policies, and be restricted to Category B&C projects. Additionally, they must successfully undergo LBA's loan approval procedures. The final beneficiaries for each category of clients for the loans are selected according to the following indicative criteria in Table 9.

Table 9: GCFF indicative criteria

Beneficiary Categories	Average Loan Duration	Financing Type	Client Selection Criteria
Smallholder Farmers	**1 year**	- Working capital - Asset financing for CSA practices and technology needs	- Be an agricultural farmer (up to 5 ha) - Justify experience in agricultural activity - Demonstrate proof of the existence of land or proof of the rental of agricultural land - Be up to date in the payment of previous bank credits
Medium-Scale Farmers	**1-3 years (average 2 years)**	- Working capital - Investment credit to expand CSA practices and the adoption of low-carbon and climate-resilient technologies	- Be an agricultural farmer (between 5 - 50 ha) - Justify experience in agricultural activity - Demonstrate proof of the existence of land or proof of the rental of agricultural land - Be up to date in the payment of previous bank credits
MSMEs in Agri-processing	**Up to 5 years**	- Financing to increase Agricultural Processing Capacity; - Financing for adoption of Climate-Smart Technologies	- Justify solid experience in agricultural activity - Have fully settled previous bank loans - Have established financial statements - Present a clearly established business plan - Present a solid guarantee to the bank
Service Providers and Asset Financiers	**Up to 5 years**	- Agricultural services support financing; - Asset financing aligned with CSA practices	- Justify a solid experience in agricultural activity - Have fully settled previous bank loans - Have established financial statements - Present a clearly established business plan - Present a solid guarantee to the bank
Large Corporates	**Up to 10 years**	- Financing major investments for the adoption of large-scale CSA initiatives and technological integration	- Justify a solid experience in agricultural activity (above 50 ha) - Have fully settled previous bank loans - Have established financial statements - Present a clearly established business plan - Present a solid guarantee to the bank

			- Present solid environmental and social guarantees (Impact study, Environmental management plan)

50. LBA will strive to allocate 30-40% of the facility to benefit women and youth, with the objective of establishing at least one credit line specifically dedicated to women and one to youth, tailored to their unique needs and interests by the end of the 5-year Programme implementation period. This will be supported by the development of gender- and youth-inclusive protocols and policies for lending products.

Activity 1.1.4: Establishment of partnerships with FOs, Cooperatives and corporate entities

51. The Programme aims to engage 200 micro, small and medium-sized enterprises (MSMEs) within the agricultural value chain, including farmer organizations (FOs) and agricultural cooperatives, in collaboration with IFAD's IGREENFIN project. Additionally, 10 corporate entities, including parastatals involved in agricultural activities, will be eligible for the Line of Credit Facility. The identification and selection of CSA technology and service providers (under sub-activity 1.1.4b) will be undertaken as follows:

    1. Supplier identification - identify potential suppliers specializing in CSA technologies, including agriculture, livestock, and biodigester solutions. Request for Information (RFI) and/or Request for Proposal (RFP) documents will be circulated in the relevant industry channels to gather expressions of interest from suppliers and collect initial data on their capacity, technology standards, and experience.
    2. Pre-qualification and Vetting Process
        - Criteria Development: Develop detailed selection criteria focusing on suppliers' technical expertise, financial stability, quality assurance mechanisms, compliance with environmental standards, and previous experience with CSA technologies.
        - Due Diligence: Conduct due diligence to assess each interested supplier's compliance with national and international standards, including anti-corruption measures, ethical sourcing, and environmental certifications, to ensure alignment with LBA and GCF's procurement principles.
        - Pre-qualification of shortlisted suppliers, who will be recorded on a centralized database.
    3. Supplier Engagement and Partnership Agreements
        - Supplier Framework Agreements: Establish formal partnerships through framework agreements with selected suppliers, outlining terms of engagement, performance metrics, delivery timelines, and quality standards.
        - Monitoring and Quality Control: Set up a regular monitoring protocol to evaluate supplier performance and adherence to contract terms, including product quality, delivery timelines, and customer satisfaction.
    4. Supplier-Customer Referral System
        - Supplier Referral Agreements: Encourage and formalize agreements allowing suppliers to refer eligible customers (e.g., farmers, cooperatives) directly to LBA for financing under the GCFF, expanding access to financing for CSA technologies. Supplier Referral Agreements will include incentives and gender-based targets that encourage women and traditionally vulnerable groups to uptake GCFF credit facilities.

- Training on Customer Referrals: Develop training sessions to educate suppliers on eligibility criteria for credit applicants, ensuring that referrals are aligned with the program's target demographics and CSA objectives.
- Referral Monitoring: Implement a referral tracking system to monitor and assess the quality of referrals from suppliers, facilitating a feedback loop to maintain quality control and customer satisfaction.

Component 2: Capacity Building and Technical Assistance for LBA, FOs, women and youth organizations, cooperatives and MSMEs

52. This component aims to enhance technical skills essential for overcoming barriers to financing climate-smart agriculture (CSA) activities. It will enable LBA to provide climate-smart loans to smallholders, including women and youth, thereby reducing the climate risk of their loan portfolios. Beneficiaries include the La Banque Agricole (LBA), cooperatives, farmer organizations (FOs), and smallholder and medium holder farmers.

Output 2.1: Development of climate-smart credit products, risk scoring tools, and compliance monitoring tools tailored to CSA investments

Activity 2.1.1: **Integrate Climate Risk Assessments in Lending Operations**

53. Integrating climate risk assessment into lending operations is crucial for advancing Climate-Smart Agriculture (CSA) lending, as it enables financial institutions to better understand and mitigate the potential risks posed by climate change on agricultural productivity and farmer livelihoods. By incorporating climate risk factors—such as changing weather patterns, extreme weather events, water scarcity, and shifting pests and diseases—into lending decisions, financial institutions can ensure that their loans are more resilient and aligned with the long-term sustainability of agricultural practices. Climate risk assessments help to identify vulnerable farming systems, enabling the development of tailored financial products that support adaptation strategies, such as climate-resilient crop varieties, irrigation technologies, and agroforestry practices. Moreover, this approach enhances the ability of lenders to manage risk exposure by avoiding investments in high-risk areas, while fostering innovation in sustainable agricultural financing.
54. The CRA integration will be facilitated through the development of an online portal, along with providing training to LBA for effective use, maintenance, and enhancement of the portal. The Online Portal for financial institutions will enable them to access the results of climate-crop modelling, associated risks, and an impacts assessment tool for prioritization of climate-resilient adaptation measures in agriculture will be designed to help LBA improve their understanding of climate risk exposure in their agricultural loan portfolio and credit products. This analytical tool will estimate climate risk exposures based on the latest climate scenarios and their potential impacts on loan portfolios. Staff training for LBA on best practices in integrating climate risks and considerations within Senegal's and West African Economic and Monetary Union (WAEMU) banking regulations will be undertaken. The portal will undertake:
    - Estimation of farmers' climate risk depending on their location, crops grown and/or livestock kept, management practices implemented by the farmer (BAU Scenario).
    - Provide advisory services of appropriate CSA practices and technologies a farmer can undertake to sustainably improve productivity and increase resilience to climate change.
    - Re-calculation of farmers' climate risk based on the advice given in (2) above (Alternative CSA Scenario vis a vis BAU Scenario);
    - Undertake stress test analysis of the agricultural lending portfolio of LBA.

Activity 2.1.2: Development of Climate-Smart Credit Products

55. This activity seeks to cater to the needs of smallholder farmers, incorporating features like seasonal cash flow considerations, market conditions (through Warrantage), and weather index-based microinsurance. Loan terms will incentivize farmers to adopt CSA practices, offering options for different CSA adoption levels (Minimum, Bronze, Silver, and Gold), each with varying investments and incentives such as longer loan terms and lower interest rates.

Activity 2.1.3: Develop Climate-Smart Credit Risk Scoring Tools

56. These tools will help lenders make informed decisions, reduce default risks, and increase lending to smallholder farmers by combining cash flow estimates, climate risk assessments, and farm data to calculate creditworthiness. Compliance with climate-smart requirements will improve credit scores, while non-compliance will result in higher interest rates.

Activity 2.1.4: Develop a CSA Compliance Monitoring Tool

57. The activity aims to create a robust system for tracking and ensuring that Climate-Smart Agriculture (CSA) practices are implemented in line with established standards and program objectives. Using ICT and satellite imagery, this tool will monitor the adoption of CSA practices and ensure the appropriate use of funds, integrating with the credit scoring system. LBA will thus strengthen its ability to track progress, measure impact, and make informed decisions to optimize CSA interventions.

Activity 2.1.5: Development of a digital mobile lending platform for CSA lending

58. This initiative seeks to pilot a digital Climate-Smart Agriculture (CSA) mobile lending program, complementing LBA's traditional lending approach. Digital lending offers several benefits, including improving access to formal financial services (currently limited to 15%) and leveraging the high mobile penetration rate (53% as of 2017) to boost financial inclusion. By adopting this approach, LBA aligns with evolving trends in the Senegalese banking sector.
59. The digital lending platform will facilitate financial literacy, disseminate Environmental and Social Safeguards (ESS), and provide climate information services and risk assessment data. It also offers lower-cost services, particularly for customers in remote areas, and enables faster transactions along with enhanced risk management.
60. LBA will pilot this digital CSA mobile lending service specifically for smallholder farmers. These farmers will undergo climate-smart credit scoring based on established criteria before accessing credit. The pilot program aims to evaluate its effectiveness and collect feedback from potential users.

Output 2.2: Improved investment capacities of women smallholder farmers and MSMEs

61. This output focuses on training and support to increase the involvement of women and youth in CSA practices. This output will be carried out in synergy and conjunction with IFAD's IGEENFIN project for which LBA serves as the Executing Entity in Senegal. The aim is to optimize synergies while preventing any duplication of efforts. Activities include:

Activity 2.2.1: Train women and youth involved in CSA practices on Financial Management and Literacy

62. Providing agricultural extension and advisory services to meet loan terms and conditions and offering agribusiness training on post-harvest storage and value addition. The Programme is designed to provide dedicated Technical Assistance (TA) specifically aimed at supporting women and youth, recognizing

their unique challenges and opportunities in climate-smart agriculture and related initiatives. This TA will focus on building their capacity, enhancing skills, and ensuring they have access to the knowledge and tools needed to effectively participate in and benefit from climate-smart solutions. The objective is to empower these groups to contribute meaningfully to sustainable development while addressing climate resilience in their communities. However, no direct financial grants will be awarded to beneficiaries. Instead, all support will be delivered through targeted TA activities, which may include training, advisory services, capacity building, and facilitation of access to relevant networks and resources, ensuring a comprehensive and sustainable impact.

Activity 2.2.2: Capacity Building for CSA Technologies and CSA Business Plans Development.

63. The activity focuses on equipping MSMEs, FOs, and cooperatives with the knowledge and skills needed to effectively develop CSA-oriented business plans that integrate CSA technologies into financially sustainable and scalable business models. Through targeted training and expert guidance, participants will be supported in creating comprehensive business plans that outline the economic viability of adopting CSA practices, including cost-benefit analyses, financial projections, and market assessments. The business plans will enable participants to attract financing, secure partnerships, and scale their operations, ensuring long-term success and broader adoption of climate-smart solutions in agriculture.

Activity 2.2.3: Provision of E-extension Services.

64. Delivering services through multiple channels—such as farmer-to-farmer extensions, farmer field schools, radio, SMS, and e-extension platforms—in synergy with FP162 developed in seven Sahelian countries, including Senegal. The objective is to improve access to agro-climatic information and early warning systems to support integrated climate risk management. This collaboration will facilitate close partnership with Senegal's National Meteorological Agency (ANACIM).

65. Eligibility criteria for beneficiaries of Component 2 in the context of Senegal:

- Must be an active client of La Banque Agricole (LBA) with no outstanding or disputed credit.
- Must be a member of a recognized farmer cooperative in Senegal.
- Must meet the MSME eligibility requirements specific to Senegal.
- Must qualify as youth engaged in agricultural activities, based on the national definition of youth.
- Must be a registered farmer in Senegal.
- Must be a company involved in Climate-Smart Agriculture (CSA) activity
- Ability and commitment to comply with the requirements of the ESMF

66. LBA will make its best effort to achieve balanced participation, striving for a 50/50 gender ratio between women and men, as well as significant inclusion of youth, in all Technical Assistance Facility (TAF) activities.

Component 3: Enabling environment for CSA practice adoption enhanced

67. To ensure long-term sustainability and continuity of CSA practices beyond the Programme's disbursement period, efforts will focus on creating an enabling environment that fosters widespread adoption of CSA practices. This component will invest in establishing a supportive policy and regulatory framework to promote extensive adoption by farmers and agri-entrepreneurs. Key activities will include identifying opportunities for private sector involvement in climate change mitigation and adaptation and enhancing climate information services to help farmers plan their cropping seasons effectively. This

component aims to facilitate the harmonization of standards, the development of public-private partnerships, and the promotion of green financing. The initiatives will include:

- Establishing policies and regulations conducive to CSA practices.
- Identifying and promoting private sector opportunities in climate mitigation and adaptation.
- Enhancing climate information services for better agricultural planning.
- Supporting the alignment of standards, fostering public-private collaborations, and encouraging green finance solutions.

Output 3.1: Creation and dissemination of policies, standards, and finance mechanisms promoting CSA investments

68. This Output aims to establish an enabling environment that fosters the adoption of climate-smart agriculture (CSA). This involves developing robust policies and clear standards to guide CSA practices while ensuring alignment with national and international climate goals. Additionally, innovative and inclusive finance mechanisms will be designed to reduce financial barriers and incentivize investments in CSA technologies and practices. Dissemination efforts will ensure these tools and frameworks reach stakeholders at all levels, including policymakers, financial institutions, and smallholder farmers, driving widespread adoption and scaling of sustainable agricultural solutions.

Activity 3.1.1. Formulation of CSA Policies and Standards

69. There is a critical need for CSA practices to gain a competitive edge, achieve economies of scale, and ensure continuity of supply. To foster competitiveness and foster growth among farmers and agri-entrepreneurs, it is essential to establish enabling conditions. The planned activities include:

- Identifying measures to eliminate barriers hindering private sector investment in CSA practices and climate-smart agribusiness.
- Developing investment strategies for the public sector to enhance climate-smart agricultural practices and stimulate agribusiness growth;
- Establishing institutional and legal frameworks supportive of climate-smart agricultural practices and agribusiness. This involves addressing regulations, taxes, business registration, licenses, and the complexity of governmental involvement in the sector. The Programme will focus on identifying necessary reforms to facilitate business operations while promoting appropriate social, environmental, and climate standards

Activity 3.1.2 Promoting Climate-Smart Green Finance Mechanisms

70. Under this initiative, the Programme aims to facilitate dialogue between public and private sector stakeholders at the national level by convening an inter-ministerial committee and promoting the establishment of crop-specific Public-Private Partnership (PPP) forums focused on enhancing agricultural value chains. To stimulate increased private sector involvement in climate-resilient projects, the Programme will enhance the capacity of financial institutions to develop and direct investments into climate-smart agribusinesses. This will involve:

- Facilitating policy dialogues among the Ministry of Agriculture and Rural Equipment (MAER), Ministry of Livestock and Animal Production (MEPA), LBA, Local Financial Institutions (LFIs), and the Government of Senegal. The aim is to advance actionable policy reforms for enhanced private sector engagement and mobilization for climate adaptation in the agriculture sector.
- Coordinating policy dialogues between ANACIM (Senegal's National Meteorological Agency), LBA, and key stakeholders in the agriculture value chain. This will focus on addressing information gaps in agriculture and water resources monitoring and establishing best practices for gathering and disseminating information.

- Organizing policy dialogues between the Ministry of Finance, LBA, LFIs, and the Government of Senegal. The goal is to promote best practices for integrating climate risks into financing decisions.
- Implementing regulatory incentives such as tax breaks and risk-sharing mechanisms (e.g., microcredit bundled with weather-based index microinsurance subsidized by the government). These incentives aim to encourage large-scale mobilization of funds for climate-smart agribusiness ventures.

71. Beneficiaries of Component 3 may include:

- Government agencies responsible for agricultural and climate policy, regulation, and implementation.
- Farmer cooperatives and associations that advocate for sustainable agricultural practices.
- Micro, Small, and Medium Enterprises (MSMEs) involved in agriculture, especially those focused on climate-resilient and sustainable farming methods.
- Youth and women-led agricultural enterprises that support national priorities for inclusive and climate-smart agriculture.
- Financial institutions such as La Banque Agricole (LBA), which promote agricultural and rural development through climate finance.
- Non-Governmental Organizations (NGOs) and community-based organizations offering technical assistance and capacity building for sustainable agriculture.
- Research and academic institutions advancing innovation in Climate-Smart Agriculture (CSA).
- Private companies developing or supplying climate-smart technologies and solutions for the agricultural sector.

Component 4: Dissemination of CSA Information, Knowledge Sharing, and Documentation

72. This component focuses on the dissemination of public awareness materials related to green finance and the greening of financial systems in Senegal. It aims to ensure widespread awareness of the Programme among key stakeholders and beneficiaries, facilitating learning through the sharing of lessons learned and best practices. Activities include developing and implementing a communication strategy to engage women, youth groups (MSMEs, FOs), and cooperatives, establishing a Programme website, and creating promotional materials such as webinars and brochures. Success stories based on credit line advancements will be identified, and learning workshops and targeted presentations will be conducted for key stakeholders.

Output 4.1: Establishment of partnerships for CSA data collection and reinforcement of knowledge-sharing platforms

73. This output focuses on fostering strategic partnerships to enhance the collection and management of data related to climate-smart agriculture (CSA). By collaborating with research institutions, agricultural extension services, and technology providers, the initiative will ensure the generation of high-quality data that supports evidence-based decision-making. Additionally, the development and strengthening of knowledge-sharing platforms will enable the dissemination of best practices, innovations, and localized CSA solutions to farmers, stakeholders, and policymakers. These efforts aim to bridge information gaps, improve the scalability of CSA interventions, and promote sustainable agricultural practices across target regions.

Activity 4.1.1. Establishment and Strengthening CSA Data Collection and Information Management Partnerships

74. To promote the adoption of CSA practices and technologies tailored to local contexts and effective in addressing current and future climate risks, LBA will establish MoUs with key CSA agencies. This includes the Centre de Suivi Ecologique (CSE), Senegal’s National Meteorological Agency (ANACIM), Ministry of Agriculture and Rural Equipment (MAER), Ministry of Livestock and Animal Production

(MEPA), Directorate of Water, Forests, Hunting and Soil Conservation (DEFCCS), as well as international NGOs like USAID and OXFAM. These partnerships will develop a central repository under the CCASA/Senegal platform, facilitating easy reference and feedback collection from Programme stakeholders.

Activity 4.1.2. Reinforcement of CSA Dissemination and Learning

75. To promote widespread adoption of CSA practices and facilitate learning among stakeholders and beneficiaries, a communication and visibility strategy will be implemented. This includes developing promotional materials such as explainer videos, webinars, brochures, and publications. A dedicated Programme website will be established for information sharing, alongside documenting lessons learned through success case studies, learning workshops, and targeted presentations to key stakeholders.

76. All the beneficiaries of Component 1, Component 2, and Component 3 are also considered beneficiaries of Component 4, in addition to other projects and programs working within the agriculture and food security systems, as well as the general public interested in Climate-Smart Agriculture (CSA) practices.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

77. A Programme Management Unit (PMU) will be established within LBA to oversee efficient coordination, monitoring, and evaluation of Programme activities. The PMU will also focus on enhancing stakeholder awareness and participation and ensure technical and financial reporting in accordance with GCF standards. The unit will be led by a Programme Manager and collaborate with short- or long-term consultants (as appropriate) engaged in various roles such as finance manager, adaptation specialist, environmental specialist, gender & youth specialist, agricultural expert, and M&E specialist to provide comprehensive administrative support.

78. **LBA's Responsibilities:** LBA will oversee the implementation of the Programme, ensuring adherence to Green Climate Fund (GCF) policies and standards. It will be responsible for overall Programme management, comprehensive reporting, and monitoring, while ensuring compliance with GCF policies, including Environmental and Social Safeguards and the Gender Action Plan in line with the AMA and FAA requirements. LBA will implement a robust Monitoring and Evaluation system and manage Programme-related risks. It will facilitate stakeholder engagement through meetings with local stakeholders, the National Designated Authority (NDA), and sector representatives. Effective communication, reporting, and networking among stakeholders, beneficiaries, and contractors will also be facilitated by LBA. It will supervise Programme staff, negotiate contract terms, submit proposals to the GCF, prepare progress and completion reports, and oversee financial audits to ensure transparency.

79. The financial management of the Programme will adhere to international accounting standards, in line with LBA's accreditation requirements, ensuring a robust focus on transparency and accountability throughout the entire project lifecycle. LBA will implement a comprehensive financial monitoring system that guarantees accurate financial record-keeping and regular evaluations. Semi-annual internal audits will be conducted to oversee ongoing financial operations, while annual external audits will be carried out to ensure full compliance with both international standards and relevant regulatory frameworks. These audits are essential for detecting any potential financial discrepancies early and ensuring prompt corrective actions.

80. Moreover, LBA will establish and maintain detailed financial accounts, supported by stringent internal controls to mitigate risks of financial mismanagement. Regular financial reporting will be integral to this process, with detailed reports, including Annual Performance Reports (APR), being submitted to the Green Climate Fund (GCF) and other key stakeholders, such as the National Designated Authority (NDA). LBA will also oversee all financial transactions, ensure thorough preparation of financial reports, and guarantee that both progress and completion reports are subjected to comprehensive audits to uphold the highest levels of financial integrity and accountability.

81. **Baobab Microfinance's Responsibilities:** Baobab Microfinance, as a co-executing entity, will co execute component 1 in collaboration with LBA. BAOBAB Senegal was selected as the Executing Entity under the Green Climate Fund Facility (GCFF) for fostering climate-smart agriculture in Senegal following a comprehensive assessment of seven financial institutions. This evaluation highlighted BAOBAB's unique strengths and advantages:

- **Environmental and Social Standards (ESS) Compliance**: BAOBAB has implemented ESS standards, positioning it as a leader in sustainable finance among the assessed entities.
- **Alignment with GCF Agreements**: BAOBAB has shown a strong commitment to align with the Green Climate Fund's Accreditation Master Agreement (AMA) and Funding Activity Agreement (FAA), demonstrating its readiness to adhere to GCF policy requirements.
- **Proven Green Finance Capabilities**: BAOBAB's successful issuance of green bonds in the regional market demonstrates its strong track record in climate finance mobilization, underscoring its capacity to drive impactful climate-smart initiatives.
- **Targeted Financial Products**: BAOBAB offers a diverse suite of financial products tailored to agricultural needs, including digital micro loans, input loans for field crops, market gardening, and small equipment, along with flexible working capital options.
- **Loan Security and Repayment Flexibility**: BAOBAB provides a range of repayment options, such as pledged savings and asset pledges, to ensure that agricultural loans are accessible and secure for beneficiaries.
- **Commitment to Sustainability and Expansion**: BAOBAB has demonstrated a strong commitment to sustainability and a clear intent to increase its footprint in the agriculture sector across Senegal. Equipped with the necessary resources and capacity, BAOBAB is well-positioned to support a project with widespread national impact, directly contributing to Senegal's advancement of its Nationally Determined Contributions (NDC) goals in collaboration with La Banque Agricole (LBA).

82. While BAOBAB's historical focus on agricultural financing may not have been as strong, it has now fully integrated agricultural financing into its new strategic vision. This shift is indicative of BAOBAB's commitment to evolving and supporting key sectors that are vital for sustainable development. Additionally, BAOBAB has recently issued a social sustainability bond on the West African financial market (Abidjan), allocating 20% of the proceeds to finance agricultural projects. This includes the co-financing of this Programme, positioning BAOBAB as an institution with both the financial resources and strategic alignment needed to ensure the success of this Programme. BAOBAB's commitment to sustainability, demonstrated leadership, and strategic allocation of funds towards agriculture make it the best LFI to drive this Programme's objectives, particularly in enhancing sustainable and climate-resilient agricultural practices

83. BAOBAB's expected contribution derives from its track record and experience in microfinance. Baobab Microfinance operates a branchless banking network that facilitates transactions such as cash handling, loan repayments, and money transfers via biometric devices and laptops, promoting financial inclusion in remote areas.

~~84.~~ **NDA's Responsibilities:** Provides strategic oversight to ensure the Programme aligns with national climate and agricultural goals. They will also receive technical and strategic advice from Programme stakeholders.

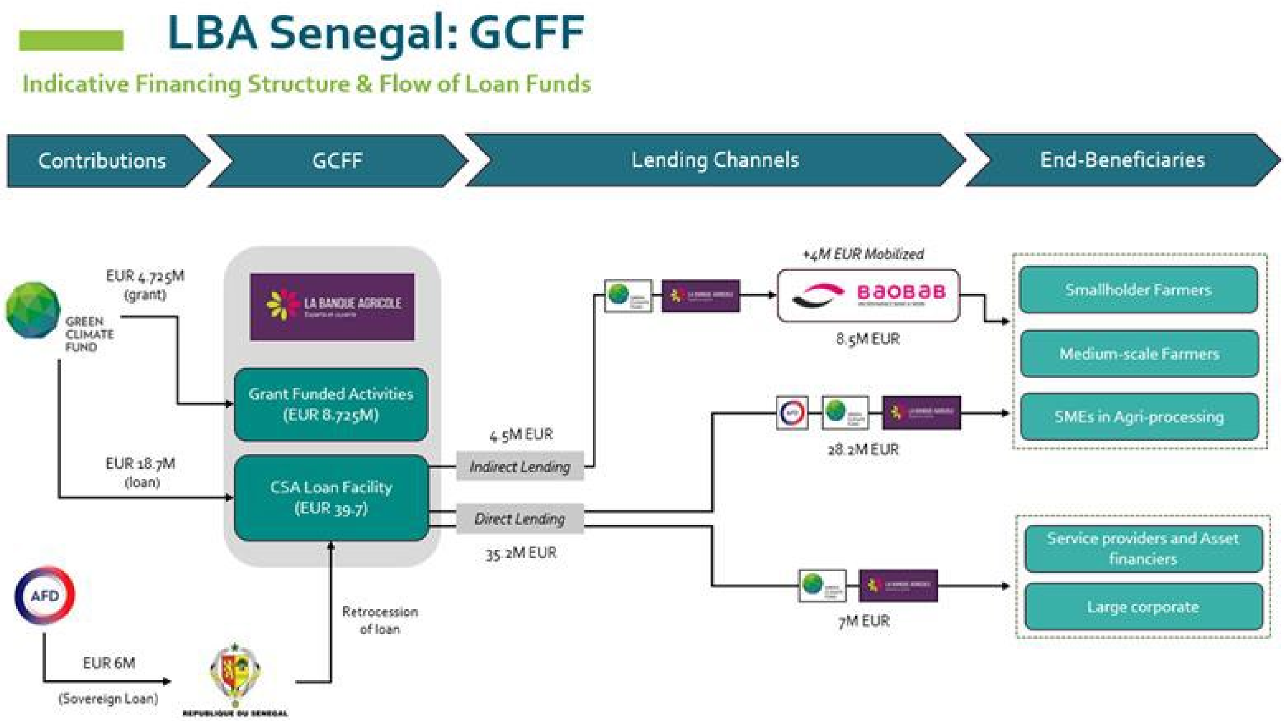
85. Programme Management Team:

    a. The Programme Management Unit (PMU) will be established within LBA to oversee the efficient coordination, monitoring, and evaluation of Programme activities.

b. The PMU will focus on enhancing stakeholder awareness and participation and ensure technical and financial reporting is in accordance with GCF standards.
c. The unit will be led by a Programme Manager which will be supported by other short- and long-term consultants for various roles such as finance manager, adaptation specialist, environmental specialist, gender & youth specialist, agricultural expert, and M&E specialist to provide comprehensive administrative support.

86. Consulting Firms and Advisors:

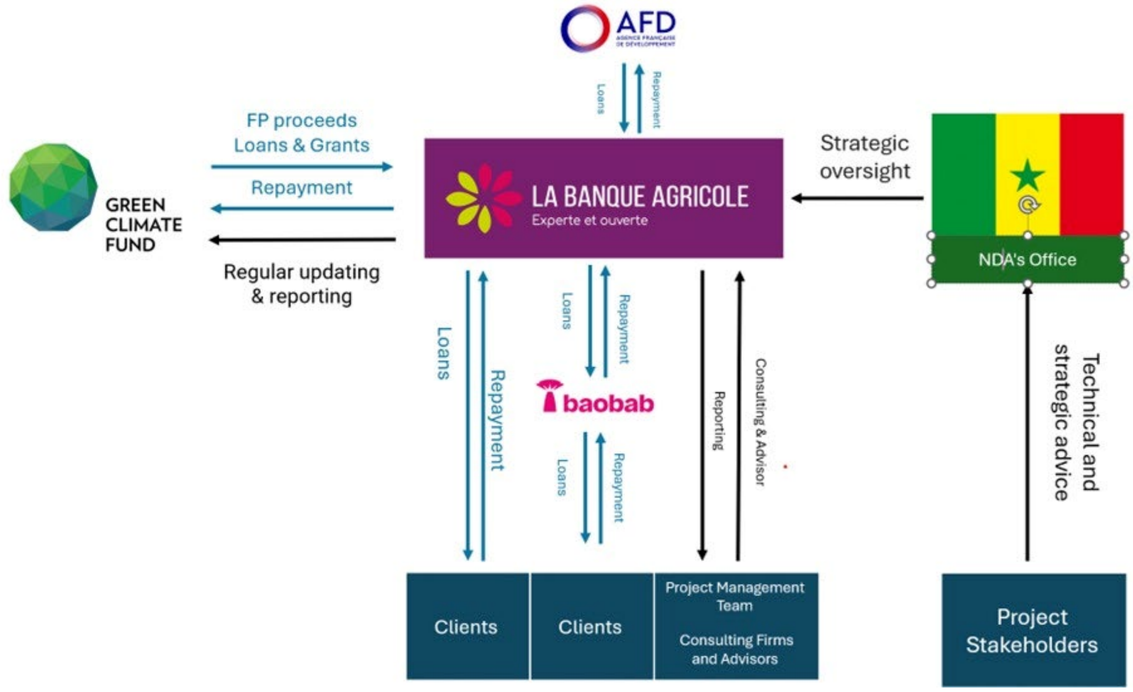
a. They will be hired on a competitive basis by LBA to provide consulting and advisory services to facilitate effective Programme implementation.
b. They will support reports on Programme progress and outcomes and provide technical assistance to Baobab Microfinance and clients as needed.



87. Programme Stakeholders:

a. Engage by offering technical and strategic advice.
b. Collaborate closely with the NDA's office and the Programme Management Team to ensure Programme success.

Conceptual Framework of the Flows of Funds



B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Explain why the project/programme requires GCF funding to address mitigation or adaptation measures, i.e. Why is the project/programme not currently being financed by public and/or private sector? Which market failure is being addressed with GCF funding? Are there any other domestic or international sources of financing?

Explain why the proposed financial instruments were selected in light of the proposed activities and the overall financing package. i.e. What is the coherence between activities financed by grants and those financed by reimbursable funds? How were co-financing amounts and prices determined? How does the concessionality of the GCF financing compare to that of the co-financing? If applicable, provide a short market read on the prevailing of the pricing and/or financial markets for similar projects/programmes.

Justify why the level of concessionality of the GCF financial instrument(s) is the minimum required to make the investment viable. Additionally, how does the financial structure and the proposed pricing fit with the concept of minimum concessionality? Who benefits from concessionality?

In your answer, please consider the risk sharing structure between the public and private sectors, the barriers to investment and the indebtedness of the recipient. Please reference relevant annexes, such as the feasibility study, economic analysis or financial analysis when appropriate.

88. La Banque Agricole (LBA) is the leading agricultural lender in the Senegalese banking sector, accounting for over 60% of the agricultural lending demand in the country. Given the high risks associated with the agricultural sector and its clientele, coupled with the increased climate-related risks to the agricultural portfolio, LBA has traditionally relied on the Senegalese government for the capital needed to finance this sector. The demand for financial products that support low-emission and climate-resilient agriculture is rising. However, despite Senegal's economic performance, recent macroeconomic and financial developments have limited the government's capacity to continue providing these resources.

89. In 2023, data from the African Development Bank (AfDB) indicated that Senegal's real GDP grew by 4.3%, up from 3.8% in 2022, primarily driven by the agricultural sector. Although growth in the services sector slowed from 6.7% in 2022 to 3.9% in 2023 due to restrictions on internet and transportation, agriculture and industry underpinned GDP growth. Inflation fell from 9.7% in 2022 to 5.9% in 2023, owing to government measures and the Central Bank of West African States' stringent monetary policy, which increased the minimum liquidity injection rate from 2% to 3.25%.

90. The budget deficit narrowed from 6.5% of GDP in 2022 to 4.9% in 2023, thanks to higher revenues and more efficient subsidy management. However, public debt rose from 76% of GDP in 2022 to 80% in

2023, and the current account deficit widened from 15.2% to 20% of GDP due to deficits in services and income. The financial sector showed robust performance, with equity capital up by 13.4% and a reduction in non-performing loans from 11.3% of gross loans in 2022 to 9.9% in 2023. Credit to the private sector grew by 20.8% in 2023, compared to 22.2% in 2022.

91. By the end of June 2023, the total public debt stock was 14,566.51 billion CFA francs (approximately $23.49 billion USD), composed of 68% external debt and 32% domestic debt. According to the latest Debt Sustainability Analysis (DSA) by the IMF in June 2023, Senegal's debt is considered sustainable with a moderate risk of over-indebtedness for both external and public debt. However, the report highlights that the country has limited capacity to absorb new short-term shocks.

92. The latest medium-term debt management strategy (2023-2025) revealed that Senegal is particularly vulnerable to rising borrowing costs due to two main factors: (i) less frequent access to concessional lending from international financial institutions, and (ii) the increase in benchmark rates like Euribor and SOFR, which have surged recently, leading to higher costs for variable-rate debt and new borrowings. Concessional loans, such as those from the World Bank and the International Monetary Fund (IMF), offer very favorable terms with interest rates typically below 2% and extended repayment periods of 30 to 40 years, including grace periods of up to 10 years.

93. Benchmark rates in Europe (Euribor) and the United States (SOFR) have increased sharply in recent months. For instance, the 6-month Euribor rose from -0.5% at the beginning of 2022 to around 3.6%, and the SOFR increased from nearly 0.05% to 4.3% over the same period. This rise in benchmark rates directly affects the costs of variable-rate debt and new financing for Senegal, making debt servicing more expensive.

94. In the WAEMU (West African Economic and Monetary Union) region, the Monetary Policy Committee of the BCEAO (Central Bank of West African States) decided to maintain the main policy rate at 3.50% and the marginal lending rate at 5.50% (for emergency loans to banks), levels that have been in effect since December 16, 2023. Additionally, the average yield on bonds issued by Senegal in the WAEMU securities market is 5.24%. Without concessional resources like those provided by the Green Climate Fund (GCF), LBA is unable to offer essential financial products to agricultural stakeholders who need them. Borrowing at market rates would result in a complete failure to provide these products effectively.

95. The Technical Assistance Component aims to empower the LBA staff, and target beneficiaries (including farmer organizations, agri-MSMEs). This initiative will focus on developing tools for integrating climate risk assessments into agricultural financing decision-making. Additionally, it will create mechanisms to monitor adaptation outcomes and strengthen the ecosystem for promoting climate-smart agriculture in Senegal. This comprehensive strategy will increase the credit readiness of the target beneficiaries and enable LBA to deliver a robust and integrated service, ensuring that the benefits extend well beyond the initial GCF financing.

B.6. Exit strategy (max. 500 words, approximately 1 page)

Explain how the project/programme will successfully exit once implementation is completed, including how results and benefits will continue beyond the project/programme period and how the contribution to paradigm shift will be maintained.

Include information pertaining to the longer-term ownership, project/programme exit strategy, operations and maintenance of investments (e.g. key infrastructure, assets, contractual arrangements). In the case of the private sector, please describe GCF's financial exit strategy through Initial Public Offerings, trade sales, etc.

Provide information on additional actions to be undertaken by public and private sector or civil society as part of the project/programme to ensure sustainability of the results attained.

96. This facility allows La Banque Agricole (LBA) to obtain concessional financing from the Green Climate Fund (GCF), thus providing the LBA with long-term resources to meet the growing financing needs of sustainable agriculture. By allowing LBA to repay the debt over 20 years with a grace period of 5 years,

GCF offers LBA the possibility of recycling the financing and establishing a reserve fund, which will allow it to continue financing such interventions beyond the repayment period.

97. The Programme aims to create an enabling environment that intends to derisk agricultural lending, thus encouraging LFIs to further increase their agricultural lending portfolio to agri-MSMEs. A range of activities including capacity development and training, knowledge sharing and awareness building, development of credit risk assessment tools, etc. will be deployed to help LBA understand and manage climate-related risks in its lending portfolio. In addition to this enabling environment, the concessional finance offered by the programme towards capitalizing Baobab Microfinance is expected to create a catalytic effect among Senegalese LFIs, thus unlocking further climate financing far beyond the lifecycle of the current Programme

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C. FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount			Currency		
	23.425			million euro (€)		
GCF financial instrument	**Amount**	**Tenor**		**Grace period**	**Pricing**	
(i) Senior loans	18.7	20 years		6 years	As per Term Sheet	
(vi) Grants	4.725					
(b) Co-financing information	**Total amount**			**Currency**		
	25			million euro (€)		
Name of institution	**Financial instrument**	**Amount**	**Currency**	**Tenor & grace**	**Pricing**	**Seniority**
LBA	Senior Loans	15	million euro (€)	20 years 5 years	As per Term Sheet	senior
AFD	Senior Loans	6	million euro (€)	20 years 5 years	As per Term Sheet	senior
LBA	In kind	4	million euro (€)			Options
(c) Total financing (c) = (a)+(b)	**Amount**			**Currency**		
	48.425			million euro (€)		
(d) Other financing arrangements and contributions (max. 250 words, approximately	LBA will contribute in-kind up to €4 million for office rental and equipment, transportation, staff costs and conference facilities, of which €2.5 million at Programme output level and €1.5 million at PMC level.					

0.5 page)	

C.2. Financing by component

Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.

Component	**Output**	**Indicative cost** million euro (€)	**GCF financing**		**Co-financing**		
			Amount million euro (€)	**Financial Instrument**	**Amount** million euro (€)	**Financial Instrument**	**Name of Institutions**
Innovative Financing Facility to provide concessional loans to foster climate smart agricultural practices	Output 1.1	40.65	18.7	Senior loans	15	Senior loans	LBA
			0.1	Grants	6	Senior loans	AFD
					0.85	in kind	LBA
Capacity building and technical assistance for FOs, cooperatives and MSMEs	Output 2.1	2.3	1	Grants	0.45	in kind	LBA
	Output 2.2		0.4		0.45	in kind	LBA
Enabling environment for CSA practice adoption enhanced	Output 3.1	0.95	0.5	Grants	0.45	in kind	LBA
Dissemination of CSA information, knowledge sharing and documentation	Output 4.1	0.425	0.225	Grants	0.2	in kind	LBA
Gender Action Plan		0.56	0.56	Grants			
ESS Safeguards		0.975	0.875	Grants	0.1	in kind	LBA
M&E		0.36	0.36	Grants			
PMC		2.205	0.705	Grants	1.5	in kind	LBA
Indicative total cost (USD)		48.425	23,425		25.0		

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.
In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☐ No ☒

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

98. Capacity building is essential for the success of the Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal as it plays a pivotal role in enhancing the capabilities of various stakeholders, including La Banque Agricole (LBA), BAOBAB Microfinance, and broader climate change stakeholders. For LBA and BAOBAB Microfinance, capacity building enables these institutions to design and deploy innovative green finance products that support sustainable agricultural practices. By equipping these financial institutions with the necessary knowledge and tools, they can better understand and manage the financial risks and opportunities associated with climate-smart agriculture. This, in turn, ensures compliance with Green Climate Fund (GCF) standards, including environmental and social safeguards and gender policies, while fostering the expansion of green finance within the Senegalese banking sector. Additionally, capacity building promotes knowledge sharing among financial institutions, creating a collaborative environment for best practices in green finance.

99. For the beneficiaries, capacity building provides crucial technical knowledge and resources to farmers and agribusinesses, enabling them to adopt sustainable practices such as efficient water use, sustainable soil management, and crop diversification. These practices not only enhance their resilience to climate impacts but also support long-term economic stability and food security in Senegal. Capacity building also strengthens stakeholder engagement and collaboration by improving the coordination among various entities, including government agencies, NGOs, and private sector actors. Informed stakeholders can make better decisions regarding policy development, Programme implementation, and resource allocation, thereby promoting a more cohesive approach to climate-smart agriculture. They are also better equipped to advocate for policies that support sustainable agricultural practices and to raise awareness about the role of green finance in achieving climate resilience.

100. Furthermore, capacity building enhances the ability of stakeholders to monitor and evaluate the impact of climate-smart agricultural initiatives and green finance products. This includes training on data collection, analysis, and reporting, which ensures that the projects meet GCF requirements for transparency and accountability. By fostering innovation in financial product development, capacity building encourages the creation of new solutions that address the unique challenges posed by climate change, helping LBA adapt to evolving risks and opportunities. It also contributes to the development of resilient agricultural systems capable of withstanding climate shocks and stresses, thereby supporting long-term sustainability.

101. In addition, capacity building ensures that the implementation of the Green Climate Finance Facility aligns with Senegal's national development and climate goals. This alignment not only supports broader economic and environmental objectives but also promotes a more resilient and sustainable agricultural sector. Overall, capacity building is a cornerstone for the success of this facility, equipping key stakeholders with the skills, knowledge, and tools necessary to effectively contribute to and benefit from the initiative, leading to a significant and lasting impact on climate-smart agriculture in Senegal.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's Initial Investment Framework.

D.1. Impact potential (max. 500 words, approximately 1 page)

102. The Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal aims to significantly mitigate GHG emissions through a variety of targeted strategies:

103. Adoption of Climate-Smart Agricultural Practices: The Programme promotes practices such as drip irrigation, zero tillage, agroforestry, and biodigesters to reduce emissions associated with traditional agricultural methods:

- **Zero to minimum Tillage**: Enhances carbon sequestration in soil and reduces emissions compared to conventional plowing methods.
- **Agroforestry**: Increases carbon storage in trees and soil, mitigating deforestation pressures and contributing to overall carbon sequestration.
- **Biodigesters**: Generate renewable energy from waste, displacing fossil fuels and reducing methane emissions from agricultural waste.
- **Drip Irrigation**: Reduces water usage and minimizes energy consumption for irrigation, thereby lowering associated GHG emissions.

104. The adaptation actions planned within the Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal are tailored to address the key vulnerabilities in Senegal's agricultural sector while building its resilience to climate change impacts. The sector's reliance on rain-fed agriculture makes it highly susceptible to climate variability, with increasing frequency and intensity of droughts, erratic rainfall, and flooding events. These climate-related challenges lead to a decline in agricultural productivity, jeopardizing food security and the livelihoods of smallholder farmers, especially women and youth, who are disproportionately affected. The sector's vulnerability is further exacerbated by limited access to climate-resilient farming practices, inadequate infrastructure, and insufficient financial resources to adopt sustainable farming methods.

105. By implementing climate-smart agricultural techniques and enhancing financial and technical support, the Programme aims to strengthen the sector's adaptive capacity, ensuring more stable productivity and sustainable livelihoods in the face of growing climate risks. The mitigation interventions include:

- **Renewable Energy**: Implementation of biodigesters for energy production reduces dependence on fossil fuels, thereby mitigating emissions associated with energy consumption in agriculture.
- **Improved Livestock Management**: Introduction of forage crops and low-emission feeds reduces methane emissions from livestock, a significant contributor to agricultural GHG emissions.
- **Promotion of sustainable land use practices** such as adopting agroforestry practices

106. The Programme directly contributes to the mitigation objectives outlined in Senegal's Nationally Determined Contributions (NDC) by focusing on reducing emissions in key sectors such as energy, livestock management, and land use. Through the use of **biodigesters**, the Programme promotes renewable energy, reducing the agricultural sector's dependence on fossil fuels and aligning with the NDC's goals for enhancing energy efficiency and transitioning to clean energy. Additionally, **improved livestock management** reduces methane emissions, a significant contributor to Senegal's agricultural GHGs, by introducing low-emission feed and forage crops. Furthermore, the Programme's emphasis on **sustainable land-use practices** such as adopting agroforestry practices, in line with Senegal's commitment to emission reduction targets under its NDC. These combined efforts contribute to national mitigation goals, while also enhancing the resilience of the agricultural sector. Doing so, the Programme anticipates a reduction or avoidance of approximately 3.76 million tCO2e. This estimation is based on

the adoption of climate-smart practices, enhanced energy efficiency, and reduced deforestation rates facilitated by the Programme.

107. As a cross-cutting Programme in Senegal, the aims, the Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal aiming to achieve dual objectives of mitigating greenhouse gas emissions and enhancing climate resilience in agriculture. As part of its adaptation component, it promotes climate-smart practices such as drip irrigation, climate-resilient seeds, and agroforestry to help farmers adapt to climate risks like droughts and floods. Through concessional loans and technical assistance to MSMEs, Cooperatives, FOs, women, and youth, the Programme supports the adoption of resilient farming methods and strengthens stakeholders' capacity to manage climate variability. Training in climate risk assessments, climate-smart agriculture practices, and financial literacy empowers stakeholders to make informed decisions, boosting resilience to climate impacts. The Programme targets increased adoption of climate-smart practices, improved agricultural productivity, and enhanced policy frameworks to support climate resilience, benefiting approximately 152,266 direct beneficiaries.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

108. **Paradigm Shift Potential:** The Programme is designed to catalyze a paradigm shift in Senegal's agricultural sector by fostering a transition from traditional, high-emission, and low-resilience farming practices to innovative, climate-smart, and sustainable agricultural methodologies. By leveraging a comprehensive approach that integrates financial support, capacity building, policy enhancement, and knowledge dissemination, the Programme aims to create lasting impacts that extend beyond the scope of the initial investment. The Programme builds upon LBA's existing climate initiatives, including IFAD's IGREENFIN and European Investment Bank (EIB) projects, among others. With GCF's involvement, LBA will be able to scale these initiatives, extending their reach to a larger number of beneficiaries and further promoting climate-resilient agricultural practices. This Programme also addresses existing gaps by supporting underserved regions and smallholder farmers who may have previously been overlooked, thus creating a more integrated and comprehensive strategy for advancing climate-smart agriculture across Senegal.

109. The implementation of the Programme will ensure that the concessional benefits of GCF are passed on to end borrowers. LBA has a proven track record of providing lower interest rates to smallholder farmers, reflecting the concessional nature of government-backed resources. LBA's cost of capital, risk pricing, and administrative expenses, and Baobab's cost of capital in the indirect lending channel. This ensures that the advantages of GCF's concessionality are fully transferred to borrowers through both direct and indirect lending channels.

110. Finally, the Programme demonstrates a paradigm shift through its potential for scaling up and replication, knowledge sharing and learning, contributions to creating an enabling environment and regulatory frameworks, and overall support for climate-resilient development pathways. Detailed information on these aspects is provided below.

111. **Potential for Scaling Up and Replication:** The Programme has significant potential for scaling up and replication across various regions in Senegal and other similar contexts in West Africa. The establishment of a dedicated climate-smart agricultural (CSA) lending facility provides a scalable financial mechanism that can be expanded to include more farmers, MSMEs, and cooperatives. The successful implementation of CSA practices, such as drip irrigation, agroforestry, and the use of climate-resilient seeds, serves as a model that can be replicated in other regions facing similar climate challenges. The program's focus on creating a revolving credit line ensures a sustainable source of funding, which can be reinvested to support further CSA adoption, thereby amplifying its impact over time.

112. **Potential for Knowledge Sharing and Learning:** Knowledge sharing and learning are central to the program's strategy for driving a paradigm shift. The program emphasizes building local capacity through extensive training on climate-smart practices, financial literacy, and climate risk assessments. This approach not only empowers farmers and MSMEs with the knowledge needed to implement CSA practices but also fosters a culture of continuous learning and innovation. The creation of a centralized CSA information repository and the dissemination of best practices and success stories facilitate widespread knowledge sharing, allowing lessons learned to be applied beyond the immediate program participants. This repository will also serve as a valuable resource for policymakers, researchers, and other stakeholders interested in climate-resilient agriculture.

113. **Contribution to the Creation of an Enabling Environment and Regulatory Framework and Policies: The** Programme is instrumental in establishing an enabling environment that promotes the long-term adoption of climate-smart agricultural (CSA) practices and enhances climate resilience. By providing concessional loans and technical assistance, the Programme effectively lowers financial barriers that typically hinder smallholder farmers and MSMEs from accessing advanced agricultural technologies. It facilitates collaboration among a diverse group of stakeholders, including financial institutions, government agencies, and non-governmental organizations, thereby fostering a supportive ecosystem for CSA adoption. This collaborative effort ensures that the Programme's benefits extend well beyond the initial investment, setting the stage for widespread and enduring adoption of climate-smart practices.

114. A critical component of the Programme is its commitment to strengthening the regulatory framework and policies that underpin climate-resilient agriculture. The Programme partners with the Government of Senegal and other key stakeholders to identify and enact policy reforms that facilitate the widespread adoption of CSA practices. This includes creating regulatory incentives such as tax breaks and risk-sharing mechanisms to attract private sector investment in climate-resilient agriculture. By aligning with national climate change strategies and policies, the Programme ensures that the regulatory environment supports long-term sustainable development and bolsters climate resilience.

115. **Overall Contribution to Climate-Resilient Development Pathways:** The Programme significantly contributes to climate-resilient development pathways by aligning with and advancing Senegal's national climate change adaptation strategies and plans. It promotes sustainable agricultural practices that not only enhance the resilience of farmers to climate risks but also contribute to national efforts to reduce greenhouse gas emissions. By fostering the adoption of CSA practices and improving access to climate-related information and financial resources, the Programme supports the creation of a resilient agricultural sector that can withstand and adapt to the impacts of climate change. This, in turn, contributes to broader sustainable development goals by ensuring food security, increasing agricultural productivity, and promoting economic growth in an environmentally sustainable and socially inclusive way.

D.3. Sustainable development (max. 500 words, approximately 1 page)

116. The Programme aligns with the Sustainable Development Goals (SDGs) by delivering a broad spectrum of benefits across environmental, social, economic, and gender-sensitive dimensions. It aims to foster sustainable development and climate resilience, particularly within Senegal's agricultural sector. Below, I have expanded on the potential benefits of the Programme in terms of environmental, social, economic, and gender-sensitive development, relating each to specific SDGs:

Environmental Co-Benefits

117. The Programme focuses on promoting climate-smart agricultural (CSA) practices that deliver significant co-benefits for soil health and the environment. CSA techniques such as zero tillage, crop rotation, and agroforestry are central to maintaining soil structure and preventing erosion, thereby conserving soil fertility and enhancing biodiversity within ecosystems. Practices like drip irrigation and the use of organic fertilizers improve soil moisture retention, crucial for sustaining crop yields during dry periods and optimizing water use efficiency, particularly in water-scarce regions. Additionally, the Programme includes initiatives to rehabilitate degraded lands through reforestation and the adoption of sustainable agricultural practices. These efforts contribute to carbon sequestration, supporting climate change mitigation, and provide habitats for wildlife, thus fostering biodiversity conservation. By implementing efficient water management strategies such as rainwater harvesting and drip irrigation, the Programme minimizes water wastage and ensures sustainable use of water resources, addressing challenges posed by droughts and water shortages. Overall, the adoption of CSA practices under this Programme not only enhances agricultural productivity but also promotes resilience in ecosystems and communities by safeguarding soil health and optimizing natural resource management.

Related SDGs: SDG 2 (Zero Hunger), SDG 6 (Clean Water and Sanitation), SDG 13 (Climate Action), SDG 15 (Life on Land).

Social Co-Benefits, Including Health Co-Benefits

118. The Programme's social benefits extend to health, education, and community well-being:

1. **Improved Health Outcomes**:
   - By reducing reliance on chemical fertilizers and pesticides, the Programme decreases the exposure of farmers and local communities to harmful chemicals.
   - The use of biogas for cooking reduces indoor air pollution, lowering the incidence of respiratory diseases caused by smoke from traditional cooking methods.
2. **Increased Food Security**:
   - Enhanced agricultural productivity through CSA practices leads to higher crop yields and more reliable food supplies, reducing hunger and improving nutrition.
   - The diversification of crops also contributes to dietary variety and food security.
3. **Enhanced Community Resilience**:
   - Training and capacity-building initiatives empower communities to manage climate risks more effectively, strengthening their resilience to climate-related shocks.
   - This fosters a sense of community and cooperation, leading to more robust and cohesive local societies.
4. **Improved Educational Opportunities**:
   - The Programme's emphasis on knowledge-sharing and training helps improve agricultural education and skills, particularly among youth and women.
   - This enhances individual livelihoods and supports the community's broader development.

Related SDGs: SDG 3 (Good Health and Well-Being), SDG 4 (Quality Education), SDG 11 (Sustainable Cities and Communities).

Economic Co-Benefits

119. The economic benefits of the Programme include enhanced livelihoods, increased employment opportunities, and economic growth:

1. **Increased Agricultural Productivity and Income**:

- By adopting CSA practices, farmers can improve crop yields and productivity, leading to higher incomes and improved livelihoods.
- The Programme also supports the establishment of value chains, which can create additional income opportunities through processing and marketing of agricultural products.

2. **Job Creation**:
   - The Programme will generate employment in various sectors, including agriculture, technology, and financial services.
   - It promotes entrepreneurship by providing financial support and technical assistance to MSMEs, cooperatives, and farmer organizations.
3. **Diversification of Income Sources**:
   - The introduction of new agricultural practices and technologies opens up diverse income streams, reducing dependency on traditional farming methods.
   - Farmers can engage in complementary activities like agroforestry, livestock rearing, and renewable energy production.
4. **Boosted Local Economies**:
   - Enhanced agricultural productivity stimulates local economies by increasing the demand for goods and services.
   - This creates a ripple effect, leading to broader economic growth and development.

Related SDGs: SDG 1 (No Poverty), SDG 8 (Decent Work and Economic Growth), SDG 9 (Industry, Innovation, and Infrastructure).

Gender-Sensitive Development Benefits

120. The Programme places a strong emphasis on gender equality and the empowerment of women and youth:

1. **Empowerment of Women**:
   - By targeting 40% of its concessional loans to women-led MSMEs and cooperatives, the Programme actively promotes female entrepreneurship and economic participation.
   - Training Programmes specifically designed for women enhance their skills and knowledge, enabling them to take on leadership roles in agriculture and beyond.
2. **Inclusion of Youth**:
   - The Programme allocates 30% of its financial support to youth-led initiatives, encouraging young people to engage in innovative and sustainable agricultural practices.
   - This not only provides employment opportunities for the youth but also ensures the long-term sustainability of the agricultural sector by involving the next generation.
3. **Reduction of Gender Inequality**:
   - By addressing the financial and educational barriers faced by women and youth, the Programme promotes greater gender equality.
   - It ensures that both women and men have equal access to resources, opportunities, and decision-making processes in agriculture.
4. **Support for Vulnerable Groups**:
   - The Programme includes specific measures to support the most vulnerable groups, such as women and youth in rural areas, ensuring that they benefit from improved agricultural practices and economic opportunities.

Related SDGs: SDG 5 (Gender Equality), SDG 10 (Reduced Inequalities).

D.4. Needs of recipient (max. 500 words, approximately 1 page)

121. Agriculture serves as the primary livelihood for over 70% of Senegal’s population, relying heavily on rain-fed practices that make it highly vulnerable to the impacts of climate change. These vulnerabilities exacerbate risks and escalate the costs associated with agricultural investments. The COVID-19 pandemic significantly slowed Senegal’s GDP growth to 1.3% in 2020 from 5.3% in 2019. As of April 2020, the fiscal deficit stood at CFA 703 billion (4.9% of GDP), prompting urgent deployment of resources to address the pandemic. By May 2020, tax revenues had reached 65% of the government’s target. Senegal encounters considerable hurdles in securing sufficient financing for agriculture, with agricultural credit comprising just 3% of total bank credit due to perceived risks and limited access to microfinance (only 2.6% of the rural population has access). The Programme's credit facility and technical assistance are designed to bridge these gaps by facilitating funding access and mitigating non-market barriers that hinder essential agricultural credit. This initiative aims to strengthen Senegal’s resilience against climate risks while enhancing its capacity to sustainably develop the agricultural sector amidst economic challenges compounded by the covid-19 pandemic, the Ukraine Russia conflict, and global inflation pressures.

122. The Programme is strategically linked to Senegal's broader agricultural development strategies, such as the Programme for Accelerated Pace of Agriculture (PRACAS II) focusing on crop improvement and the National Livestock Development Plan (PNDE) emphasizing livestock sector enhancement. Both programmes underscore the importance of increasing investment support, particularly through enhanced agricultural credit, which forms a cornerstone of the Programme's objectives. Senegal's institutional frameworks, including its NDCs, Nationally Appropriate Mitigation Actions (NAMAs), and National Adaptation Plans (NAPs), provide a robust policy backdrop that supports and aligns with the Programme's goals. Accredited entities responsible for project execution possess the requisite capacity and experience to effectively deliver Programme outcomes, ensuring efficient implementation and results achievement.

D.5. Country ownership (max. 500 words, approximately 1 page)

123. The Republic of Senegal demonstrates strong ownership and commitment to the Programme, closely aligning with its national policy objectives and international climate change commitments. Senegal's Nationally Determined Contributions (NDC) outline several key initiatives aimed at enhancing climate resilience and reducing greenhouse gas emissions.

124. **Alignment with existing National Climate Strategy, including Relevance to and Alignment with Existing Policies (NDCs, NAMAs, NAPs):** Senegal has established a comprehensive national climate strategy that integrates climate resilience and mitigation efforts across various sectors. This strategy is articulated through Senegal's Nationally Determined Contributions (NDCs), which highlight specific measures such as the installation of 27,500 domestic biodigesters, biogas waste recovery in agro-industries, System of Rice Intensification (SRI) for water conservation in rice cultivation, agroforestry promotion, reduction of slash-and-burn practices, integrated water resource management like drip irrigation, and climate information dissemination. The Programme is directly aligned with Senegal's NDCs, NAMAs, and National Adaptation Plans (NAPs), ensuring coherence with national priorities and commitments under the Paris Agreement. It focuses on priority areas identified in these policy frameworks, particularly in agriculture and climate resilience, thereby leveraging existing policy instruments to achieve sustainable development outcomes.

125. **Alignment with GCF Country Programme:** Senegal's participation in the Green Climate Fund (GCF) aligns with its national climate goals, facilitating access to funding and technical support for projects that enhance climate resilience and mitigate greenhouse gas emissions. The GCF country

programme supports initiatives that complement Senegal's NDCs and other national strategies, enhancing synergy and effectiveness in addressing climate challenges.

126. **Capacity of Accredited Entities or Executing Entities to Deliver:** LBA as one of the 2 direct access entities of Senegal is leading this Programme with carefully selected national institutions to support as executing entities namely BAOBAB microfinance responsible for co-execution of Component 1. Both LBA and Baobab possess robust technical and operational capacity to execute this Programme.

127. BAOBAB microfinance in Senegal: Baobab by Microcred is a digital financial services and branchless banking solution aimed at serving the mass market and financially excluded individuals. Launched initially in Senegal and Madagascar in 2014, Baobab operates primarily through an extensive agent banking network. These agents facilitate various financial transactions such as cash-in, cash-out, money transfers, loan repayments, savings deposits, and account-to-account transfers using biometric devices and laptops connected to Microcred's system. Currently, Baobab's network comprises 519 service points in Senegal and 321 points in Madagascar, effectively bridging gaps in financial access in remote areas where traditional bank branches are scarce. This infrastructure not only supports existing services but also enables the introduction of new products tailored to meet the diverse needs of a wider clientele. For an illustration of a typical Baobab transaction, refer to the video demonstrating a withdrawal at a Baobab agent. It has demonstrated experience in managing sustainable finance projects and implementing complex initiatives in collaboration with national and local stakeholders. This capacity ensures efficient delivery and maximizes the Programme's impact on the ground.

128. **Role of National Designated Authority (NDA):** Senegal's NDA plays a crucial role in overseeing the Programme's alignment with national climate and development objectives. It provides strategic guidance, facilitates coordination among stakeholders, and ensures that the Programme contributes effectively to national climate resilience and mitigation goals. The NDA also interfaces with international climate finance mechanisms, ensuring transparency and accountability in Programme implementation.

129. The National Designated Authority (NDA) of Senegal plays a pivotal role in overseeing the Programme's alignment with national priorities and policies, ensuring coherence with Senegal's climate and development objectives. Furthermore, the Programme actively engages civil society organizations, indigenous peoples, women, and other vulnerable groups throughout its implementation phases, fostering inclusive participation and equitable distribution of Programme benefits across all segments of society.

130. **Engagement with Civil Society Organizations and Relevant Stakeholders:** The Programme actively engages civil society organizations, indigenous peoples, women, and other vulnerable groups throughout its lifecycle. This inclusive approach promotes participatory decision-making, enhances local ownership, and ensures that Programme benefits are equitably distributed. Stakeholder engagement fosters broader societal support, strengthens resilience-building efforts, and enhances the Programme's sustainability in the long term.

D.6. Efficiency and effectiveness (max`. 500 words, approximately 1 page)

131. **Financial Structure and Adequacy:** The financial structure of the proposed Programme ensures it is robust and reasonable to achieve its objectives while addressing existing bottlenecks and barriers effectively. The Programme's design ensures it provides the necessary minimum concessionally to remain viable without displacing private or other public investments. This is crucial to ensure that the Programme does not crowd out existing financial flows but instead complements and catalyzes additional investments in climate-resilient agricultural practices.

132. **Efficiency and Effectiveness:** The proposed Programme demonstrates high efficiency and effectiveness in achieving its goals, considering both the total financing required and the anticipated outcomes in terms of mitigation and adaptation. With an estimated lifetime emission reduction of 3.76

million tCO2e, the Programme aims to achieve substantial climate benefits relative to its investment. This compares favorably with benchmarks set for similar climate-resilient agricultural initiatives, highlighting their efficiency in utilizing resources to achieve significant environmental and developmental impacts. The Programme is projected to achieve a leverage ratio of 1:1.07, thus a €23.425M investment from the GCF is expected to leverage about €25M in additional co-financing, plus an additional €4M in parallel financing.

133. **Expected Economic Rate of Return:** The expected economic rate of return for the Programme, when comparing scenarios with and without GCF support, underscores its financial viability and societal benefits. By integrating climate-smart agricultural practices and enhancing resilience against climate risks, the Programme is expected to yield positive economic returns through increased agricultural productivity, reduced vulnerability to climate impacts, and enhanced livelihoods for local communities.

134. **Expected Financial Rate of Return:** The financial rate of return, particularly with the Fund's support, demonstrates the need for GCF funding to ensure overall profitability. The Programme's financial analysis considers the costs associated with implementing best available technologies and practices in climate-resilient agriculture, thereby justifying the GCF's role in bridging financial gaps and enabling transformative climate action.

135. **Best Available Technologies and Practices:** The Programme integrates the best available technologies and practices in climate-resilient agriculture, leveraging innovations and adjustments based on industry best practices. This includes the adoption of climate-smart agricultural techniques such as drip irrigation, zero tillage, agroforestry, and biodigesters, which are proven to enhance productivity while minimizing greenhouse gas emissions and enhancing resilience to climate variability.

E. LOGICAL FRAMEWORK

This section refers to the project/programme's logical framework in accordance with the ***GCF's Integrated Results Management Framework*** *to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

☒ Reduced emissions (mitigation)

☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

This section of the logical framework is meant to help a project/programme monitor and assess how it contributes to the paradigm shift described in section D.2 above by applying three assessment dimensions - scale, replicability, and sustainability.

Accordingly, for each assessment dimension (see the definition per assessment in the accompanying guidance note), describe the current state (baseline) and the potential scenario (target) and rate the current state (baseline) by using the three-point-scale rating (low, medium, and high) provided in the guidance note. Also describe how the project/programme will contribute to that shift/ transformation under respective assessment dimensions (scale, replicability and sustainability). In doing so, please refer to section B.2(a) (theory of change).

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	Senegal has obtained grants and loans from development partners and donor countries to execute climate change initiatives. However, these initiatives have not achieved the necessary scale for Nationally Determined Contributions (NDC) implementation because of disjointed efforts and inconsistent funding. Additionally, gaps in local capacity, knowledge, and resources impede access to climate finance for key NDC sectors.	<u>Low</u>	The Programme aims to stir private sector finance to lend towards climate smart development pathways. This is done through both the direct and indirect lending via Baobab, which aims to increase its climate smart and agricultural lending portfolio. The Programme attracted the interest of several banks, illustrating its potential to mobilize funds at scale towards CSA practices. Furthermore, the Programme is designed to address both	Through establishing a dedicated line of credit for Climate-Smart Agriculture (CSA) lending operations, enhancing financial inclusion for smallholder farmers, and increasing the focus on CSA practices, the Programme aims to reach a significant number of beneficiaries, with the potential to scale its impact to various regions. By encouraging CSA adoption across the agricultural value chain and integrating climate risk assessments into lending operations, the Programme not only

			supply and demand-side barriers to CSA lending via the TA package, thus addressing the perceived risks and delivery costs of credit.	addresses immediate needs but also establishes frameworks that can be replicated and sustained beyond the Programme period. The development of climate-smart credit products further enhances scalability, offering tailored financial solutions for smallholder farmers.
Replicability	The participation of Senegalese financial institutions in climate finance is limited. Furthermore, there is limited uptake of climate technologies and business models by the private sector in Senegal due to a limited capacity to structure and implement climate change initiatives.	Low	The successful implementation of this Programme is expected to encourage other local and regional financial institutions and international financiers to identify new business opportunities in climate finance and change their risk perception of agriculture adaptation financing. The Programme's design is adaptable in other countries, and can be incorporated into various blended finance structures.	By focusing on Climate-Smart Agriculture (CSA) practices and developing innovative financial solutions tailored to smallholder farmers, the Programme establishes models that can be replicated in similar contexts. Activities such as integrating climate risk assessments into lending operations, developing climate-smart credit products, and developing CSA compliance monitoring tools offer replicable frameworks that can be adapted and applied in different agricultural settings. Moreover, the dissemination of information, sharing of experiences, and documentation of success case studies contribute to the creation of replicable methodologies and standards that can be scaled up to other regions and countries.
Sustainability	There is currently no sustained source of domestic private sector climate finance in Senegal due to a limited track record and capacity. The Government has been overstretched financially due to the COVID pandemic, Global inflation, and deteriorating global security.	Low	The Programme has a positive NRR and IRR for an agricultural project. Additionally, the TA facility aims to address non-financial barriers that are encountered by LBA, thus cementing the Programme's impacts beyond the implementation period.	By establishing dedicated lines of credit for Climate-Smart Agriculture (CSA) lending operations, enhancing financial inclusion for smallholder farmers, and integrating climate risk assessments into lending operations, the Programme builds sustainable financial mechanisms and practices. Additionally, the development of climate-smart credit products and the implementation of climate-smart credit risk

				scoring tools ensure the continuation of tailored financial solutions that support CSA adoption. Moreover, capacity-building initiatives for CSA technologies and business plan development empower local stakeholders to sustainably integrate climate-smart practices. The utilization of e-extension services and the reinforcement of CSA dissemination and learning further contribute to the long-term sustainability by enhancing access to critical information and fostering continuous learning among farmers and stakeholders.

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final[34]	
All mitigation result area	Core 1: GHG emissions reduced, avoided or removed/sequestered	GHG ex-post surveys as outlined in Annex 22a	0 $MtCO_2eq$	158,568 tCO2e	528,223 tCO_2e by Y5 3.76 $MtCO_2e$ by Y20	Avoided, reduced or removed/sequestered GHG emissions from CSA and use of biodigesters over the Programme lifetime. See Annex 22a for the methodological approach.
MRA3 Buildings, cities, industries and appliances	Core 1: GHG emissions reduced, avoided or removed/sequestered	GHG ex-post surveys as outlined in Annex 22a	0 $MtCO_2eq$	498 tCO_2e	1996 tCO_2e by Y5 48061 tCO_2e by Y20	Avoided, reduced or removed/sequestered GHG emissions from use of

[34] The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

						biodigesters over the Programme lifetime. See Annex 22c for the computation sheet
MRA3 Buildings, cities, industries and appliances	Supplementary 1.1: Annual energy savings	GHG ex-post surveys as outlined in Annex 22a	0	474.5 MWh	1107 MWh by Y5 6326 MWh by Y20	Saved firewood is assumes that: • Average ratio of use within the target areas is 85% firewood & 15% charcoal • It takes 6kgs of firewood to produce 1 kg of charcoal • IPCC default value for fuelwood (=15 MJ/kg) has been adopted when converting fuelwood to MWh
MRA4 Forestry and land use	Core 1: GHG emissions reduced, avoided or removed/sequestered	GHG ex-post surveys as outlined in Annex 22a	0	159,066 tCO_2e	530,219 tCO_2e by Y5 3,711,536 tCO_2e by Y20	Total GHG emissions reduced and removed/sequestrated as a result of the investments into the agroforestry practices and adoption of low emission agricultural practices. See Annex 22a on methodological approach and Annex22b for the detailed calculations.
<u>All adaptation result area</u>	Core 2: Direct and indirect beneficiaries reached	Household surveys.	0	9,541 direct beneficiaries 33,824 indirect beneficiaries	**By Y5** 30,921 direct beneficiaries 109,084 indirect beneficiaries **By Y20**	At least 30% of both direct and indirect beneficiaries are female.

					152,266 direct beneficiaries 535,147 indirect beneficiaries	
ARA1 Most vulnerable people and communities	Core 2: Direct and indirect beneficiaries reached	Household surveys.	0	9,541 direct beneficiaries 33,824 indirect beneficiaries	**By Y5** 30,921 direct beneficiaries 109,084 indirect beneficiaries **By Y20** 152,266 direct beneficiaries 535,147 indirect beneficiaries	At least 30% of both direct and indirect beneficiaries are female. Assumption: Climate resilient agricultural solutions are financially viable, and there is sustained interest from beneficiaries to adopt climate-resilient agricultural options.
ARA1 Most vulnerable people and communities	Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new climate-resilient livelihood options	Household surveys.	0	9,541 direct beneficiaries 33,824 indirect beneficiaries	**By Y5** 30,921 direct beneficiaries 109,084 indirect beneficiaries **By Y20** 152,266 direct beneficiaries 535,147 indirect beneficiaries	At least 30% of both direct and indirect beneficiaries are female Assumption: This indicator assumes that all direct and indirect beneficiaries under Core 2 indicator will adopt improved or new climate-resilient agricultural practices.
ARA1 Most vulnerable people and communities	Core 4: Hectares of natural resources brought under improved low-emission	Site surveys and remote sensing data.	0 ha	5,314 ha	15,362 ha by Y5 65,061 ha by Y20	A sufficient number of relevant sub-projects that meet the Programme’s investment

	and/or climate-resilient management practice					criteria are identified and approved. Households are willing to adopt CSA practices (See Annex 24b for detailed calculations)
ARA1 Most vulnerable people and communities	Supplementary 4.2: Number of livestock brought under sustainable management practices	Household surveys.	0	2,731 LSU	8,841 LSU by Y5 43,524 LSU by Y20	The estimation of cattle, goats and sheep is derived based on national statistic measures. (See Annex 24b for detailed calculations) Livestock unit (LSU) conversion adopted from FAO's Livestock unit coefficients[35]
ARA2 Health, well-being, food and water security	Supplementary 2.2: Beneficiaries (female/male) with improved food security	Household surveys.	0	4,752 direct beneficiaries 16,844 indirect beneficiaries	**By Y5** 15,399 direct beneficiaries 54,324 indirect beneficiaries **By Y20** 75,828 direct beneficiaries 266,503 indirect beneficiaries	At least 45% of both direct and indirect beneficiaries are female. Assumption: Proportion of food insecure persons is 49.8% of the total beneficiaries, of which 53.6% are male and 46.4% are female (See Annex 24b for detailed computation)

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)

[35] https://www.fao.org/3/i2294e/i2294e.pdf

Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.					
Core Indicator	**Baseline context (description)**	**Rating for current state (baseline)**	**Target scenario (description)**	**How the project will contribute**	**Coverage**
Core Indicator 5: Degree to which GCF investments contribute to strengthening institutional and regulatory frameworks for low emission climate-resilient development pathways in a country-driven manner	There is a moderate level of institutional and regulatory support for climate-resilient development pathways. While efforts have been initiated, the existing frameworks may not be fully optimized or aligned with the country's climate goals. There is room for improvement to enhance these frameworks and better align them with the objectives of promoting low emission, climate-resilient development.	medium	The Programme aims to significantly enhance these frameworks to ensure robust support for climate-resilient agriculture. By the Programme's completion, there will be a well-defined and strengthened institutional mechanism in place, supported by enhanced regulatory frameworks. This will facilitate the effective channeling of financial resources towards climate-resilient agriculture.	By establishing a dedicated line of credit for Climate-Smart Agriculture (CSA) lending operations, the Programme strengthens institutional frameworks by creating a mechanism that supports climate-resilient development pathways. This activity 1.1.1 directly supports the development of institutional mechanisms that channel financial resources towards climate-resilient agriculture, aligning with the country's low emission, climate-resilient development goals. The Programme also encourages the adoption of Climate-Smart Agriculture (CSA) practices across the entire agricultural value chain (Activity 1.1.4). Engagement with MSMEs, cooperatives, technology suppliers, and corporate entities promotes the integration of climate-resilient practices into agricultural activities.	National level (one country)

Core Indicator 6: Degree to which GCF investments contribute to technology deployment,dissemination, development or transfer and innovation	Currently, smallholder farmers have limited access to digital financial services, hindering the deployment and innovation of technology in agricultural finance. Loan officers and financial institutions may lack specific training and expertise in integrating climate-smart lending criteria into their operations, leading to a gap in promoting the adoption of climate-smart technologies and practices.	low	By the Programme's completion, smallholder farmers will have seamless access to digital financial services, enabling them to utilize innovative financial solutions effectively. Loan officers and financial institutions will be equipped with comprehensive training on integrating climate-smart lending criteria into their operations. This training will enhance their understanding of the benefits and implementation of CSA practices, leading to the widespread adoption of climate-smart technologies and practices across agricultural finance.	By providing smallholder farmers with access to digital financial services (Activity 1.1.2), the Programme promotes the deployment and innovation of technology in agricultural finance, facilitating the adoption of climate-smart technologies and practices. By integrating climate-smart lending criteria and providing training for loan officers and financial institutions on the benefits and implementation of CSA (Activity 1.1.3), the Programme promotes the deployment and dissemination of innovative technologies in agriculture. By structuring loan terms and incentives to encourage Climate-Smart Agriculture (CSA) adoption (Activity 2.2.1), the Programme promotes the deployment and dissemination of innovative financial solutions aimed at supporting climate-resilient agricultural practices	National level (one country)
Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level	There is limited adoption of climate risk assessments in lending operations among financial institutions and agricultural stakeholders. The understanding and	low	The target scenario envisions a transformed landscape where market development and transformation at the sectoral, local, and national	Through the adoption of climate risk assessments in lending operations (Activity 2.1.1), the Programme helps financial institutions and agricultural	National level (one country)

	management of climate-related risks are not fully integrated into the decision-making processes, which may lead to a lack of effective risk mitigation strategies. Additionally, the market for climate-smart technologies, inputs, and services related to agriculture is underdeveloped.		levels are significantly enhanced, driven by the adoption of climate risk assessments in lending operations and increased investment in Climate-Smart Agriculture (CSA) practices.	stakeholders better understand and manage climate-related risks, thus fostering market development and transformation at the sectoral and local levels. By facilitating partnerships, providing support, and promoting access to the Line of Credit Facility (Activity 1.1.4), the Programme stimulates investment in CSA practices, thereby creating market demand for climate-smart technologies, inputs, and services, which contributes to market development and transformation at the sectoral, local, and national levels.	
Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies and standards	Currently, there is limited mechanisms for the dissemination of information, sharing of experiences, and documentation of successful case studies regarding CSA. Knowledge generation and learning processes are not effectively facilitated, resulting in a gap in the exchange of good practices and methodologies in CSA.	low	The target scenario envisions a transformed landscape where knowledge generation and learning processes related to Climate-Smart Agriculture (CSA) are significantly enhanced, and the dissemination of good practices and methodologies is widespread.	Through the dissemination of information, sharing of experiences, and documentation of success case studies (Activity 4.2.1), the Programme facilitates the exchange of good practices and methodologies for Climate-Smart Agriculture (CSA), thus contributing to effective knowledge generation and learning processes.	National level (one country)

	Similarly, capacity-building initiatives and support for business plan development are lacking, leading to insufficient dissemination of good practices and methodologies for the adoption of climate-smart technologies and practices.			In addition, through capacity-building initiatives and support for business plan development (Activity 2.3.2), the Programme facilitates the dissemination of good practices and methodologies for the adoption of climate-smart technologies and practices, thus contributing to effective knowledge generation and learning processes.	

E.5. Project/programme specific indicators (project outcomes and outputs)

*This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). AEs have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, AEs are encouraged to add and monitor co-benefit indicators under the "**Project/programme co-benefit indicators**" section in table below. Add rows as needed.*

Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Project/programme results (outcomes/ outputs)
				Mid-term	Final	
Outcome 1 Reduced GHG emissions and enhanced resilience in the agricultural sector	Number of biodigesters installed	GCFF Annual Progress Reports; Loan disbursement records; Field visits	0	75 biodigesters	175 biodigesters by Y5 1000 biodigesters by Y20	The programme seeks to finance on average 50 biodigesters per year over the programme duration
Output 1.1 Establishment of a dedicated Line of	Volume of financing approved and disburse	GCFF Annual Progress Reports; Loan disbursement records	0	€ 29.1 M	€ 84.9M by Y5 €391.3M for Y20	There is sufficient demand from farmers and MSMEs for

concessional credit focused on CSA						CSA products, technologies, and financial services. The volume of finance takes into account the revolving nature of the GCFF.
	Number of concessional loans disbursed	GCFF Annual Progress Reports; Loan disbursement records	0	9,592	31,023 by Y5 152,561 by Y20	Ability to pay and appetite to contract debt among Programme beneficiaries The is the estimate of both the adaptation and mitigation allocation quotas
Outcome 2: Increased access to finance, financial inclusion and improved risk management in agricultural lending	Number of stakeholders with strengthened capacity for climate adaptation and mitigation	Training attendance records, training reports	0 participants	1,000 participants	2,000 participants	Programme proponents have access to technical capacity to undertake CSA practices
Output 2.1 Development of climate-smart credit products, risk scoring tools, and compliance monitoring tools tailored to CSA investments	Level of integration of climate risks assessments in LBA's lending operations	GCFF Annual Progress Reports; Portfolio Assessment reports	0% integration of assessments	30% integration	60% integration by Y5 100% integration by Y20	Sufficient and reliable data is available for the development of the digital tools and climate-smart credit products Willingness among target beneficiaries to use the developed tools
	Number of digital frameworks to support green financing developed	GCFF Annual Progress Reports; System implementation reports	0	3 (climate risk assessment tool, credit scoring tool, and e-extension platform)	5 (climate risk assessment tool, credit scoring tool, e-extension platform, Compliance Monitoring Tool, Digital lending platform)	
	Number of climate-smart credit products developed	GCFF Annual Progress Reports	0	2	4	

	Number of staff trained in climate risk assessment in lending operations	Attendances sheets of training activities and records of PMU	0	20	40	
	Percentage of CSA credit products that integrate risk-scoring and compliance monitoring tools	GCFF Annual Progress Reports; Portfolio Assessment reports	0	30% integration	60% integration by Y5 100% integration by Y20	
	Number of farmers benefiting from e-extension services	GCFF Annual Progress Reports	0	5,725	18,550 by Y5 91,360 by Y20	60% of direct beneficiaries use e-extension services
Output 2.2: Improved investment capacities of women smallholder farmers and MSMEs	Number of participants trained in CSA practices	Training attendance records, training reports	0	1,000 participants	2,000 participants	Targeted Programme beneficiaries are ready to participate in the activities Effective communication and dissemination mechanisms put in place
	# of women and youth enterprises participating in the capacity building forums	GCFF Annual Progress Reports, Participation records	0	300	600	
	Number of capacity building events organized	GCFF Annual Progress Reports; Training Reports	0	20 events	40 events	
	Number of projects receiving post-approval technical assistance	GCFF Annual Progress Reports	0	100 projects	200 projects	
	Number of MSMEs receiving CSA-related investment training	GCFF Annual Progress Reports; Training Reports	0	80 MSMEs	200 MSMEs	
Outcome 3: Strengthened policy frameworks, knowledge dissemination and enhanced institutional capacity to support the scale-up of CSA	Number of policy dialogue/ workshops/ roundtables facilitated	GCFF Annual Progress Reports	0	3 events	5 events	There is commitment from both state and non-state actors in developing a conducive environment that promotes and incentivizes the uptake of CSA practices
	Number of knowledge-sharing events conducted	GCFF Annual Progress Reports	0	4 events	20 events	Targeted programme beneficiaries willingly participate in KM events organized

Output 3.1: Creation and dissemination of policies, standards, and finance mechanisms promoting CSA investments	Number of CSA policies and standards	GCFF Annual Progress Reports	No policies and standards formulated	At least 1 formulated policies and standards	At least 2 formulated policies and standards	Political and economic conditions in Senegal remain stable enough to allow for uninterrupted Programme implementation
Output 4.1: Establishment of partnerships for CSA data collection and reinforcement of knowledge-sharing platforms	Number of MoUs signed with partnership agencies	GCFF Annual Progress Reports	0 MoUs signed	At least 2 MoUs signed	At least 5 MoUs signed	Knowledge products aim to disseminate experiences (positive and negative) in conducting CSA practices. Where applicable, necessary consents/ agreements will be sought when making such products public.
	Number of knowledge products developed and disseminated	GCFF Annual Progress Reports	0	5	10	
	Number of active knowledge-sharing platforms on CSA reinforced or created	GCFF Annual Progress Reports	0	2	5	
Project/programme co-benefit indicators						
Co-benefit 1: Job Creation	Number of new jobs created by the Programme disaggregated by gender	GCFF Annual Performance Reports	0	1,600 (30% female)	3,200 by Y5 (30% female) 8,400 by Y20 (30% female)	Number of jobs generated by the MSMEs, Service Providers & Asset Financiers, and large corporates benefitting from GCFF finance
Co-benefit 2: Increased access to climate finance for women smallholder farmers and women-led MSMEs	% of GCFF funding contributing to gender equity	GCFF Annual Performance Reports	0	30% of loan funding and 30% of grant funding	30% of loan funding and 30% of grant funding	30% of GCFF Lending Facility proceeds finance women led businesses and/or businesses that promote women economic empowerment and gender equality
Co-benefit 3: Improved Food Security, Livelihoods and well-being	Number of direct beneficiaries that have reported an increase in income, disaggregated by gender	GCFF Annual Performance Reports; Household surveys at mid and end term	0	5,725 (30% female)	18,550 (30% female) after 5 years 91,360 (30% female) after 20 years	60% of GCFF direct beneficiaries have increased incomes
E.6. Project/programme activities and deliverables						

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed. Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.

Activities	Description	Sub-activities	Deliverables
1.1.1 Establish a dedicated line of credit for CSA Lending Operations	Activity 1.1.1 focuses on establishing a dedicated line of credit for CSA lending operations, resulting in an operational credit facility. The initial step involves designing and setting up the credit line by developing a comprehensive operational framework. This process includes identifying target beneficiaries, such as Farmer Organizations (FOs), women and youth groups, cooperatives, and MSMEs. Criteria and mechanisms for both direct and indirect lending through Baobab will be established to ensure effective distribution.	1.1.1.a Design and Setup of the Credit Line	1.1.1.a One Operational framework document for the credit line.
1.1.2 Development of suitable financial products	Activity1.1.2 aims to enhance financial inclusion for smallholder farmers by increasing their access to financial services. Sub-Activity 1.1.2.a focuses on the development of a digital service delivery framework, inclusive of comprehensive training for smallholder and medium-scale farmers to ensure they are adept at using these digital financial services. Sub-Activity 1.1.2.b targets the creation of a suite of financial products tailored to support the adoption of high-cost technologies in agriculture. This involves identifying technologies suitable for smallholder farmers and developing corresponding financial products to facilitate their acquisition and utilization. The goal is to empower smallholder farmers with the financial tools and resources necessary to enhance their productivity and sustainability.	1.1.2.a Develop a digital lending framework 1.1.2.b Develop financial products tailored for high-cost technologies in agriculture	1.1.2.a. One digital lending framework. 1.1.2.b. At least one financial product tailored for high-cost technologies in agriculture
1.1.3 Development of a CSA lending framework	Activity 1.1.3 aims to focus exclusively on Climate-Smart Agriculture (CSA) practices, to increase the adoption of these practices among farmers and MSMEs. Sub-Activity 1.1.3.a involves creating a CSA-specific lending framework, which includes defining lending criteria centered around CSA practices and providing training for loan officers and financial institutions on the benefits and implementation of CSA. Sub-Activity 1.1.3.b focuses on monitoring and evaluation, establishing a framework to regularly assess and report on the impact of CSA lending.	1.1.3.a Develop the CSA Lending Framework 1.1.3.b Monitor and Evaluate Framework for CSA lending	1.1.3.a One CSA lending guideline 1.1.3.b One M&E framework document
1.1.4 Establishment of partnerships with FOs, Cooperatives and corporate entities	Activity 1.1.4 focuses on encouraging the adoption of Climate-Smart Agriculture (CSA) practices across the entire agricultural value chain, aiming for broader implementation of these sustainable practices. Sub-Activity 1.1.4.a involves engagement with MSMEs and cooperatives, targeting the identification and engagement of 200 MSMEs and agricultural cooperatives. This includes facilitating partnerships with IFAD's IGREENFIN project to enhance collaborative efforts. Sub-Activity 1.1.4.b emphasizes	1.1.4.a Identify and engage with 200 MSMEs and agricultural cooperatives, in collaboration with IFAD's IGREENFIN Programme management unit. 1.1.4.b Identify and pre-vet 40 CSA technology and service providers. 1.1.4.c Engage 10 Corporate Entities	1.1.4.a 200 agreements signed with MSMEs and cooperatives 1.1.4.b One Supplier Database with the pre-vetted suppliers 1.1.4.c 10 agreements signed with corporate entities, including parastatals.

	collaboration with service providers, specifically aiming to identify and pre-vet 40 CSA technology suppliers. Sub-Activity 1.1.4.c targets the involvement of corporate entities by identifying and engaging 10 corporate entities, including parastatals. This sub-activity focuses on facilitating access to the Line of Credit Facility for eligible entities to promote CSA adoption.		
2.1.1 Integrate Climate Risk Assessments in Lending Operations	Activity 2.1.1 focuses on the integration of climate risk assessments into lending operations. Sub-Activity 2.1.1. a involves the development of an online portal dedicated to climate risk assessments. This portal should provide access to climate-crop modelling results, associated risks, and an impact assessment tool. It will be useful for the (i) estimation of farmers' climate risk depending on their location, crops grown and/or livestock kept, management practices implemented by the farmer (BAU Scenario); (ii) providing advisory services of appropriate CSA practices and technologies a farmer can undertake to sustainably improve productivity, and increase resilience to climate change; (iii) Re-calculation of farmers' climate risk based on the advice given in (2) above (Alternative CSA Scenario vis a vis BAU Scenario). The implementation includes ensuring a user-friendly interface for easy navigation and data input. Sub-activity 2.1.1.b includes designing training modules, conducting training sessions, and providing ongoing support and guidance for portal maintenance and enhancement. Sub-Activity 2.1.1.c focuses on training for LBA to effectively utilize, maintain, and enhance the online portal. Sub-Activity 2.1.1. d will focus on undertaking stress test analysis of the agricultural lending portfolio of LBA.	2.1.1.a Develop of an Online Portal 2.1.1.b Development of a User Guide and Training Manual 2.1.1.c Train LBA staff on best practices in integrating climate risks while considering Senegal's and West African Economic and Monetary Union (WAEMU) banking regulations 2.1.1.d Undertake stress-test of LBA's agricultural lending portfolio	2.1.1.a One Functional online portal for climate risk assessments 2.1.1.b One User Guide and One Training Manual for the Online Portal. 2.1.1.c Training material and training workshop report on best practices in integrating climate risks while considering Senegal's and West African Economic and Monetary Union (WAEMU) banking regulations 2.1.1.d Two Stress-test analysis reports (mid-term and at end-term of Programme)
2.1.2 Development of Climate-Smart Credit Products	Activity 2.2.1 is dedicated to the creation of Climate-Smart Credit Products, with the primary goal of tailoring financial solutions specifically for smallholder farmers. Sub-Activity 2.2.1.a involves the design of these products. This entails a thorough identification of the needs of smallholder farmers, followed by the design of credit products tailored to meet those needs. Features such as seasonal cash flow considerations, market conditions (utilizing Warrantage), and weather index-based microinsurance are incorporated into the product design to ensure relevance and effectiveness. Sub-Activity 2.2.1.b focuses on structuring loan terms and incentives to further encourage Climate-Smart Agriculture (CSA) adoption. This involves defining loan terms that incentivize farmers to adopt CSA practices and developing options for different CSA adoption levels (Minimum, Bronze, Silver, and Gold), each with varying investments and incentives such as longer loan terms and lower interest rates.	2.1.2.a Design Climate-Smart Credit Products 2.1.2.b Development of an Operations Manual for the Climate Smart Credit Products	2.1.2.a Two Climate-smart credit products tailored and available for smallholder farmers. 2.1.2.b One Operations Manual for the CSA Credit Products
2.1.3 Develop Climate-Smart Credit Risk Scoring Tools	Activity 2.2.2 focuses on developing a Climate-Smart Credit Scoring tool. Sub-Activity 2.2.2 a involves the development of a	2.1.3.a Develop of Credit Scoring Criteria	2.1.3.a One Climate-smart credit scoring framework document

	climate-smart credit scoring framework tailored to smallholder farmers by defining criteria that incorporate climate risk exposure, CSA practices adoption, and financial history. Sub-Activity 2.2.2 b, focuses on integrating these criteria into the lending framework, Sub-Activity 2.2.2 c entails pilot testing the credit scoring system with a selected group of smallholder farmers, collecting user feedback on ease of use, accessibility, and effectiveness, and making necessary adjustments to enhance the system.	2.1.3.b Integration of the Credit Scoring System 2.1.3.c Pilot Testing and User Feedback	2.1.3.b One financial product that incorporates the climate-smart credit scoring framework 2.1.3.c One report on the pilot's effectiveness and user feedback
2.1.4 Develop a CSA Compliance Monitoring Tool	Activity 2.2.3 focuses on the development of a CSA Compliance Monitoring Tool, with the primary objective being the creation of an ICT-enabled tool for monitoring Climate-Smart Agriculture (CSA) adoption and the usage of funds allocated for CSA initiatives. Sub-Activity 2.2.3.a involves the design of the compliance monitoring tool. This includes designing a user-friendly interface accessible to both lenders and borrowers. Sub-Activity 2.2.3.b focuses on development of the Compliance Monitoring Tool that integrates the credit scoring system. Functionalities will be developed to update borrowers' credit scores based on their compliance with CSA practices, ensuring that the credit scoring system reflects borrowers' adherence to sustainable agricultural practices. Sub-Activity 2.2.3 c entails pilot testing the Compliance Monitoring Tool with a selected group of smallholder farmers, collecting user feedback on ease of use, accessibility, and effectiveness, and making necessary adjustments to enhance the system	2.1.4.a Design the Compliance Monitoring Tool (CMT) that encompasses user requirements; Data Flow Diagrams; Wireframes and Mock-ups; Technical Specifications; Dashboard Design; and Usability Testing Plan 2.1.4.b Development of the Compliance Monitoring tool 2.1.4.c Pilot Testing and User Feedback	2.1.4a One CMT Design document 2.1.4.b One ICT-enabled compliance monitoring tool 2.1.4.c One report on the pilot's effectiveness and user feedback
2.1.5 Development of a digital mobile lending platform for CSA lending	This activity is geared towards designing and developing a functional digital lending platform that reduces the transaction costs of last mile CSA lending. This activity aims to deliver an operational digital lending platform specifically designed for rural areas, enabling increased financial access.	2.1.5a Platform Design and Functional Specification 2.1.5b Prototype Development and User Testing. This will incorporate loan risk assessment, credit scoring (A 2.2.2), and compliance monitoring (A 2.2.3) 2.1.5c Mobile App Development and User Interface (UI) Design 2.1.5d Testing and Quality Assurance checks. This will include cybersecurity and data protection checks. 2.1.5e Launch and marketing to raise awareness of the Digital lending Platform	2.1.5a One Functional specification document detailing platform architecture and key features 2.1.5b Prototype feedback report and refined platform design based on user insights 2.1.5c One Fully functional USSD Platform and Android mobile app 2.1.5d One compliance report 2.1.5e Platform launch report 2.1.5f Annual progress reports on the status of the mobile lending platform

		2.1.5f Post launch support to incorporate users' views, address any technical issue, and scaling of app features	
2.2.1 Train women and youth involved in CSA practices on Financial Management and Literacy	This activity will focus on providing training on Financial Management and Literacy, with the primary goal of enhancing financial management skills and literacy among women and youth involved in CSA practices.	2.2.1a Undertake a needs assessment outlining the current financial management skills and literacy levels 2.2.1b Development of tailor-made training materials for women and youth that focuses on financial management, credit access, business planning, financial forecasting, and digital financial tools 2.2.1c Undertake training workshops and webinars	2.2.1a One Needs assessment report 2.2.1b One training manual 2.2.1c Annual training reports (Segregated by gender, age, and mode of training)
2.2.2 Capacity Building for CSA Technologies and CSA Business Plans Development	This activity will support selected targeted beneficiaries build institutional capacity in developing climate-smart business plans. The focus is to empower MSMEs, including women and youth groups, by providing training, structuring, and raising awareness of entrepreneurship, leading to the development of business plans for MSMEs.	2.2.2a Development of training manuals, including standard business plan templates 2.2.2b Provide hands-on training to women and youth farmers on CSA technologies 2.2.2c Offer post-investment guidance on topics such as climate impact measurement, climate governance, E&S, gender mainstreaming in climate finance.	2.2.2a One Training Manual on business plan development 2.2.2b Annual Training reports 2.2.2c Annual reports on post-investment capacity building initiatives
2.2.3 Provision of E-extension Services	Activity 2.3.3 focuses on providing e-extension services to improve access to agro-climatic information and early warning systems for women and youth farmers. This includes delivering multi-channel extension services through farmer-to-farmer programs, farmer field schools, and utilizing radio, SMS, and e-extension platforms. Additionally, it involves close collaboration with Senegal's National Meteorological Agency (ANACIM) to ensure the alignment of these services with national agro-climatic data and early warning systems, integrating ANACIM's forecasts into the e-extension platforms for timely and accurate information dissemination.	2.2.3.a Implement Multi-channel Extension Services 2.2.3.b Integration of ANACIM's data and forecasts into the e-extension platforms for timely and accurate information dissemination.	2.2.3.a One Functional e-extension platform 2.2.3.b One Data Exchange Protocol Framework illustrating the System architecture design, API integration; Security configuration; and Deployment Plan
3.1.1. Formulation of CSA Policies and Standards	Activity 3.1.1, the formulation of CSA policies and standards involves a structured approach consisting of three sub-activities. In 3.1.1.a, the focus is on Identifying Measures to Eliminate Barriers to Private Sector Investment. Sub-Activity 3.1.1.a, involves the development of actionable recommendations based on the barrier analysis, prioritizing them according to feasibility, impact, and alignment with CSA objectives. 3.1.1.b concentrates on Developing Investment Strategies for the Public Sector, with the deliverable being an investment strategy document aimed at	3.1.1a Undertake Barrier Analysis and develop remedial measures for increasing Private Sector Investment in CSA Practices 3.1.1b Develop Investment Strategies for the Public Sector 3.1.1c Undertake stakeholder consultation workshops	3.1.1a One Report on barriers and measures to enhance private sector investment in CSA practices 3.1.1b One Investment strategy document for enhancing public sector support in CSA practices. 3.1.1c One consultation workshop report

	enhancing public sector support in CSA practices. This involves the formulation of a draft investment strategy document through a review of existing strategies and identification of gaps while undertaking stakeholder consultations and validation to refine and finalize the investment strategy. Sub-Activity 3.1.1c to e is centered on Establishing Institutional and Legal Frameworks, aiming to propose supportive institutional and legal frameworks for CSA practices and agribusiness. It involves Regulatory and Institutional Analysis, Framework Development, and Stakeholder Engagement and Refinement.	3.1.1d Development of Institutional and Legal Frameworks for CSA practices 3.1.1e Undertake stakeholder validation workshops	3.1.1d One Action Plan for institutional and legal frameworks supportive of CSA practices and agribusiness. 3.1.1e One validation workshop report
3.1.2 Promoting Climate-Smart Green Finance Mechanisms	Sub-Activity 3.2.1a facilitates policy dialogues among key ministries and stakeholders to produce actionable policy reform recommendations. This includes organizing inter-ministerial committee meetings to generate policy recommendations and engaging with LBA, banking sector and private sector representatives to gather input and document feedback for policy reforms. Sub-Activity 3.2.1b focuses on the development of guidelines and manuals for integrating climate risks in lending operations. Sub-Activity 3.2.1.c Organize training workshops for LBA Staff on identification and mitigation of climate risks in lending operations	3.1.2a Coordinate Policy Dialogues between Stakeholders 3.1.2b. Development of guidelines and training manuals on integration of climate risks lending portfolios 3.1.2c. Undertake training workshops and seminars	3.1.2.a One climate-smart Green Finance Handbook 3.1.2.b. One Training Manual on climate risks integration in lending operations 3.1.2.c Two training workshop reports
4.1.1. Establishment and Strengthening CSA Data Collection and Information Management Partnerships	Sub-activity 4.1.1a, establish partnerships by identifying key CSA agencies and NGOs, engaging stakeholders, drafting and finalizing Memoranda of Understanding (MoUs), Sub activity 4.1.1b establishes data collection and management protocols, incorporating quality assurance measures. Sub activity 4.1.1c focuses on the development of a central repository, including needs assessment, planning, design, implementation, and data standardization. Sub activity 4.1.1d focuses on communication and feedback mechanisms, including stakeholder engagement, regular meetings, and feedback collection to enhance the effectiveness of the repository and data collection processes.	4.1.1a Establish Partnerships 4.1.1b Establishment of Data collection and management protocols 4.1.1c Development of Central Repository 4.1.1d implement the Communication and Feedback Mechanisms	4.1.1a Five Signed MoUs with partner agencies 4.1.1b One guideline on Data collection and Management 4.1.1c One Central Repository for knowledge management and dissemination 4.1.1d One Feedback-and-response mechanism
4.1.2. Reinforcement of CSA Dissemination and Learning	Activity 4.2.1 focuses on reinforcing the dissemination of CSA practices and learning through three Sub-activities. Firstly, the development of promotional materials includes creating engaging explainer videos, conducting webinars, and designing visually appealing brochures (Sub-Activity 4.2.1 a). Secondly, the establishment of a user-friendly Programme website ensures comprehensive information sharing by regularly updating it with	4.1.2a. Develop Promotional Materials 4.1.2b. Establish Programme Website 4.1.2c. Documentation of Lessons Learned	4.1.2a. Five explainer videos and five webinars, 4.1.2b. One functional website for knowledge dissemination

	relevant news, updates, and events related to CSA practices (Sub-Activity 4.2.1 b). Lastly, the documentation of lessons learned involves identifying and documenting success case studies and organizing learning workshops and presentations to share experiences and insights with key stakeholders (Sub-Activity 4.2.1 c).		4.1.2c. Five Reports on successful case studies

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Besides the arrangements (e.g. annual performance reports) laid out in Accreditation Master Agreement (AMA), please give a summary of the project/programme specific arrangements for monitoring, reporting and evaluation including a description of the monitoring and reporting system that will be used to assess the climate results of the proposed activity. Please also summarize the types of interim and final evaluations. Describe Accredited Entity (AE) project reporting relationships, including to the National Designated Authority (NDA)/Focal Point and between AE and Executing Entity (EE) as relevant, identifying reporting obligations from the EE to the AE. This should relate to the frequency of reporting on project indicators, implementation challenges and financial status. Please note that interim and final evaluations are expected to embed an assessment of project/programme's contributions to a paradigm shift and enabling environment using a three-point scale rating. Refer to the guidance note for the summary requirements and factor in additional evaluation /assessment activities under this section accordingly.

136. LBA proposes a comprehensive Monitoring and Evaluation (M&E) Plan for this Programme. The Programme's M&E will adopt a participatory approach that will encourage the commitment of all stakeholders in the implementation of monitoring and evaluation activities. This will involve consulting all stakeholders, including beneficiaries, in the planning processes, in the implementation of the Programme, in the monitoring of activities and in the evaluation of results. Such an approach will facilitate the understanding and the adoption by stakeholders of the objectives, strategies and expected results of the Programme.

137. The monitoring and evaluation system will focus on the expected results according to the results chain described in the logical framework. The application of the results-based management approach makes it possible to link the human, material and financial resources allocated to the implementation of activities and to better plan the expected results, the medium-term effects, and the impacts that the Programme is expected to have on the living conditions of the community.

138. The M&E system will be used for: (i) continuous, systematic internal monitoring of the implementation of planned activities and progress on different levels of outcomes, assessed on a biannual and annual basis; (ii) periodic internal evaluations; (iii) specific thematic evaluations undertaken to respond to identified needs; and (v) periodic external evaluations. The latter includes baseline surveys carried out at the beginning of the Programme and impact assessments at Programme end to determine as precisely as possible the benefits generated by the Programme's activities.

139. The monitoring and evaluation system will integrate and triangulate the following sources of data:

- Primary Programme level data.
- Secondary data from national statistical surveys and evidence from other agencies and partners in the region.

- Data generated by studies and surveys to measure the changes brought about by the Programme at the target level.

140. To facilitate and harmonize data entry, processing, archiving and sharing of information, an online database will be set up. It will include data entry forms corresponding to the different forms / monitoring tools and exit reports (dashboards) meeting the information needs. The results communication system will allow the main conclusions from the analyses to be shared with the various stakeholders. This would include, for example, the reports of the biannual and/or annual results of the Programme (technical and financial reports). The biannual and annual progress reports will present an overview of the activities carried out and their cost, the products and the results obtained. The expected outputs and outcomes of Programme will be detailed in the reports.

141. M&E System Components:

- Internal Monitoring: Continuous, systematic tracking of planned activities and progress at various outcome levels, assessed biannually and annually.
- Periodic Evaluations: Internal and external evaluations, including thematic evaluations, baseline surveys at Programme start, and impact assessments at Programme end to measure benefits.
- Data Integration: Utilization of primary Programme data, secondary data from national surveys, and data from studies and surveys to assess Programme changes.
- Online Database: A database will be established for data entry, processing, archiving, and information sharing, including biannual and annual progress reports detailing activities, costs, and results.

142. Monitoring Indicators:

- Impact Level: Indicators include loans disbursed by gender, beneficiaries by size, CO_2 reductions (via ex-post surveys as outlined in Annex 22a), and hectares under climate-resilient agriculture.
- Outcome Level: Indicators cover technologies transferred, adoption of climate-smart practices, digital lending access, low-emission energy capacity, and training in climate-resilient development.
- Output Level: Indicators track concessional loans, financial institutions' capacities, stakeholder engagement, and women/youth participation in climate-smart agriculture.

143. Evaluation Types and Budget:

- Mid-term and End-term independent evaluations: Assessments during Programme implementation.
- Annual Participatory Self-Evaluation: Regular evaluations involving stakeholders.
- Ex-post Independent Evaluation: Conducted at the end of implementation to assess long-term impacts.

144. The interim and final independent evaluations will be conducted in accordance with the Green Climate Fund (GCF) Evaluation Policy. These evaluations will adhere to the GCF’s evaluation criteria, including relevance, effectiveness, efficiency, impact, and sustainability. They will assess how well the Programme aligns with the expected outcomes, including climate resilience, emission reductions, and paradigm shift potential, as set out in the GCF’s guidelines. Both interim and final evaluations are expected to include an assessment of the Programme’s contributions to a paradigm shift toward climate-resilient development. This will be rated on a three-point scale and will evaluate how well the project has created an enabling environment, strengthened institutional capacity, and fostered the adoption of climate-smart practices. These assessments will be aligned with the GCF's guidance note and will include additional evaluation and assessment activities as required.

145. The Monitoring, Reporting, and Verification (MRV) system for the Programme will be designed to measure both mitigation and adaptation results. Mitigation results will focus on GHG emission reductions or sequestration, calculated in tCO_2e over the Programme lifespan. Adaptation results will be monitored through data collection on direct and indirect beneficiaries, resilience indicators, and changes in agricultural productivity. This will involve the use of climate data, climate risk assessments, and digital tools to measure compliance with climate-smart agriculture practices.

146. The mid-term evaluation is scheduled for the midpoint of the Programme, approximately in the third year of the 5-year implementation period, while the final-term evaluation will take place at the end of the Programme (Y6). Interim evaluations will focus on monitoring progress toward key outcomes, while final evaluations will assess the overall impact and long-term sustainability of the project. Both types of evaluations will include assessments of paradigm shifts, institutional capacity building, and the Programme’s contribution to climate resilience and low-emission development.

147. The Programme will implement a comprehensive monitoring, reporting, and evaluation system managed by the Programme Management Unit (PMU) within La Banque Agricole (LBA). The PMU will be responsible for tracking progress on climate results, using tools such as climate risk assessment tools, digital lending platforms, and compliance monitoring systems for climate-smart agriculture (CSA). This system will ensure accurate and timely reporting of both mitigation and adaptation outcomes, aligned with GCF requirements.

148. La Banque Agricole, as the Accredited Entity (AE), will provide regular updates to National Designated Authority (NDA). Reporting obligations from the Executing Entity (EE), Baobab Microfinance, to the AE will include regular updates on project indicators, financial status, and implementation challenges. The AE will submit periodic reports to the GCF, including annual performance reports, mid-term, and final evaluations. This structure ensures that all relevant stakeholders are informed about project progress and challenges.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Please describe financial, technical, operational, macroeconomic/political, money laundering/terrorist financing (ML/TF), sanctions, prohibited practices, and other risks that might prevent the project/programme objectives from being achieved. Also describe the proposed risk mitigation measures. Insert additional rows if necessary.

For probability: High has significant probability, Medium has moderate probability, Low has negligible probability

For impact: High has significant impact, Medium has moderate impact, Low has negligible impact

Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices

Selected Risk Factor 1: Credit risks

Category	Probability	Impact
Credit	Medium	Medium

Description

Credit risks are inherent to bank lending activities and are perceived to be higher for the agriculture sector compared to other sectors and industries. Credit risk is associated with the borrower's failure to meet the obligations in accordance with agreed terms. This risk is particularly significant in the agriculture sector due to the unique and often volatile factors (such as climate variability, fluctuating market prices, pests, market access) that can affect agricultural production and profitability. However, agricultural loans have historically shown volatility in repayment rates, primarily due to climate-related risks, highlighting the need for specialized recovery and risk management strategies

Mitigation Measure(s)

- LBA will implement a robust credit risk management framework, which anticipates, monitors, and manages potential risks to keep the business always insulated. This includes non-performing loans (NPLs) containment strategy that streamlines loan origination, modernizing credit processes (such as monitoring, follow-up and collection). This will be through Enhanced Risk Assessment and Early Warning Systems, Strengthening Agricultural Risk Mitigation, Targeted Recovery Programs, Increased Provisioning and Monitoring, and Client Education and Financial Literacy Initiatives.
- Provision of technical assistance to enable farmers improve their productivity and financial management

Selected Risk Factor 2: Demand risk

Category	Probability	Impact
Technical and operational	Medium	Low

Description

Lack of interest in loan Programme from targeted beneficiaries

Mitigation Measure(s)

- The market assessment and consultations with key actors during the proposal preparation phase showed that there is high demand for affordable agricultural credit facilities, but key barriers are prohibiting these investments (including high interest rates, inappropriate loan tenors, and lack of collateral).
- The Programme is designed to offer loans of suitable tenors at affordable interest rates, with a digital lending component incorporated into the Programme activities. Marketing and communications elements have also been built into the Programme, to raise awareness of the value of such Programmes. It is expected that these measures will decrease the probability of the risk occurring to a very low level.

Selected Risk Factor 3: Procurement risks		
Category	**Probability**	**Impact**
Technical and operational	Medium	Low
Description		
Procurement issues: Lack of compliance with procurement rules and / or limited capacity in procurement by executing entities.		
Mitigation Measure(s)		
All procurement for goods and services will be financed under the Programme will be carried out in accordance with LBA's procurement policy and regulations. As required, and on a project-by project basis or component basis, LBA will support procurement processes and offer procurement training for executing entities, as provided for in LBA's AMA signed with the GCF.		
Selected Risk Factor 4: Climate vulnerability risks		
Category	**Probability**	**Impact**
Other	Medium	Medium
Description		
Climate-related and environmental risks: Senegal is one of the countries that are most vulnerable to climate change, given its location in the Sahel. The agriculture sector, and particularly, the cropping system, is extremely sensitive to climate change. Shocks related to weather and climate might affect farm productivity and thus the ability of farmers to pay back loans. Inland, agriculture, which is mainly rainfed and has low productivity, is particularly vulnerable to climate change, jeopardizing the jobs of 30 percent of the working population[36].		
Mitigation Measure(s)		
Based on the market studies and climate risks and vulnerability assessment, this Programme aims to integrate climate risk assessments and management into bank lending, including using state-of-the-art risks assessment tools for the identification of the optimum adaptation measures. These measures will mitigate the lack of available climate risk and analysis data at the macro and micro level to support and direct climate investments, including in the agricultural sector and in agricultural lending operations. Furthermore, e-extension services are proposed to enable target beneficiaries better access climate information and extension services.		
Selected Risk Factor 5: Technical and technological risks		
Category	**Probability**	**Impact**
Technical and operational	Medium	Medium
Description		
Technologies needed to shift Senegal's agriculture towards low emission and climate resilience practices may require high up-front costs, making them prohibitive and inaccessible to smallholder farmers.		
Mitigation Measure(s)		
The concessional loan component of this Programme specifically targets this risk by providing better conditions that can lower the overall costs of borrowing. In addition, some of the activities in Components 2 and 3 directly tackle the issue of enhancing technological knowledge, e.g., through digitalization and linking climate risk assessment to extension services. This will ensure that the target beneficiaries will receive training and support, which, in turn, will support the long-term impacts of the measures.		
Selected Risk Factor 6: Knowledge risks		

[36] https://www.elibrary.imf.org/view/journals/002/2023/435/article-A002-en.xml

Category	Probability	Impact
Other	Low	Medium
Description		
Smallholder farmers may not have the capacity or the opportunity to access the relevant knowledge (information, practices, social capital) that could support their taking-up of climate-smart practices. This may hinder uptake of Programme activities.		
Mitigation Measure(s)		
The Programme – through its TA in Components 2 & 4 – will provide the relevant Information for farmers, including the integration of climate risk assessments in agricultural practices & technology prioritization; tools and programs to strengthen knowledge, extension services and agricultural infrastructures to target climate actions by farmers.		
Selected Risk Factor 7: Illicit practices		
Category	**Probability** (before mitigation measures)	**Impact**
Prohibited practices	Low	Medium
Description		
Risk of Programme activities being involved in illicit practices (money laundering, terrorist financing or other prohibited practices)		
Mitigation Measure(s)		
• All Sub-Projects shall comply with LBA's integrity framework, and Recipients shall contractually acknowledge that LBA reserves the right to investigate directly, or through its agents, any alleged corrupt, fraudulent, collusive, obstructive, coercive practice or any misappropriation (collectively, the "Prohibited Practices") relating to the Sub-Projects; and Recipients shall cooperate with any such investigation and extend all necessary assistance for satisfactory completion of such investigation • The Programme's GRM includes *inter alia* submission of administrative charges to the against parties involved in Prohibited Practices. The GRM will have different channels to report allegations of Prohibited Practices, including an independent reporting hotline available 24/7 and an online form to report allegations of Prohibited Practices.		
Selected Risk Factor 8: Currency fluctuation risks		
Category	**Probability** (before mitigation measures)	**Impact**
Forex	High	Medium
Description		
Currently, Senegal's currency is the CFA Franc (XOF), which benefits from a fixed exchange rate with the Euro, providing a natural hedge for GCF loans denominated in Euros against currency fluctuations. The most recent significant devaluation of the CFA Franc by 50% against the Euro occurred in 1994. Recently, ECOWAS countries have initiated a process to introduce a new regional currency, which could have implications for foreign exchange markets. While the outcome of this process remains uncertain, it is crucial to account for these risks.		
Mitigation Measure(s)		
• Borrowings and grants are requested in Euros, which has a fixed exchange rate to CFA franc, hence minimizing exchange rate risks. Subsequent loans to target beneficiaries will be made in CFA franc. • LBA and executing entities will employ adaptive management in collaboration with the GCF to determine the best course of action should there be a devaluation of the CFA Franc and/or introduction of new regional currency.		

- A material adverse change clause will be included in the term sheet/FAA in case of introduction of new regional currency and/or devaluation/re-evaluation.

Selected Risk Factor 8: Security risks		
Category	**Probability** (before mitigation measures)	**Impact**
Governance	Low	Medium
Description		
The Casamance conflict has been an on-going low-level conflict that has been waged between the Government of Senegal and the Movement of Democratic Forces of Casamance since 1982. The conflict has since subsided, with the Government signing a peace deal with the separatists in August 2022.		
Mitigation Measure(s)		
• Conducting of regular (bi-annual) screening and due diligence assessment of political upheavals by the Programme management Unit • Development of Physical Security Guidelines for LBA and Baobab Microfinance. This will include protocols of political threat and vulnerability assessments, detection and response mechanisms. • The Programme includes a component of Digital Financial Services (pilot digital lending and e-extension services), where beneficiaries can access credit products online without physically visiting a bank		

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

149. The proposed Programme is classified under Category I-2, which indicates a moderate level of environmental and social risks in financial intermediation. To effectively manage ESS risks susceptible to being materialized as part of the Programme implementation, an Environmental and Social Management Framework (ESMF) has been developed in accordance with the requirements for a Category B/I-2 Programme. This aligns with directives from the Senegal National Environment Policy, supported by relevant national legislation and the Revised Environmental and Social Policy of the Green Climate Fund (GCF). It mandates that LBA Bank prepare an ESMF report. The ESMF has been compiled through desk reviews and consultations with relevant stakeholders, focusing on potential Programme impacts, including ecological, social, and cumulative considerations. LBA is committed to maintaining stakeholder involvement from the Programme's inception through its implementation.

150. Sub-projects financed under this Programme will fall under Environmental Categories C and B. For Category B projects, which involve activities with potential limited adverse environmental and/or social risks and impacts that are typically site-specific, largely reversible, and manageable through mitigation measures, a targeted Environmental and Social Impact Assessment (ESIA) and an associated Environmental and Social Management Plan (ESMP) must be submitted and disclosed to LBA and GCF at least 30 days (about 4 and a half weeks) before the funding decision. Potential risks for Category B projects may include infrastructure construction, biogas system installations, and chemical use or production. Mitigating measures will include comprehensive waste management, climate-smart agriculture practices, responsible land and resource management, and appropriate chemical handling.

151. Overall, the Programme is expected to deliver significant positive impacts, such as enhancing climate change adaptation capacity, improving water resource management, bolstering the resilience of farmers and ecosystems, reducing greenhouse gas emissions, and enhancing livelihoods and quality of life. However, potential negative impacts might include biodiversity loss, construction-related effects, soil and water contamination, public health risks, depletion of water supplies, soil erosion, and environmental degradation.

152. The implementation of the ESMF will leverage existing administrative and management structures within LBA, overseen by the Programme Management Unit (PMU), which will monitor environmental and social screening processes. The PMU will be provided with resources and training to enhance screening capacities at various levels. This screening mechanism aims to identify and mitigate impacts before Programme submission for review and approval, guiding the scope of ESIAs for specific sub-projects. The cascading of ESMF Requirements to Baobab will be undertaken through (and will be subsequently set out in the Subsidiary Agreement between LBA and Baobab Microfinance):

- Updating of Baobab’s existing ESMS to align with the requirements set forth in this ESMF, including the GCF ESS/IFC PS requirements adopted and all developed annexes.
- Quarterly meetings with the E&S Manager to outline any challenges and seek guidance if needed on E&S issues
- Development of semi-annual reports on the integration of E&S requirements into the lending operations under Component 1 of the Programme.

153. The ESMF includes a Grievance Redress Mechanism (GRM) for sub-projects, outlining procedures to address complaints from affected individuals, organizations, or communities, ensuring equitable resolution. The framework also includes annexes with eligibility screening forms for Programme participants and stakeholders, such as farmers' organizations and local financial institutions, as well as briefs on the Sexual Abuse and Harassment (SEAH) policy and an Indigenous Peoples Policy

Framework (systematic screening of IPs and reporting will be conducted prior to undertaking any program activities).

154. An Environmental and Social Management Plan (ESMP) has been developed as part of the ESMF to outline measures for minimizing or preventing significant environmental, health, and safety impacts from the proposed Programme activities. The ESMP provides a practical strategy for managing potential unintended negative environmental and social impacts and facilitates inclusive multi-stakeholder consultations throughout the Programme's lifecycle. The ESMP uses a standardized risk assessment matrix to evaluate the consequence versus likelihood of all aspects. The Programme is not anticipated to be a significant emitter of greenhouse gases. Its activities will contribute to more efficient resource use.

155. This framework is expected to promote sustainable Programme development, enhancing positive environmental outcomes and other Programme co-benefits from sub-projects while minimizing anticipated negative impacts. A proactive approach to anticipating and preventing issues will strengthen mitigation measures proactively, rather than relying solely on reactive measures to address negative impacts post-occurrence. The Programme's main objective is to foster development that regenerates the environment without harm, empowering farmer communities rather than marginalizing them.

156. This Programme does not foresee funding any project that might trigger resettlement (whether temporary or permanent) and will be strictly limited to LBA's accreditation scope for Environmental and Social Safeguards (ESS) Category B/I2 projects. Activities/subprojects that may cause temporary or permanent physical and/or economic displacement will not be supported by the program per ESMF.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Provide a summary of the gender assessment and project/programme-level gender action plan that is aligned with the objectives of GCF's Gender Policy. Confirm a gender assessment and action plan exists describing the process used to develop both documents. Provide information on the key findings (who is vulnerable and why) and key recommendations (how to address the vulnerability identified) of the gender assessment. Indicate if stakeholder consultations have taken place and describe the key inputs integrated into the action plan, including: how addressing the vulnerability will ensure equal participation and benefits from funds investment; key gender-related results to be expected from the project/programme with targets; implementation arrangements that the AE has put in place to ensure activities are implemented and expected outcomes will be achieved, monitored and evaluated.

Provide the full gender assessment and project-level gender action plan as annex 8.

157. The Green Climate Finance Facility for fostering Climate-smart agriculture in Senegal aims to address gender disparities, promote women's participation and ensure equitable benefits from climate-smart farming practices.

158. The targeting and social inclusion strategy is based on the selection of regions with high levels of poverty and vulnerability, the lack of access to agricultural credit and the effects of climate change in the agricultural sector that severely affecting communities' productive capital.

159. Indeed, Senegal's commitment to promoting gender equality is deeply rooted in its adherence to international gender frameworks and the development of comprehensive national strategies. These initiatives have played a crucial role in developing a coherent national approach to gender equality. In 2021, Senegal's Human Development Index (HDI) was 0.475 for women, compared with 0.543 for men, giving a total value of 0.874. Reflecting significant disparities in education, healthcare, employment, and political representation, particularly in rural areas where agriculture is a primary livelihood.

160. In terms of the gender equality framework, the Gender Parity Law adopted in 2010, has significantly increased the proportion of women parliamentarians from 19.2% in 2001 to 43% by 2022. However, despite this significant progress, only 15 of the 559 local authorities are headed by women, a rate of

2.68%. Senegal also has a national strategy for gender equality (2016-2026) and international commitments (such as CEDAW).

161. In the area of education, 77.3% of girls attend primary school, compared with 80% of boys. However, only 11% of women have access to secondary education, compared with over 30% of men. The overall literacy rate for the population aged 15 and over is 64.81% for men and 39.8% for women, with only 25.9% of literate women in rural areas.

162. In terms of financial inclusion, women account for 43% of members of decentralized financial institutions, mobilizing 27% of deposits. They make up 53% of active entrepreneurs, but only 28.5% of the loan portfolio, revealing a persistent imbalance, especially in the agricultural sector.

163. In terms of employment, 43% of jobs are held by women, compared to 57% for men, and only 21% of them are in management positions, compared to 79% for men. Women aged 15 and over represent 38.6% of the working population. Gender analysis indicates that the fight against gender-based violence (GBV) remains essential, with over 58% of GBV cases reported within the home in 2016.

164. In agriculture, women play a crucial role, representing 70% of the workforce and contributing 80% of food production, but they manage only 16.4% of farms and rarely control more than 0.4 hectares of land, compared to 1.3 hectares for men. Women face challenges in land ownership, access to agriculture resources, loans, quality seeds and mechanized equipment despite their significant contribution to the sector, which reduces their productivity and financial independence. Overall, women and young people are more vulnerable than men in terms of access to land, credit, healthcare and education, despite government efforts to promote gender equality.

165. The Gender Action Plan (GAP) recommends involving at least 30% (upto 40%) women in all Programme activities and assigning a gender and social inclusion specialist to lead gender activities. This action plan aims to ensure the inclusion of gender issues in the agricultural sector and to strengthen the contribution and participation of vulnerable populations such as women and young people in climate-smart actions in Senegal. Specific actions have also been proposed to facilitate access to climate-smart credit products for vulnerable women and young people. The plan involves the commitment of stakeholders at different levels to create an enabling environment for climate-smart agricultural practices.

166. Some of the plan's activities are designed to enhance the equal participation of men and women by improving and diversifying the livelihoods of 152,266 people in rural communities dependent on rain-fed agriculture. By integrating gender considerations into all Programme components and monitoring the proposed activities, the loan ratio of 30-40% for women-led MSMEs and 30% for youth-led MSMEs will be achieved. Many actions are planned in the gender action plan for Women and youth to achieve these objectives (Please see Annex 8 Gender assessment and Gender action Plan).

167. Finally, annual monitoring and evaluation will enable progress in gender mainstreaming to be measured and, where appropriate, recommendations for continuous improvement to be made. Progress towards this goal will be measured and monitored using key performance indicators, which will be reviewed periodically over the Programme's life. The GAP also calls for the rapid upgrading of the gender focal point to meet international standards on gender climate change. In this way, the GAP will be regularly reviewed by the LBA's gender focal point throughout the Programme's lifecycle.

168. This process will ensure that gender equality objectives are met and that women benefit equitably from development initiatives. In addition, the gender and social inclusion expert will support the integration and implementation of the GAP throughout the duration of the Programme.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Describe the project/programme's financial management including the financial monitoring systems, financial accounting, auditing, and disbursement structure and methods. Refer to section B.4 on implementation arrangements as necessary.

Articulate any procurement issues that may require attention, e.g. procurement implementation arrangements and the role of the AE under the respective proposal, articulation of procurement risk assessment undertaken and how that will be managed by the AE or the implementing agency.

169. All goods and services for Components 2, 3, and 4 will strictly follow LBA's procurement policy for acquiring goods and services. The process includes the following:

170. All procurement under the Programme will be managed by LBA, in line with its policy and regulations, with no procurement at the Executing Entity (EE) level. LBA will fully oversee procurement processes, provide training and support as needed, and ensure compliance with its Accreditation Master Agreement (AMA) with the GCF. The relationship between LBA, as the Accredited Entity (AE), and the EE does not involve procurement at the EE level, with LBA retaining full oversight. A procurement risk assessment is implicitly factored in through established review thresholds to determine necessary interventions. LBA's procurement policy offers methods like Request for Quotation (RFQ) and open bidding, with clear thresholds to ensure transparency and effectiveness.

171. The procurement process involves:

- Preparation of Terms of Reference (ToR): Defining the scope, objectives, and specifications of the required goods or services.
- Expression of Interest (EOI):
- Pre-selection may be optional or mandatory based on specified thresholds.
- A notice is posted on LBA's website for at least 10 working days.
- Eligible suppliers are shortlisted after evaluation.
- Request for Quotations (RFQ):
- Quotations are solicited from pre-selected suppliers using approved methods.
- Evaluation criteria include technical specifications, delivery timelines, and pricing.

172. Supplier Selection Methods vary by type of acquisition:

- Lowest Price Selection: Suitable for routine or standardized goods or services, awarded to the supplier offering the lowest price that meets technical requirements.
- Quality and Cost-Based Selection: Applied for complex or higher-value contracts, where both quality and cost are evaluated.
- Direct Selection: Used in emergencies, for security reasons, or when only one supplier can meet the requirements.
- Framework Agreements: Establish terms with suppliers for recurring needs, improving procurement efficiency.

173. Thresholds and Procedures: Procurement thresholds vary depending on the nature and value of goods or services, ensuring transparency, competitive bidding where required, and compliance with LBA's policies.

174. Negotiations: Mandatory negotiations are held irrespective of the selection method to refine terms, pricing, and delivery.

175. These procedures ensure that LBA effectively procures the goods and services necessary for its operations while maintaining transparency, fairness, and efficiency in the procurement process.

Provide a detailed procurement plan as annex 10.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

☒	Annex 1	NDA no-objection letter(s) **(template provided)**
☒	Annex 2	Feasibility study - and a market study, if applicable
☒	Annex 3	Economic and/or financial analyses in spreadsheet format
☒	Annex 4	Detailed budget plan **(template provided)**
☒	Annex 5	Implementation timetable including key project/programme milestones **(template provided)**
☒	Annex 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): **(ESS disclosure form provided)** ☐ Environmental and Social Impact Assessment (ESIA) or ☐ Environmental and Social Management Plan (ESMP) or ☐ Environmental and Social Management System (ESMS) ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
☒	Annex 7	Summary of consultations and stakeholder engagement plan
☒	Annex 8	Gender assessment and project/programme-level action plan **(template provided)**
☒	Annex 9	Legal due diligence (regulation, taxation and insurance)
☒	Annex 10	Procurement plan **(template provided)**
☒	Annex 11	Monitoring and evaluation plan **(template provided)**
☒	Annex 12	AE fee request **(template provided)**
☒	Annex 13	Co-financing commitment letter, if applicable **(template provided)**
☒	Annex 14	Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

☐	Annex 15	Evidence of internal approval **(template provided)**
☒	Annex 16	Map(s) indicating the location of proposed interventions
☐	Annex 17	Multi-country project/programme information **(template provided)**
☐	Annex 18	Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
☐	Annex 19	Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
☐	Annex 20	First level AML/CFT (KYC) assessment
☒	Annex 21	Operations manual (Operations and maintenance)
☒	Annex 22	Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)[37]
☒	Annex 23	Climate risks and impact assessments

[37] Annex 22 is mandatory for mitigation and cross-cutting projects.

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

No-objection letter(s) issued by the national designated authority(ies) or focal point(s)

REPUBLIQUE DU SENEGAL
Un Peuple - Un But - Une Foi

N°01 METE/DCCTEFV

MINISTERE DE L'ENVIRONNEMENT ET DE LA TRANSITION ECOLOGIQUE

le 08 /08/2024

DIRECTION DU CHANGEMENT CLIMATIQUE, DE LA TRANSITION ECOLOGIQUE ET DES FINANCEMENTS VERTS

To: The Green Climate Fund ("GCF")

Ms. Mafalda Duarte
Executive Director
G-Tower, 24-4 Songdo-dong, Yeonsu-gu
Incheon City, Republic of Korea

Re: Funding proposal for the GCF by La Banque Agricole (LBA) regarding Green Climate Finance Facility for Fostering Climate Smart Agriculture in Senegal

Dear Madam,

We refer to the project titled **Green Climate Finance Facility for Fostering Climate Smart Agriculture in Senegal** in Senegal as included in the funding proposal submitted by **La Banque Agricole** to us on 30 June 2024.

The undersigned is the duly authorized representative of Madeleine Diouf Sarr, the National Designated Authority of Senegal.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the project as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Senegal has no-objection to the project as included in the funding proposal;
(b) The project as included in the funding proposal is in conformity with the national priorities, strategies and plans of Senegal;
(c) In accordance with the GCF's environmental and social safeguards, the project as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the project as included in the funding proposal has been duly followed.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,
Madeleine Diouf Sarr
NDA
Senegal

Ministère de l'Environnement et du Développement Durable • Direction de l'Environnement et des Établissements Classés • Autorité Nationale Désignée

Environmental and social safeguards report form pursuant to para. 17 of the IDP

Basic project or programme information	
Project or programme title	Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Accredited entity	La Banque Agricole (LBA)
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Across the regional locations in Senegal
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management System (ESMS) (if applicable)	
Date of disclosure on accredited entity's website	Friday, June 7, 2024
Language(s) of disclosure	English and French
Explanation on language	French is the official language of Senegal.
Link to disclosure	English: https://www.labanqueagricole.sn/sites/default/files/2024-12/06-Annex-6b-ESMF.pdf French: https://www.labanqueagricole.sn/sites/default/files/2025-01/Cadre%20de%20Gestion%20Environnementale%20et%20Sociale_VSF12012025.pdf
Other link(s)	N/A
Remarks	An ESMS consistent with the requirements for a Category I-2 Programme is contained in the "Environmental and Social Management Framework".

Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), IPP Framework (if applicable)	
Description of report/disclosure on accredited entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	English: https://www.labanqueagricole.sn/sites/default/files/2024-12/06-Annex-6b-ESMF.pdf French: https://www.labanqueagricole.sn/sites/default/files/2025-01/Cadre%20de%20Gestion%20Environnementale%20et%20Sociale_VSF12012025.pdf
Other link(s)	N/A
Remarks	The ESMF includes an IPPF (ESMF Annex 11). It is not envisaged that Indigenous Peoples will be impacted by the Programme, this framework is developed only as a precautionary measure to ensure that should they be affected, measures are in place. Any activities that may trigger ESS5 will not be supported per the ESMF. No RAP or RPF is needed nor included in the package at this time.
Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Tuesday, April 16, 2024
Place	Hard copies of the disclosure were made available at LBA and Baobab Microfinance headquarters and respective branches across Senegal. LBA headquarters are located at: 31-33, Rue El Hadji Amadou Assane Ndoye X Colbert, Place de l'Indépendance BP : 15 532 Dakar Fann (Sénégal) Branches are located at: https://www.labanqueagricole.sn/trouver-une-agence Baobab Microfinance headquarters are located at: Point E, Rue de Kaolack X Saint Louis Branches are located at: https://baobab.com/sn/#maprow
Date of Board meeting in which the FP is intended to be considered	
Date of accredited entity's Board meeting	TBD
Date of GCF's Board meeting	Monday, February 17, 2025

Note: This form was prepared by the accredited entity stated above.

Independent Technical Advisory Panel's assessment of FP262

Proposal name:	Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal
Country	Senegal
Accredited entity:	La Banque Agricole
Project/programme size:	Small (up to USD 50 million)

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. Agriculture is central to Senegal's economy, providing livelihoods for 70 per cent of the population. However, Senegal's reliance on food imports leaves the country vulnerable to food security risks, exacerbated by climate change. The GCF Facility for Fostering Climate-Smart Agriculture in Senegal (GCFF) programme seeks to address these challenges by enhancing agricultural productivity, building resilience to climate impacts and reducing greenhouse gas emissions from unsustainable farming practices. The programme focuses on advancing climate-smart agriculture (CSA) by facilitating access to credit and technical support across the agriculture value chain. By scaling CSA adoption, the initiative aims to boost productivity, improve livelihoods and strengthen food security while mitigating emissions.

2. GCFF targets smallholders and medium-sized farmers, who will receive approximately two thirds of the loan funding. The remaining one third will support agri-processing micro, small and medium-sized enterprises (MSMEs), service providers, financiers and larger agricultural corporates. The CSA activities to be financed include:

(a) Strategies for crop production, agricultural leasing and post-harvest management;

(b) The introduction of agroforestry practices and forage crop cultivation in order to improve livestock feed quality; and

(c) The introduction of biodigesters to convert agricultural waste into energy, offering a sustainable energy source.

3. The programme's accredited entity (AE), La Banque Agricole (LBA), is a first-time direct access entity with a mandate to support Senegal's agricultural sector. Majority government owned, LBA is a leading provider of agricultural working capital with extensive experience in collaborating with development finance institutions.

4. GCFF is structured as a EUR 39.7 million local currency on-lending facility. GCF is expected to provide EUR 18.7 million in concessional loans, matched by EUR 15 million in funds from LBA and EUR 6 million from the French Development Agency (AFD) through an indirect loan facilitated by the Government of Senegal. Additionally, GCF will contribute EUR 4.7 million in grants for a technical assistance facility to fund capacity-building, knowledge-sharing and policy development. LBA will provide EUR 4 million in-kind for project management costs under this facility.

5. As part of GCFF, LBA will allocate EUR 4.5 million of GCF loan proceeds to Baobab Microfinance Senegal, a leading microfinance institution. Baobab Microfinance Senegal will extend credit to underserved borrowers, complementing the traditional banking channels of LBA. Baobab Microfinance Senegal will match the GCFF loan with an additional EUR 4 million raised through a local currency green bond (totalling EUR 30.5 million) listed on the Abidjan stock exchange.

6. The overarching strategy of GCFF aligns with Senegal's nationally determined contribution (NDC) by addressing financing barriers that hinder CSA adoption, particularly among MSMEs, cooperatives and farmer organizations. Key objectives include:

(a) Promoting CSA practices through concessional credit lines;

(b) Establishing a dedicated lending facility supported by banks, microfinance institutions and a pilot digital lending platform;

(c) Offering tailored credit products with longer tenors and reduced interest rates to suit agricultural cash-flow cycles;

(d) Incorporating climate risk appraisal into lending operations using tools such as climate risk scoring and CSA compliance monitoring;

(e) Enhancing borrower education on CSA practices and financial literacy, emphasizing youth and women; and

(f) Strengthening policy frameworks, building institutional capacity and expanding knowledge dissemination in order to enable CSA scale-up.

7. Notably, GCFF is designed to complement an existing GCF-funded programme (funding proposal 183, the International Fund for Agricultural Development's IGREENFIN I). The International Fund for Agricultural Development's programme includes a EUR 17 million loan to LBA. Both initiatives share the goal of improving access to credit for CSA practices, ensuring synergy in addressing Senegal's agricultural challenges.

1.2 Impact potential *Scale: Medium*

8. The GCFF funding proposal projects that the programme will eliminate 3.76 million tonnes of carbon dioxide equivalent of greenhouse gas emissions over its lifetime while benefiting more than 687,000 people. These outcomes are to be achieved through the integration of CSA practices, including the use of biodigesters for renewable energy in agriculture, improved livestock management and the implementation of sustainable land-use strategies.

9. From an adaptation standpoint, GCFF intends to promote CSA solutions such as drip irrigation systems, climate-resilient seed varieties and agroforestry techniques, enabling farmers to cope with the challenges posed by climate change. These interventions are essential for maintaining stable agricultural productivity. The programme places a particular emphasis on supporting smallholders, especially women and youth, in order to enhance the adaptive capacities of these vulnerable groups and address their socioeconomic vulnerabilities.

10. Advancing CSA practices is a priority for Senegal, a least developed country in which agriculture plays a pivotal role in the national economy. The sector accounts for approximately 15 per cent of gross domestic product (GDP) and provides employment for a significant majority of Senegal's working population. However, it remains highly susceptible to climate change, which threatens both food security and economic stability.

11. Transitioning to a resilient and low-emission agricultural sector offers important opportunities to drive economic growth and improve food security. The adoption of CSA

practices on a larger scale can increase farm productivity, bolster resilience to climate-related challenges such as drought, pests and erratic weather, and reduce greenhouse gas emissions linked to deforestation and unsustainable farming methods such as slash-and-burn agriculture. Currently, only 2 per cent of Senegal's agricultural land is irrigated, leaving the sector heavily dependent on rainfall and vulnerable to droughts and heatwaves that jeopardize crops, livestock and water resources.

12. While CSA practices can effectively reduce vulnerability to climate risks, Senegalese farmers face significant obstacles to adoption. Limited access to financing and technical knowledge constrains their ability to implement these practices. With agriculture receiving less than 3 per cent of total bank lending in Senegal, many farmers lack the resources necessary to transition to climate-smart methods. GCFF is designed to address some of these barriers by coupling favourable financing terms for CSA with technical support. Addressing these barriers is key to unlocking the transformative potential of CSA in Senegal.

13. On the topic of climate impact potential, the independent Technical Advisory Panel (iTAP) also notes that, according to decision B.33/12, paragraph (c), resources will be allocated based on the ability of a proposed activity to demonstrate its climate impact potential. In annex VI to the same decision, the Board defines four principles for demonstrating adaptation impact potential and five principles for demonstrating the mitigation impact potential of GCF-supported activities.

14. The principles for demonstrating adaptation impact potential in GCF proposals include identifying current and future climate risks; explaining how the proposed activities address these risks; aligning the activities with national climate policies and strategies; and outlining a monitoring and evaluation system to assess adaptation outcomes. The iTAP acknowledges that it is currently not possible to fully assess the climate adaptation potential of each specific loan to be provided. However, the funding proposal presents a minimally adequate process to secure these principles in the future.

15. The iTAP assessment falls short of a full-throated endorsement owing to unresolved concerns regarding the adequacy of the screening tools and eligibility criteria intended to identify climate risks, align proposed investments with these risks, and establish robust monitoring requirements for adaptation outputs and outcomes. A key issue lies in the broad scope of eligible technologies and practices, which include renewable energy powered equipment, agroforestry systems and efficient water management solutions, and more. This expansive eligibility raises the risk that GCFF could inadvertently fund conventional agricultural practices that are subsequently reframed as adaptation measures.

16. This concern stems from the potential dilution of the adaptation goals of GCFF. If any incremental improvement to agricultural practices, aside from a few fossil fuel exclusions, is deemed adaptive, there is a risk of undermining the programme's focus on genuinely climate-resilient interventions. While general development programmes are undoubtedly beneficial, their broader developmental impacts should not be conflated with specific, measurable climate adaptation benefits.

17. The iTAP strongly recommends that the GCF Secretariat maintain rigorous oversight and provide ongoing support to ensure that GCF funding is directed towards meaningful climate adaptation and mitigation outcomes, rather than merely tangential climate-related purposes. Fortunately, the terms of GCF engagement with GCFF allow for active oversight. This oversight is critical to ensuring a clear and defensible causal link between GCFF-financed interventions and the reduction of climate vulnerability, and to implementing a monitoring framework that effectively measures and demonstrates the achieved adaptation outcomes ex post.

18. The impact potential is assessed to be medium.

1.3 Paradigm shift potential *Scale: Medium*

19. Overall, the GCFF programme has adequate potential to affect a paradigm shift in Senegal's agricultural sector as it demonstrates a vision for shifting agricultural practices towards climate resilience and sustainability. GCFF is designed to foster a transition from traditional, high-emission and low-resilience farming practices to innovative, climate-smart and sustainable agricultural methodologies. By leveraging a comprehensive approach that integrates financial support, capacity-building, policy enhancement and knowledge dissemination, the programme aims to create lasting impacts that extend beyond the scope of the initial investment.

20. LBA and Baobab Microfinance Senegal have demonstrated strong competency and a proven track record in agricultural lending. LBA is Senegal's leading agricultural lender, with more than four decades of experience and a commanding 30 per cent market share in agricultural loans. LBA benefits from strong capitalization and an extensive nationwide presence. Despite the inherent risks associated with agriculture, a sector susceptible to external shocks, LBA maintains solid financial health, evidenced by a tier 1 capital ratio of 13.61 per cent as at 31 December 2023. Its ongoing enhancements in risk management and governance frameworks have bolstered its credibility with development finance institutions, further solidifying its position as the premier financial partner for farmers and MSMEs within Senegal's agricultural landscape.

21. Senegal's agricultural sector offers significant untapped financing opportunities, yet access to formal credit remains limited. As at 2023, agriculture accounted for just 2.7 per cent of short-term loans and 1.8 per cent of medium- and long-term loans. While interest in agricultural investment is growing, financial institutions primarily cater to well-structured agribusinesses with robust financial profiles and sufficient collateral. These enterprises are better positioned to negotiate favourable terms and secure funding. Meanwhile, smaller, less-organized actors, who are critical to the sector's economic and environmental resilience, remain underserved, highlighting a significant gap in Senegal's agricultural financing ecosystem

22. The iTAP assesses that the potential for scaling up and replication in Senegal as good considering the market size and potential returns. By providing concessional loans and technical assistance, the programme effectively lowers financial barriers that typically hinder smallholders and MSMEs from accessing advanced agricultural technologies.

23. The programme's reliance on a technical assistance facility to establish institutional frameworks, raise public awareness and foster public–private dialogue is notable. This approach demonstrates that the programme goes beyond the implementation of CSA practices to focus on creating an ecosystem conducive to CSA adoption. This includes building local capacity and supporting reforms to the enabling environment. Such measures are essential for achieving the paradigm shift necessary to sustain long-term changes in agricultural practices and resilience.

24. However, a critical weakness in the funding proposal lies in its articulation of how these enabling environment reforms will be achieved. While the proposal emphasizes that LBA will actively work to strengthen regulatory frameworks and policies to promote CSA adoption, it does not convincingly establish that LBA is well positioned to effect such changes. The question is not whether support for an enabling environment is needed, since this is indisputable, but whether the AE has the capacity and a clear strategy to address the financial and regulatory barriers that typically hinder smallholders. In the assessment of the iTAP, LBA has not provided a sufficiently detailed or compelling pathway to address these systemic challenges.

25. On the positive side of the ledger, GCFF concessionality captured by end users of the green financing appears to be well tailored to encourage the uptake of loans and CSA practices, while not so overly concessional that the CSA space is deemed unbankable. Moreover, the use of

a revolving credit line to ensure continued funding for CSA practices further amplifies its scalability, allowing the impact to grow over time.

26. The iTAP assesses positively that GCFF looks to build on the current lending business of LBA and existing climate initiatives. LBA proposes scaling these initiatives, extending their reach to a larger number of beneficiaries and further promoting climate-resilient agricultural practices.

27. The programme also emphasizes building customer capacity through training on climate-smart practices, financial literacy and climate risk assessments. As the largest source of agricultural finance in Senegal, LBA has the reach to empower farmers and MSMEs with the knowledge needed to implement CSA practices. The creation of a centralized CSA information repository and the dissemination of best practices and success stories will facilitate widespread knowledge-sharing, allowing lessons learned to be applied beyond the immediate programme participants.

28. Overall, the programme appears reasonably designed to achieve long-term, sustainable impacts. Its structure emphasizes not only immediate interventions but also the potential for expansion and scalability through reinvestment and policy changes. By integrating financial resources, technical assistance and policy reform, the programme aims to create a comprehensive framework that fosters systemic transformation. This holistic approach increases the likelihood that the intended paradigm shift will deliver enduring benefits, extending its impact beyond the initial investment phase.

29. The potential paradigm shift is assessed to be medium.

1.4 Sustainable development potential *Scale: High*

30. The GCFF funding proposal outlines an approach to achieving co-benefits that prioritize environmental sustainability, enhanced community well-being and the empowerment of marginalized populations, while promoting economic growth and gender equity.

31. Social and environmental benefits: the adoption of CSA practices, such as zero tillage, crop rotation and agroforestry, enhances soil health, mitigates erosion and supports biodiversity. Measures such as drip irrigation, organic fertilizers and rainwater harvesting optimize water efficiency and improve soil moisture retention, contributing to water conservation. Efforts in reforestation and sustainable land use aim to restore degraded ecosystems, sequester carbon and protect biodiversity. By strengthening natural resource management, these interventions bolster Senegal's resilience to climate variability.

32. Health benefits: the transition away from harmful chemicals and the adoption of biogas cooking systems are anticipated to reduce health risks, particularly respiratory ailments. Enhanced food security through improved crop yields will ensure consistent food availability and better nutrition.

33. Economic benefits: CSA practices are expected to improve crop productivity and increase farmers' incomes, driving overall agricultural efficiency. The development of CSA-related markets and value chains will generate additional income through product processing and marketing activities. Job creation is anticipated in sectors such as agriculture, technology and financial services. By supporting MSMEs, cooperatives and farmer organizations, the initiative will encourage entrepreneurship. The adoption of innovative farming methods will reduce reliance on traditional practices, boosting agricultural output and stimulating broader economic activity.

34. Gender benefits: the proposal commits to allocating 30–40 per cent of the lending facility's resources to women- and youth-led enterprises, as outlined in the gender action plan. To encourage participation by women- and youth-led MSMEs and farmers, the programme

integrates targeted outreach strategies. This includes partnerships with women's networks and rural community organizations that have deep ties to these demographic groups.

35. In conclusion, this proposal not only addresses pressing climate challenges but also drives economic development, enhances environmental sustainability and promotes gender equity, contributing meaningfully to the Sustainable Development Goals.

36. The sustainable development potential is assessed to be high.

1.5 Needs of the recipient *Scale: High*

37. Senegal faces significant vulnerability to climate change impacts, particularly in the form of droughts and floods. The country's NDC sets ambitious targets for addressing challenges in agriculture and water resources, identified as the two most at-risk sectors. Despite the urgency, the agricultural sector's adaptation efforts are hindered by a critical lack of financing.

38. With a Human Development Index of 0.517 (as at 2022), Senegal ranks among the world's least developed countries, at 166th out of 189 nations. This reflects persistently low levels of human development, compounded by widespread poverty; 53.2 per cent of the population is classified as multidimensionally poor. From 2016 to 2018, around 1.8 million Senegalese faced hunger. Agriculture plays a vital role in the economy, employing 70 per cent of the population and contributing 17 per cent to GDP, of which 30 per cent comes from livestock farming. Approximately 46 per cent of Senegal's land is used for agriculture, with 17 per cent classified as arable. The sector is dominated by small family farms, which make up 95 per cent of agricultural landholdings.

39. Agriculture is the backbone of Senegal's economy, yet it is critically underfunded. Despite contributing over 15 per cent to GDP, the sector receives just 3 per cent of commercial bank lending. Predominantly comprised of smallholders, agriculture faces significant vulnerabilities to climate change, making it a high-risk sector for financial institutions. The programme aims to bridge the financing gap by increasing access to credit for CSA investments, targeting various segments of the agriculture value chain.

40. The agricultural sector's reliance on rainfed crops makes it particularly susceptible to climate-related shocks, such as drought and erratic rainfall patterns. Unpredictable rainy seasons and limited access to irrigation exacerbate these vulnerabilities. Currently, only 2.1 per cent of cropland and 17 per cent of the country's irrigation potential (409,000 hectares) are equipped and utilized for irrigation. Adaptation efforts are hindered by barriers that include limited financial resources, lack of technical assistance, insecure land tenure, and insufficient infrastructure for irrigation and hydrometeorological services.

41. Key obstacles to climate adaptation include restricted access to finance and credit, inadequate technical support, insecure land tenure and limited productive resources. To address these challenges, the GCFF programme aims to expand financial access and leverage existing policies and knowledge to promote CSA practices. Senegal's agricultural sector has historically struggled to attract adequate financing, with agricultural credit accounting for just 3 per cent of total bank lending and only 2.6 per cent of rural residents accessing microfinance. The programme's credit facility and technical assistance are designed to address these gaps, providing vital resources to overcome non-market barriers to agricultural lending. By doing so, it seeks to bolster resilience to climate risks and foster sustainable agricultural development.

42. The inclusion of Baobab Microfinance Senegal as a co-executing entity is a positive aspect of the programme, as it aligns well with the needs of the recipients. With extensive experience managing sustainable finance initiatives and collaborating with local stakeholders, Baobab Microfinance Senegal is well positioned to ensure the programme's effective implementation. Currently, agricultural loans comprise less than 5 per cent of Baobab

Microfinance Senegal's total portfolio, serving more than 5,000 agricultural clients with a loan balance of approximately 6.9 billion CFA francs. These loans primarily finance purchases of agricultural inputs, small-scale agricultural equipment purchases, working capital and the commercialization of harvests. Over the next five years, Baobab Microfinance Senegal aims to double its agricultural portfolio by expanding input loans, supporting agricultural investments in long-term projects (such as irrigation) and promoting sustainable practices such as organic farming and aquaculture.

43. This funding proposal focuses on delivering financial tools and technical support to scale up climate solutions, addressing Senegal's pressing needs within its highly challenging context.

44. The needs of the recipients are assessed to be high.

1.6 Country ownership *Scale: High*

45. The GCFF objectives are fully aligned with Senegal's NDC and the relevant Senegalese authorities have issued a non-objection letter. Notably, the funding proposal is the first engagement of LBA with GCF as a direct access entity for Senegal. LBA, which is again majority-owned by the Senegalese government, has historically served as a cornerstone institution for financing the country's agricultural sector, highlighting its critical role in facilitating this initiative.

46. Senegal has established a comprehensive national climate strategy that integrates resilience and mitigation efforts across sectors. This strategy is reflected in the country's NDC, which outlines specific actions, including the installation of 27,500 domestic biodigesters, biogas recovery in agro-industries, adoption of the System of Rice Intensification for water conservation, the promotion of agroforestry, the reduction of slash-and-burn practices, integrated water resource management (e.g. drip irrigation) and the dissemination of climate information. The CSA interventions proposed under GCFF are closely aligned with these objectives, reinforcing their strategic relevance to Senegal's climate agenda.

47. GCFF is designed to capitalize on Senegal's existing policy framework, benefiting from and contributing to ongoing national initiatives. The funding proposal is directly aligned with Senegal's nationally appropriate mitigation actions and national adaptation plan focusing on the priority areas identified within these frameworks. By leveraging these established policy instruments, GCFF seeks to amplify its impact, ensuring alignment with national goals and fostering sustainable development outcomes, particularly in agriculture and climate resilience.

48. The iTAP acknowledges that the funding proposal was developed following extensive stakeholder engagement led by the AE. These consultations included the Government of Senegal and civil society organizations, ensuring that diverse perspectives and needs were incorporated into the project design.

49. LBA, one of Senegal's two direct access entities, is leading the programme and has a demonstrated track record in working capital financing for private entities in the agricultural sector. Baobab Microfinance Senegal, the co-executing entity, complements this effort through its extensive network of 519 service points across Senegal, enabling broad financial inclusion and providing critical support to remote and underserved areas.

50. The financial and resource contributions from the Government of Senegal and Baobab Microfinance Senegal are noteworthy from a country ownership perspective. These efforts underscore national commitment and strengthen the alignment of the funding proposal with local priorities.

51. Overall, the level of country ownership for this funding proposal is assessed to be high, reflecting the strong alignment with national strategies, the active participation of Senegalese institutions and the integration of stakeholder input into the project design.

1.7 Efficiency and effectiveness *Scale: Medium*

52. The total project cost is EUR 48.4 million, comprising a GCF loan of EUR 18.7 million and a GCF grant of EUR 4.7 million. These contributions are complemented by EUR 21.0 million in co-financing, including EUR 15.0 million from LBA and EUR 6.0 million from AFD. Additionally, LBA is providing an in-kind contribution of EUR 4.0 million to support programme-level activities. LBA's EUR 15.0 million funding will be blended with concessional loans from GCF and AFD to provide affordable financing for more than 150,000 small and medium-sized farmers, more than 200 agriprocessing MSMEs and around 70 agriservice providers and corporations over the programme's 20-year lifespan.

53. The cost of the GCF investment in the GCFF programme, EUR 23.4 million, equates to approximately EUR 34 per beneficiary pursuant to the funding proposal. This is based on an expected total of 687,000 beneficiaries, whose adaptive capacity and food security will be enhanced through loans facilitated by the programme.

54. The programme demonstrates a reasonable balance between cost and anticipated outcomes. With a projected lifetime emission reduction of 3.76 million tonnes of carbon dioxide equivalent, it delivers meaningful climate mitigation and adaptation benefits comparable with similar initiatives in climate-resilient agriculture.

55. GCFF achieves a leverage ratio of 1:1.07, where the GCF investment of EUR 23.425 million is expected to mobilize approximately EUR 25 million in co-financing, along with an additional EUR 4 million in parallel financing.

56. The grant portion of the programme focuses on capacity-building and technical assistance for beneficiaries. These resources aim to address adoption barriers to CSA practices in Senegal, such as limited awareness of climate risks among farmers and financial institutions. Key activities include the development of CSA loan products, integration of climate credit scoring to assess farmer risks quantitatively and the establishment of a mobile lending platform for CSA financing. Given their strong market connections and proven track record, both LBA and Baobab Microfinance Senegal are well positioned to lead these efforts.

57. A portion of the grant also targets enabling environment improvements for CSA adoption. As discussed above, the proponents have presented a weaker case for their ability to substantially contribute to systemic changes in this area compared with other grant objectives, notwithstanding the Government's ownership of LBA. Despite this, the effort is still worthwhile, and the iTAP hopes that it has underestimated the proponent's potential to contribute to change. Moreover, the grant-to-total GCF exposure ratio of 20 per cent remains within GCF private sector project guidelines.

58. An area warranting further scrutiny is the distribution of benefits arising from the concessional financing provided by GCF. The analysis by the iTAP indicates that a portion of the concessional terms will be passed on to the final borrowers through loan pricing. Interest rates for end borrowers are expected to range from 6.5 to 10 per cent for the direct lending channel and 9 to 12 per cent for the indirect lending channel. These rates represent improved terms for borrowers within the Senegalese context and are designed to cover the costs of the GCF loan, the LBA cost of capital, risk pricing, administrative expenses and Baobab Microfinance Senegal's cost of capital in the indirect channel.

59. However, the expected internal rate of return for the LBA CSA loan portfolio is projected to be 19.5 per cent, significantly exceeding the average returns for financial institutions in Senegal, which typically range from 8 to 15 per cent according to LBA. This disparity raises an important question: could a greater share of the concessional benefits be allocated to support small and medium-sized farmers, who often face systemic barriers to accessing affordable credit?

60. While over-subsidizing lending risks distorting the market, the predominantly unbanked nature of Senegal's agricultural sector and the considerable unmet demand for capital suggest that there may be room for a more targeted approach. Adjusting the concessional terms to better align with the programme's objectives, without undermining market integrity, could enhance its impact. Revisiting this balance would be a prudent step to ensure that the concessional benefits are equitably distributed and effectively serve the programme's goal of fostering inclusive and sustainable agricultural development.

61. The iTAP also takes note of Baobab Microfinance Senegal's recent issuance of green bonds, which allocates more than 20 per cent of proceeds to agricultural credit through GCFF, adding a compelling dimension. This linkage has the potential to increase visibility for Senegal's agricultural sector in global financial markets. Moreover, the use of proceed requirements increases the rigor of project evaluation and screening, with non-eligible activities excluded and monitoring aligned with the West African Monetary Union's Financial Markets Authority guidelines and International Capital Market Association principles to ensure transparency.

62. The iTAP further commends the inclusion of mechanisms in the GCF term sheet for LBA, which mitigates the risks of underperformance in loan deployment while allowing for flexibility based on actual demand and climate outcomes. Notably, the progressive disbursement of the GCF loan to LBA over a five-year period is a prudent approach. This staggered disbursement strategy ties subsequent tranches to the effective utilization of previously disbursed funds, minimizing the risk of idle allocations. Specifically, LBA is required to demonstrate that at least 70 per cent of previously disbursed funds have been utilized for the intended activities before additional disbursements can be triggered. While loan deployment is a reasonable metric, the iTAP encourages the incorporation of assessments of loan effectiveness from a climate impact perspective as a requirement for additional GCF disbursements. Broad eligibility criteria, coupled with deployment pressures, risk supporting conventional agricultural practices that may be framed as adaptation without delivering substantive climate benefits.

63. The iTAP also notes the provision for an independent interim evaluation report, scheduled to occur within three months after year 10 from the programme's effective date. While this evaluation is intended to assess the programme's deployment, climate impacts and overall performance, the iTAP finds this timeline too delayed for effective oversight and course correction. Considering the mechanisms that allow GCF to moderate its lending if performance targets are not met, the iTAP recommends an earlier evaluation after a fixed percentage of the loan capacity has been utilized. This earlier assessment would enable GCF to sample the loan portfolio, verifying its alignment with climate impact goals rather than defaulting to business as usual agricultural lending.

64. An earlier evaluation and the ability to make timely adjustments would also enhance programme monitoring and provide critical opportunities for course correction should demand or climate outcomes fall short of expectations. This proactive approach would safeguard both the financial and programmatic integrity of the initiative while ensuring alignment with the overarching objectives of GCF.

65. The iTAP is concerned about the possibility of LBA using GCF loan proceeds to refinance its existing agricultural loan portfolios. Such an approach risks diluting the transformative ambition of GCFF and represents a potentially low-impact use of GCF concessional financing. In response, LBA clarified in writing that "it's objective is not to refinance its current portfolio but to drive greater adoption of CSA practices within its operations" and that "the ultimate goal is to allocate 100 per cent of the GCFF facility to climate-focused initiatives".

66. While this response is reassuring, it leaves room for interpretation, suggesting that refinancing may still occur under certain circumstances. To ensure alignment with the objectives of GCFF and safeguard the integrity of GCF concessionality, the iTAP recommends that the GCF Secretariat seeks explicit clarification. Specifically, it should confirm whether

"objective is not to refinance" constitutes an outright exclusion of refinancing, and, if not, define the limited circumstances under which refinancing would be permissible. This clarity would strengthen oversight and reinforce the programme's focus on driving new climate-focused investments.

67. The iTAP also notes that the AE fee of 4.97 per cent is high and not well substantiated considering that GCFF will be layering on top of existing lending programmes.

68. The iTAP acknowledges the project's potential to channel resources towards impactful CSA interventions in Senegal. The design and co-financing structure are sound. However, unresolved concerns regarding the application of concessionality, the screening of climate impacts and costs lead to a more cautious efficiency and effectiveness rating.

69. Overall, the iTAP assesses the funding proposal's efficiency and effectiveness as medium.

II. Overall remarks from the independent Technical Advisory Panel

70. The funding proposal makes a solid attempt to address a significant climate finance need in Senegal. The iTAP is encouraged by the track record of the proponents and the cohesion and complementarity of GCFF with other policy and finance interventions in the Senegalese agricultural sphere.

71. The iTAP recommends that the Board approve this funding proposal.

72. To further ensure alignment with GCF mandates, the iTAP recommends to the AE the following:

(a) Conduct an earlier independent interim evaluation after a portion of the loan capacity has been utilized (10 per cent). This would help the GCF to assess the programme's performance, climate impacts and loan alignment with climate goals, reducing the risk of reverting to traditional agricultural lending. An earlier evaluation would also improve monitoring, enable timely adjustments and ensure the programme's financial and operational integrity, supporting GCF objectives and allowing for necessary course correction if expectations are not met; and

(b) ii. Refine the eligibility criteria to ensure alignment with climate adaptation objectives by excluding conventional agricultural practices that lack demonstrable adaptation benefits and strengthen the monitoring framework in order to rigorously track and measure the climate resilience outcomes of funded activities.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP262)

Proposal name:	Green Climate Finance Facility for Fostering Climate-Smart Agriculture in Senegal
Accredited entity:	La Banque Agricole
Country/(ies):	Senegal
Project/Programme size:	Small (up to USD 50 million)

Impact potential
Thank you for highlighting these critical aspects of the GCFF. We appreciate the opportunity to address them and provide clarity on our approach. 1. **Screening Tools and Eligibility Criteria** While the list of eligible activities is indicative and not summative, LBA the AE will ensure that all funded interventions adhere to robust climate adaptation principles. To this end: ▪ Refining the eligibility criteria to emphasize demonstrable adaptation benefits tied directly to identified climate risks in the target regions. ▪ The eligibility criteria will be supplemented with decision-support tools that guide potential beneficiaries in distinguishing genuinely adaptive measures to the address the context specific climate risks they face. 2. **Scope of Eligible Technologies and Practices** The broad scope of eligible technologies is intended to address diverse climate risks, and we acknowledge the importance of avoiding any misalignment with adaptation goals. To mitigate this: ▪ The indicative nature of the list will remain, but clear guidance notes will be developed to outline how each category should contribute to adaptation outcomes. ▪ We will prioritize technologies and practices that demonstrate measurable contributions to resilience, supported by the adaptation impact targeted protocol and for mitigation defined MRV protocol. 3. **Monitoring and Evaluation of Adaptation Outputs and Outcomes** LBA has in place a comprehensive MRV Protocol including a component on M&E for adaptation actions, enabling us to focus on enhancing its operationalization as part of this project implementation by: ▪ Ensuring that baseline data and performance indicators capture adaptation-specific metrics tied to the programme's objectives. ▪ Strengthening verification processes to validate reported outcomes, including independent reviews as needed.

4. **Risk Mitigation of Diluted Adaptation Goals**

To address the concern of potential dilution, we reiterate that the programme's focus remains firmly on climate-resilient interventions. Specific measures include:

- Leveraging the adaptation impact indicators included in the MRV Protocol to rigorously track adaptation benefits.
- Conducting training and capacity-building sessions for potential beneficiaries to promote a shared understanding of adaptation versus general development impacts.

We are confident that these measures will safeguard the integrity of the programme's adaptation goals while allowing flexibility to address diverse climate risks effectively. Thank you again for your valuable input

Paradigm shift potential

Thank you for raising this important concern regarding the articulation of how enabling environment reforms will be achieved. We believe that the LBA is uniquely positioned to address systemic challenges and promote the adoption of climate-smart agriculture (CSA) through targeted financial and regulatory reforms. Below, we outline why LBA is the best entity to push for these reforms and provide a clearer articulation of the pathway:

1. LBA's Established Leadership in Agricultural Lending

- LBA is the leading financial institution in Senegal for agricultural lending, with a deep understanding of the sector's dynamics and challenges. Its extensive network of clients, including smallholders, cooperatives, and agribusinesses, places it at a vantage position in Senegal's agricultural value chains.
- LBA's longstanding relationships with policymakers and private sector stakeholders uniquely position it to advocate for reforms that align financial and regulatory frameworks with the needs of the agricultural sector.

2. Driving Financial and Regulatory Reforms

LBA's proven track record in agricultural finance provides a solid foundation to lead reforms aimed at reducing systemic barriers. Specific actions include:

a) **Bundled Financial Products**: LBA's expertise in agricultural finance enables it to work with insurers and development partners to design and deliver bundled loan products that include index-based insurance, reducing risk for smallholders and lenders.

b) **Innovative Credit Risk Scoring**: Leveraging its data on agricultural lending, LBA can pioneer the development of credit risk scoring guidelines that integrate climate-smart criteria, promoting CSA investments.

c) **Engagement with both Public and Private Partners in Agriculture.**

This engagement includes:

- Collaborations with agribusinesses to co-finance CSA technologies such as efficient irrigation systems and renewable energy-powered equipment.
- Partnerships with government agencies to co-develop risk-sharing mechanisms, such as guarantee funds, to reduce the financial burden on smallholders and de-risk lending.

Sustainable development potential
The AE notes iTAP's positive assessment and remarks on the **Sustainable Development potential**, rated by the iTAP as "High"
Needs of the recipient
The AE notes iTAP's positive assessment and remarks on the **Needs of the recipient**, rated by the iTAP as "High"
Country ownership
The AE welcomes this assessment of **Country Ownership** of the program as High and thanks ITAP for the comprehensive assessment
Efficiency and effectiveness
Thank you for your thoughtful observations regarding the internal rate of return (IRR), the use of concessional benefits, and other key aspects of the proposal. We recognize the importance of addressing these concerns to ensure the programme meets its transformative objectives. Below, we provide responses and proposed solutions to each issue raised: 1. **Internal Rate of Return (IRR) and Allocation of Concessional Benefits** The projected IRR of 19.5% reflects the ambition of the CSA loan portfolio to balance financial sustainability with transformative impact. However, we acknowledge the concern that more concessional benefits could be allocated to support small and medium-sized farmers. The lending approach incorporates a **differentiated pricing approach,** providing lower interest rates or extended terms for loans targeting small and medium-sized farmers, especially those adopting high-impact CSA practices. 2. **Potential Refinancing of Existing Portfolios** We appreciate iTAP's concern about the potential for refinancing diluting the transformative ambition of the programme. LBA's objective is to drive new investments in CSA. This will be addressed through: • An **explicit exclusion of refinancing** will be incorporated into the project's operating guidelines to ensure that GCF proceeds are strictly used for new CSA-focused investments. Furthermore, Retroactive Financing is not permitted under GCFF (ref. Term sheet, section 6: The GCF Proceeds shall not finance any expenditures incurred prior to the effectiveness of the FAA). • Independent **auditing and reporting mechanisms** will be established to track the use of GCF funds and ensure alignment with the programme's objectives. 3. **Accredited Entity (AE) Fee** The AE fee of 4.97% reflects the administrative and operational efforts required to implement and monitor a transformative CSA-focused programme.

4. Strengthening Oversight on Concessionality and Impact Screening

We acknowledge iTAP's emphasis on ensuring concessionality is applied effectively and that climate impacts are robustly screened. This will be addressed through:

- **Enhanced screening tools** will be used to evaluate the climate rationale, impact, and cost-effectiveness of each proposed intervention.
- A **tiered concessionality approach** will be implemented, where concessional benefits are weighted toward high-impact CSA interventions that address systemic barriers faced by smallholders.
- Regular stakeholder consultations to adaptively manage and refine the programme as it progresses.

Overall remarks from the independent Technical Advisory Panel:

Thank you for your thoughtful feedback. We fully support the proposal to conduct an earlier independent interim evaluation, and while we have no issue with this suggestion, we would like to clarify that we have an independent interim evaluation scheduled midway through the Programme (at Year 2.5). The Term Sheet has been revised accordingly. This evaluation will assess the alignment of loan disbursements with climate adaptation objectives, the early climate impacts of funded activities, and the Programme's operational performance. By identifying potential risks, such as reverting to traditional agricultural lending, this evaluation will allow for timely adjustments to enhance Programme effectiveness. The findings will be shared with stakeholders, and an action plan for course correction will be developed if necessary. Additionally, strengthened initial monitoring will ensure continuous alignment with climate goals from the outset.

To address concerns about eligibility criteria and monitoring, we will refine the guidelines to exclude conventional agricultural practices lacking measurable adaptation benefits. Enhanced screening tools and a two-tiered approval process will ensure only climate-smart agriculture (CSA) activities with proven resilience impacts are supported. Furthermore, the monitoring framework will incorporate independent third-party oversight to ensure transparency and objectivity in tracking climate resilience outcomes as per GCFF objectives. These refinements will safeguard the transformative potential of the programme while ensuring its integrity and impact.

Gender documentation for FP262

Green Climate Finance Facility for fostering Climate-Smart Agriculture in Senegal

Accredited Entity: La Banque Agricole (LBA)

Gender Assessment Report

January 2024 (updated October 2024)

Authors: Sarah Kaia, Nallan Gathee and Nicholas Gatheru. Inputs by LBA personnel Abdou Aziz Diedhou, Ramatoulaye Sagna and Alioune Seydi.

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Acronyms & Abbreviations

Acronym	Full Form
ANSD	Agence Nationale de la Statistique et de la Démographie
CDCS	Country Development Cooperation Strategy
CEDAW	Convention on the Elimination of All Forms of Discrimination Against Women
CIS	Climate Information Services
CSA	Climate-Smart Agriculture
DHS	Demographic and Health Survey
DPES	Economic and Social Policy Paper
ELT	English Language Teaching
FGD	Focus Group Discussions
FGM/C	Female Genital Mutilation/Cutting
GBV	Gender-Based Violence
GCF	Green Climate Fund
GDI	Gender Development Index
GDP	Gross Domestic Product
GII	Gender Inequality Index
HDI	Human Development Index
IFAD	International Fund for Agricultural Development
IFD	Institutions de Financement Décentralisé
LBA	La Banque Agricole
LME	(Not explicitly defined, possibly a local management entity)
MEC	Mutuelles d'Épargne et de Crédit
MoFWC	Ministry of Family, Women, and Children
MoH	Ministry of Health
NDC	National Determined Contribution
NGO	Non-Governmental Organization
PAIAA	Senegal Agriculture and Food Security Investment Plan
PES	Plan for an Emerging Senegal
PRSP	Poverty Reduction Strategy Papers
RMNCH	Reproductive, Maternal, Newborn, and Child Health
SDG	Sustainable Development Goals
SNDES	National Strategy for Economic and Social Development
SRV	Senegal River Valley
STI	Sexually Transmitted Infection
UNDP	United Nations Development Program
USAID	United States Agency for International Development
ZOI	Zone of Influence

Executive summary

This executive summary delves into the complex gender dynamics within Senegal's agricultural sector, a pivotal element of the nation's economy and social structure. It encapsulates the intricate interplay between gender roles, legislative progress, and the persistent challenges impeding gender equality.

1. **Senegal's Gender Landscape**:
    - **Contextual Overview**: In Senegal, where the majority of the population resides in rural areas and bases their survival on agricultural production, significant legislative efforts towards gender equality have been made. However, disparities are still prominent in education, healthcare, employment, and political representation, with the agricultural sector being a focal point of these inequalities.
    - **Analyzing Gender Disparities**: Despite women's substantial contribution to agriculture sector including both forestry and breeding, they face considerable challenges in land ownership and empowerment. The nation's commitment to gender equality is reflected in its key gender indicators, yet the gap between policy and practice remains.
2. **Frameworks of Gender Equality**:
    - **Global Commitments**: Senegal has pledged allegiance to several international gender frameworks, demonstrating its commitment to advancing gender equality.
    - **National Policies**: The nation's constitution and various national strategies, such as the Gender Parity Law and the National Strategy for Gender Equality, illustrate its dedication to creating an equitable society.
3. **Gender-Related Challenges in Senegal**:
    - **Agriculture and Gender Inequity**: Women in the agricultural sector (sector including both forestry and breeding) confront hurdles such as limited land rights and resource access, stemming from entrenched societal norms.
    - **The Climate Change Factor**: Climate change exacerbates existing gender disparities, disproportionately affecting women in rural agricultural settings.

- **Educational Disparity**: While progress has been made in primary education, significant gender gaps remain in secondary and higher education.
- **Health and Gender**: Women's health, particularly maternal health, is a critical area of concern, along with the prevalence of gender-based violence.
- **Political Representation**: Despite strides in women's political participation, challenges like resistance to the Gender Parity Law hinder full equality.

4. **Insights from Gender Assessments and Focus Group Discussions**:
    - **Varied Perspectives**: A series of studies and discussions reveal the depth and breadth of gender-related challenges and advancements, particularly in agriculture.
5. **Combating Gender Imbalance**:
    - **Institutional and NGO Efforts**: Actions by the government and NGOs aim to address gender disparities in agriculture, health, and education.
    - **Empowering Initiatives**: Innovative programs, particularly in agriculture, seek to empower women and mitigate gender imbalances.
6. **Strategic Gender Integration**:
    - **Roadmap for the Future**: Strategies under the Green Climate Finance Facility focus on gender-responsive funding, inclusive decision-making, and amplifying women's roles in climate-smart agriculture.

This assessment marks a critical step in the ongoing journey towards gender equality in Senegalese agriculture. It underscores the need for continued, multifaceted strategies that integrate gender considerations with agriculture, climate action and sustainable development. It serves as both a reflection of the current state and a call to action for ongoing commitment and innovative strategies to bridge the gender gap in this vital aspect of Senegalese life.

1. Overview of gender situation in Senegal

1.1 Introduction

Senegal has a population of approx. 18.3 million (as of 2023), of which 49.6% is female[1]. The population is predominantly rural (54.8 per cent rural against 45.2% for urban areas)[2]. The heads of households are mostly men; only 24.5% of households are headed by women[3]. Children, women, and the elderly are the most vulnerable to climate shocks and to their harmful consequences. Nevertheless, climate shocks affect all Senegalese, who are vulnerable to the exhaustion of their food reserves and the decline in their agricultural production over time.

Gender equality is a critical aspect of societal development, and it plays a pivotal role in Senegal's ongoing journey towards sustainable progress. Gender equality was first included in Senegal's development planning with the Poverty Reduction Strategy Papers (PRSP) II (2006-2010) and followed in the Economic and Social Policy Paper (DPES 2011-2015) and the National Strategy for Economic and Social Development (SNDES 2012-2017) [4]. There is also the Adjusted and Accelerated Priority Action Plan " Plan d'Action (PAP2A) which extends over a period of 5 years, from 2019 to 2024 and which in its objectives aims to fight against disparities through equitable access to productive resources.

The Senegalese agricultural sector' serves as the backbone of the nation's economy, providing livelihoods to most of the population and contributing significantly to the gross domestic product (GDP). This reliance on agriculture underscores the critical role it plays in shaping the country's economic path and plays a pivotal role in the nation's economy, contributing approximately 17% of its GDP and employing about 70% of the population.

Gender dynamics play a crucial role in shaping Senegal's agricultural landscape. Women, who make up a significant portion of the agricultural workforce, often face challenges and disparities that affect their productivity and well-being. This leads us to the critical theme of gender in agriculture, a topic that deserves closer examination.

Climate change, intricately linked with gender inequality, presents a profound global challenge, significantly impacting agricultural productivity and sustainability, especially in countries like Senegal where agriculture is vital for the economy and sustenance. This

[1] Agence nationale de la Statistique et de la Démographie
[2] United Nations Population Fund: Country programme document for Senegal
[3] https://genderdata.worldbank.org/indicators/sp-hou-fema-zs/
[4] Senegal Gender: https://www.isdb.org/sites/default/files/media/documents/2020-09/Senegal%20Gender.pdf

crisis affects not only lifestyles, livelihoods, health, safety, and security but also amplifies existing societal disparities, particularly affecting women and girls.

However, despite this numerical parity, gender disparities persist in various aspects of Senegalese society, particularly education, healthcare, employment, and political representation. These disparities hinder the nation's full potential for social and economic development. Socioeconomic factors, such as income levels, education, and access to healthcare, play a significant role in shaping gender dynamics in agriculture.

The table below provides an overview of gender disparities in Senegal with respect to several socio-economic variables relating to the productive sectors, basic social services, well-being, and quality of life.

Determinants	**Women (%)**	**Men (%)**
Land ownership rate	13.4	86.6
% of cultivated land controlled	6.4	93.6
Adult literacy rate (% of people ages 15 and above) 2021	45.4	68.4
Labour force participation rate (ages 15 and above)	38.6	65
Vulnerable employment (2021)	77.5	56.2
Share of women and men in employment	43	57
Share of women and men in non-agricultural employment	45.7	54.3
Account ownership at a financial institution or with a mobile-money-service provider, by sex (% of population ages 15+) 2017	38	47
Proportion of informal employment in non-agriculture employment, by sex (ILO harmonized estimates) (%)	97.9	94.5
Unemployment rate, by sex and age (%) (15+ years)	3.5	3.8
Proportion of youth not in education, employment, or training, by sex and age (%)	42	22.9
Senior and middle management positions (2019)	21	79
Members of Parliament (2022)	44.2	55.8

Source: UN Women [5], UNESCO Institute for Statistics (UIS), World Bank Gender Data Portal, ILO estimates, Global Financial Inclusion Database (World Bank)

1.2 Key Gender indicators

Senegal has a Gender Inequality Index (GII) value of 0.530, ranking it 131 out of 170 countries in 2021. UNDP's GII measures gender inequalities (the loss in human

[5] https://data.unwomen.org/country/senegal

development due to inequality between female and male achievements) in three key dimensions – reproductive health, empowerment, and labor market. While 43% of parliamentary seats are held by women, but there are still major achievement gaps between genders. A mere 11% of women have access to at least some secondary education, while over 30% of men receive some secondary education. The discrepancy in labor force population rate, with 33% of women participating compared to 56.7% of men, reflects a similar trend[6].

The Gender Development Index (GDI) measures gender gaps in achievements in three basic dimensions of human development: health (measured by female and male life expectancy at birth), knowledge (measured by female and male expected years of schooling for children and mean years of schooling for adults aged 25 years and older) and living standards (measured by female and male estimated GNI per capita). It is a ratio of the female to the male HDI. The 2021 female HDI value for Senegal is 0.475 in contrast with 0.543 for males, resulting in a GDI value of 0.874. This high index value suggests the occurrence of significant economic and social disparities related to gender.

Global Gender Gap Report 2023[7] from the World Economic Forum measures gender disparities in 146 countries and tracks their progress over time, focusing on the relative gaps between women and men across four key dimensions: economic participation and opportunity, educational attainment, health and survival, and political empowerment. Senegal was ranked 104th globally, and 22nd in Africa, with a Global Gender Gap Index of 0.680. The global gender gap index indicators are listed below:

[6] https://hdr.undp.org/data-center/specific-country-data#/countries/SEN
[7] The Global Gender Gap Report 2023. World Economic Forum 2023.

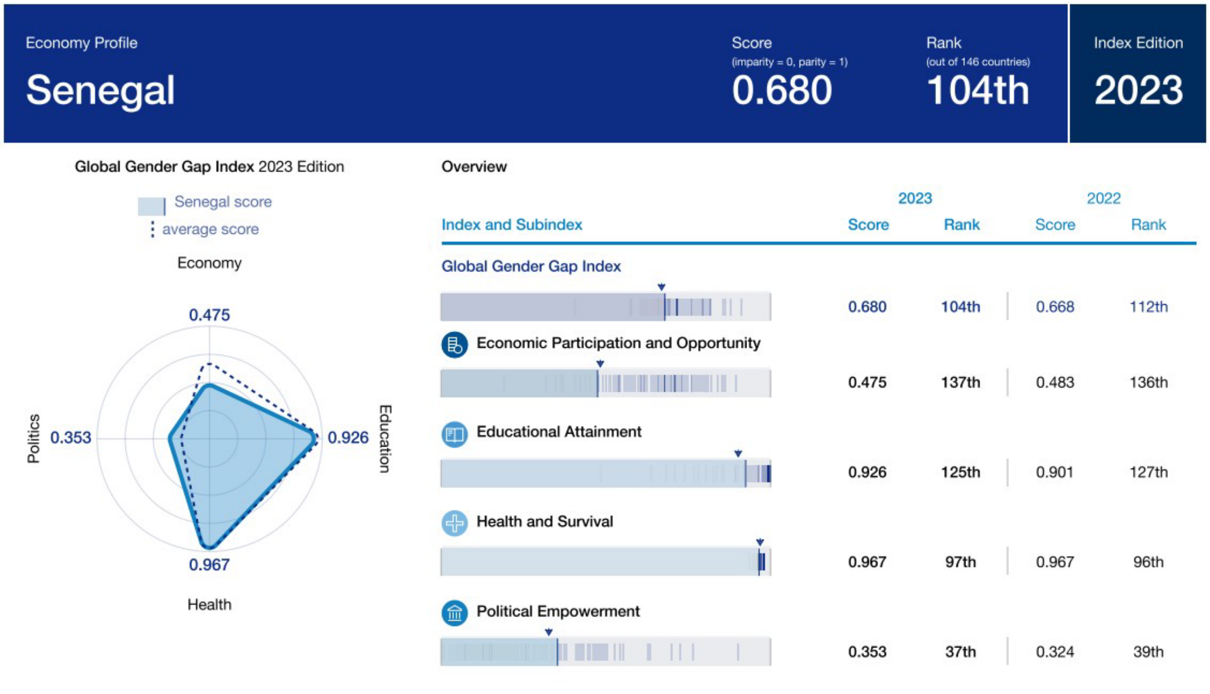

Figure 1: Senegal's Global Gender Gap Index Indicators

The OECD Development Centre's Social Institutions and Gender Index (SIGI) is a measure of gender-based discrimination in social institutions. The SIGI focuses on four dimensions: Discrimination in the family, Restricted physical integrity, Restricted access to productive and financial resources, and Restricted civil liberties. Higher SIGI values indicate higher inequality and range from 0 for no discrimination to 1 for very high discrimination. With an aggregated index value of 0.418 in 2023, representing an increase from 0.37 in 2019, Senegal was ranked as having medium levels of gender discrimination in social institutions.

Year	Total aggregate index value (Category)	Discrimination in the family	Restricted physical integrity	Restricted access to productive & financial resources	Restricted civil liberties
2014	0.1985 (Med.)	0.5931 (v. High)	0.6337 (High)	0.4076 (Med.)	0.2554 (Low)
2019	0.37 (Med.)	0.649 (High)	0.419 (Med.)	0.276 (Med.)	0.036 (v. Low)
2023	0.418	0.749	0.379	0.363	0.061

Figure 2: Senegal's SIGI score since 2014.

The Africa Gender Index (AGI) is a composite index jointly developed by the African Development Bank Group (the Bank) and the United Nations Economic Commission for

Africa (UNECA). It is intended to, among other things, gauge how women are faring alongside their male counterparts in three dimensions of human wellbeing - economic, social and empowerment (political and institutional representation). Senegal had an AGI score of 0.504[8] in 2019, ranking 14th out of 52 African countries.

Senegal scored particularly well in the dimensions of education and political participation and empowerment. However, there is still room for improvement in areas such as economic opportunity (land ownership, wage gaps, access to financial resources) and bodily autonomy and integrity (access to sexual and reproductive health, and gender-based violence). Besides gender gaps in labor force participation, wage gaps and lower access to land, durable goods and credit impose constraints to women's economic participation. Senegalese women have less access to assets, especially land, mainly due to customary laws. According to Senegalese authorities, 50% of Senegalese households are in the agriculture sector, where only 16.4% of farms are headed by women. Men control 93.6% of cultivated areas and use an average of 1.3 hectares, while women's plots rarely exceed 0.4 hectare[9].

1.3 Assignment Objectives

The primary objectives of this assignment are to conduct a Gender Assessment and develop a Gender Action Plan (GAP) to inform and enhance the design and implementation of the climate-resilient agriculture program. The focus is on identifying gender-specific needs, promoting equitable access, and mainstreaming gender considerations across all project components.

Specifically, the assignment entailed collecting data and evidence on gender issues within the program's sectors of intervention and the overall program context. Utilizing stakeholder engagement, secondary data in ascertaining needs and priorities of men and women, including social, economic, and political challenges and opportunities for women and recommending opportunities or entry points to ensure equal participation and access to program benefits for both men and women.

1.4 Methodology adopted

The gender assessment methodology centered on an in-depth literature review embracing existing data sources related to gender, agriculture, and climate change in Senegal. The methodology also included a specific focus on the roles and impacts of financial institutions, particularly LBA, in enhancing gender equality in the agriculture sector. This involved an analysis of LBA's policies and their effectiveness in promoting

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[8] Africa gender index 2019 - methodological and statistical report

[9] "National Strategy for Equity and Gender Equality in Senegal: 2016–2026

women's participation in the agricultural sector. Additionally, there was a thorough examination of existing literature including past gender assessments, reviewing of Senegal policy/ legislative framework, ensuring continuity and alignment with previous initiatives.

The review extended to relevant sectors such as credit, health, finance and agriculture, providing a broader context for the analysis.

The following data sources were employed.

a) LBA existing documents including the gender equality policy and prior consultations.
b) Existing Climate and Agriculture Reports: Explored reports from climate and agricultural organizations that focus on Senegal to provide insights into the current state of climate-smart agriculture initiatives, their impact on different demographics, and any gender-specific considerations.
c) Non-Governmental Organizations (NGOs): insight from documents developed by NGOs operating in Senegal that specialize in agriculture, climate change, and gender issues in gaining from their field experience and on-the-ground activities offering valuable insights into the challenges and opportunities faced by different gender groups in the context of climate-smart agriculture.
d) Academic Journals and Research Papers: accessing/ reviewing academic journals and research papers that delve into gender dynamics in agriculture and climate change in Senegal.
e) International Organizations: Consult reports and publications from international organizations such as the United Nations, UN Women, World Bank, IFAD, and other development agencies that focus on gender and climate change in Senegal.
f) Statistical Data: Explored statistical databases and demographic surveys that provided gender-disaggregated data in understanding the demographic composition of the target communities, including economic activities, land ownership, and other relevant factors. Various FGD and past assessment conducted in Senegal in relation to gender, climate smart agriculture and finance were reviewed.

2. Gender institutional, legal, and policy frameworks

2.1 International Frameworks Ratified by Senegal About Gender

Senegal's commitment to advancing gender equality is deeply rooted in its engagement with international gender frameworks and the development of comprehensive national strategies [10]. These initiatives have played a crucial role in shaping the nation's approach to gender equality.

2.1.1 Convention on the Elimination of All Forms of Discrimination against Women

The Convention on the Elimination of All Forms of Discrimination against Women (**CEDAW**) has been adopted in 1979 by the United Nations General Assembly and is often described as an international bill of rights for women. Consisting of a preamble and 30 articles, it defines what constitutes discrimination against women and sets up an agenda for national action to end such discrimination.

By accepting the Convention, Senegal commits to undertake a series of measures to end discrimination against women in all forms, including:

- To incorporate the principle of equality of men and women in their legal system, abolish all discriminatory laws and adopt appropriate ones prohibiting discrimination against women.
- To establish tribunals and other public institutions to ensure the effective protection of women against discrimination; and
- To ensure elimination of all acts of discrimination against women by persons, organizations, or enterprises.

Senegal ratified CEDAW in 1985, and the Optional Protocol on violence against women in 2000. It is also committed to submit national reports, at least every four years, on measures it has taken to comply with treaty obligations. Senegal submitted its last report in 2019[11].

2.1.2 The Protocol to the African Charter on Human and Peoples' Rights in relation to Women's Rights (Maputo Protocol).

The Protocol to the African Charter on Human and Peoples' Rights on the Rights of Women in Africa, or the Maputo Protocol, is not just a legal instrument but a

[10] https://africa.unwomen.org/en/where-we-are/west-and-central-africa/senegal_africa

[11] Eighth periodic report submitted by Senegal under article 18 of CEDAW.

comprehensive framework aimed at enhancing and protecting the rights of women across the African continent. Adopted in Maputo, Mozambique, on 11th July 2003 and entered into force on 25th November 2005[12], this protocol has been ratified by a significant number of African states, demonstrating a widespread commitment to its principles and objectives. This commitment is crucial in addressing the diverse challenges faced by women in Africa.

Key Provisions and Their Application in Senegal[13]

1. **Elimination of Discrimination**: Senegal, in adherence to the Maputo Protocol, has made strides in legislating against discrimination and integrating gender perspectives into its policies. This includes efforts to modify societal norms that contribute to gender inequality[14].

2. **Protection from Violence**: The protocol's emphasis on protecting women from all forms of violence resonates strongly in Senegal, where efforts are underway to combat domestic violence, sexual assault, and harmful traditional practices, including female genital mutilation, which remains a challenge in some regions.

3. **Marital Rights**: Senegal recognizes the protocol's provisions on marriage, including consent, minimum age, and rights during and after marriage. Efforts are being made to align national laws with these provisions, although challenges remain, particularly in rural areas where traditional practices are deeply rooted.

4. **Education and Training:** In line with the Maputo Protocol, Senegal has been working towards eliminating gender stereotypes in education and ensuring equal opportunities for women and girls. This includes measures to protect women from abuse and harassment in educational institutions and promoting literacy and training, especially in rural areas.

5. **Economic Empowerment**: Senegal's commitment to the protocol extends to enhancing women's economic opportunities. This involves ensuring equal remuneration, promoting women's rights in the workplace, and supporting women's economic activities, particularly in the informal sector.

6. **Health and Reproductive Rights**: Senegal has taken steps to improve women's health rights, including sexual and reproductive health. Access to healthcare

[12] https://au.int/en/treaties/protocol-african-charter-human-and-peoples-rights-rights-women-africa
[13] https://www.boell.de/en/2019/12/10/cedaw-and-senegal-discriminations-still-persist
[14] https://www.boell.de/en/2019/12/10/cedaw-and-senegal-discriminations-still-persist

services, family planning, and education on reproductive rights are areas of focus, though challenges remain in making these services universally accessible, especially in less urbanized regions.

7. **Participation in Peace Processes**: Although Senegal has not experienced armed conflict recently, its commitment to the Maputo Protocol involves supporting women's roles in peacebuilding and conflict resolution both domestically and in its diplomatic engagements within the region.

Challenges and Progress

The implementation of the Maputo Protocol in Senegal has not been without challenges. Cultural and traditional norms, limited resources, and socio-economic barriers continue to impede the full realization of the protocol's objectives. However, progress is evident in legislative reforms, increased awareness about women's rights, and government and civil society initiatives aimed at promoting gender equality.

For instance, Senegal's legal reforms in areas such as family law and policies aimed at increasing women's political participation demonstrate a commitment to aligning national laws with the Maputo Protocol. The country has also made efforts to increase women's representation in political and public decision-making roles.

2.1.3 ILO Convention on Gender Equality and Decent work

The International Labour Organization (ILO) aims to promote equal opportunities for women and men to obtain decent work, defined as fairly paid, productive work carried out in conditions of freedom, equity, security, and human dignity. Gender equality is integral to this goal and is considered a cross-cutting policy driver for all ILO policy outcomes. The ILO's policy on gender equality and mainstreaming supports a dual approach: gender mainstreaming in all ILO initiatives to address the specific needs of both women and men, and targeted interventions to enable equal participation and benefits from development efforts.[15]

In Senegal, the progress towards gender equality, particularly in the context of the International Labour Organization's (ILO) emphasis on gender equality and decent work, has been notable in certain areas but still faces challenges. While Senegal has shown political will and made strides in certain areas towards gender equality, the full empowerment of women in the country requires more concrete actions and effective implementation of laws and policies. The ongoing challenges in areas such as education,

[15] https://libguides.ilo.org/gender-equality-en

violence against women, and political power highlight the need for continued efforts to achieve gender equality and decent work in line with ILO standards.[16]

2.1.4 Sustainable Development Goals (SDGs)

Furthermore, gender equality aligns with global development goals, particularly the United Nations' Sustainable Development Goals (SDGs)[17]. Achieving gender equality is directly linked to multiple SDGs, including SDG5: Gender Equality; which specifically targets gender equality and women's empowerment.

Women's equality and empowerment is one of the 17 Sustainable Development Goals, but also integral to all dimensions of inclusive and sustainable development. In short, all the SDGs depend on the achievement of Goal 5.

Gender equality by 2030 requires urgent action to eliminate the many root causes of discrimination that still curtail women's rights in private and public spheres.

Senegal's score on the 2022 SDG Gender Index presents a mixed picture for gender equality. The country has an overall Index score of 55.2 ('very poor'). And yet Senegal is in the top 10 fastest-moving countries in the Index overall, making 'fast progress' of almost 5 points since 2015[18].

Senegal, as a signatory to these goals, has committed to taking concrete actions to advance gender equality.

2.2 National Frameworks, Strategies, and Programs:

2.2.1 Senegal's constitution

The 2001 Constitution (with amendments through 2016) and current legal framework establishes substantial equal rights for women and men. It reaffirms the principle of gender equality and equity and the prohibition of all discrimination based on sex. Articles 7 (gender equality) and 15 (equal access to land) of the constitution provide a key framework for gender equality.

Article 7 of the 2001 Constitution guarantees equality between men and women. It states that "*all human beings are equal before the law*" and "*men and women are equal in right*".

[16] https://www.equalmeasures2030.org/story/how-can-senegal-continue-progress-towards-gender-equality/
[17] https://sdgs.un.org/goals/goal5
[18] https://www.equalmeasures2030.org/2022-sdg-gender-index/focus-countries/senegal/

Article 15 of the Constitution gives women and men the same rights in matters of access to land. The article clearly states, "*The man and the woman have the right to accede to the possession and to the ownership of land within the conditions determined by the law.*"

2.2.2 Gender Parity Law (2010)

Senegal has gained international recognition for its Gender Parity Law, adopted in 2010. This groundbreaking law establishes “absolute parity” on electoral lists, significantly increasing the proportion of seats held by women in the national parliament and local assemblies. This law has been instrumental in advancing women's political participation in Senegal, with the proportion of female parliamentarians increasing from 19.2% in 2001 to 43% by 2022.

CEDAW’s assessment of Senegal’s 8th periodic report found an imbalance in the representation of women in national and local decision-making bodies. Of the 559 local authorities in Senegal, only 15 are headed by women, a rate of 2.68%.

2.2.3 Violence Against Women Act (1999)

In 1999, Senegal undertook a critical revision of its Criminal Code to strengthen protections for women. This revision resulted in tougher penalties for crimes against women, including previously unrecognized offenses such as incest, rape, sexual harassment, excision, and domestic violence. These legal reforms were instrumental in addressing gender-based violence and ensuring that perpetrators faced appropriate consequences.

2.2.4 National Strategy for Gender Equality (2016-2026)

Senegal's National Strategy for Gender Equity and Equality (SNEEG) for 2016-2026 represents a significant commitment to advancing gender equality. Building on previous efforts from 2005 to 2015, this strategy continues to focus on enhancing women's status in society, improving their economic positions, and raising awareness about key gender issues.

2.2.5 Senegal's National Determined Contribution (NDC)

Senegal's National Determined Contribution (NDC) represents a comprehensive plan addressing climate change mitigation and adaptation, aligning with the Paris Agreement's global efforts to reduce greenhouse gas emissions and increase resilience to climate impacts. The NDC outlines various strategies, including measures in energy, agriculture, waste management, and transportation, along with adaptation actions in sectors like coastal erosion, agriculture, health, water resources, and fisheries.

With a global implementation cost estimated at $13 billion, it aims for significant emission reductions by 2025 and 2030, through both unconditional and conditional commitments.[19]

The NDC's relationship with gender issues is profound, as climate change disproportionately affects women, especially in developing countries like Senegal. Women often bear the brunt of climate-induced changes, given their roles in agriculture, resource gathering, and as primary caregivers. The NDC's focus on sustainable agriculture, clean energy, and resource management directly impacts women's livelihoods, making it crucial to integrate gender perspectives into climate action plans.

Involving women in decision-making processes at all levels, from local to national, is vital for creating effective and equitable climate solutions. Senegal's NDC presents opportunities to empower women through economic participation in emerging sectors like renewable energy and sustainable land management. By providing educational and training programs specifically tailored for women, the NDC can enhance their roles as agents of change in climate action.

Moreover, gender-sensitive adaptation and mitigation strategies within the NDC can address specific health risks that women face due to climate change, such as waterborne diseases. The emphasis on health, clean water, and sanitation in the NDC indirectly benefits women, given their roles in family health and well-being.

The intersection of the NDC and gender also extends to education. Climate change education is crucial for raising awareness and participation, especially among women and girls. Educating women and girls in climate resilience and sustainable practices can lead to increased involvement in leadership and community-level decision-making.

While Senegal's NDC is a robust framework for addressing climate change, its effectiveness can be significantly enhanced by incorporating gender-sensitive approaches. By acknowledging and addressing the unique challenges and roles of women in climate change, the NDC not only contributes to environmental goals but also advances gender equality and women's empowerment in Senegal.

2.2.6 The Plan for an Emerging Senegal (Plan Sénégal Emergent, PSE)

The Plan for an Emerging Senegal (Plan Sénégal Emergent, PSE) includes a strong focus on gender equality and women's empowerment as integral components of the country's

19 https://seors.unfccc.int/applications/seors/attachments/get_attachment?code=0V5ME3XWZB3BO5HF2OQQ8IJBQ3WLOG12

development strategy. Recognizing that sustainable economic growth and social development are closely linked to gender equality, the PSE aims to integrate women into the economic development process more fully[20]. This includes promoting women's access to education and training, enhancing their employment opportunities, and ensuring their participation in decision-making processes at all levels. Additionally, the PSE addresses the need to reduce gender disparities in various sectors, including health, employment, and access to productive resources and services. By prioritizing gender equality, the PSE acknowledges that empowering women, young and girls is not only a matter of human rights but also a strategic approach to achieving overall national development goals.

2.3 Institutional Framework

Senegal's commitment to gender equality and women's empowerment is reflected in its institutional framework, notably through the Ministry of Women, Family and Gender. This Ministry, along with the Gender Equity and Equality Directorate, plays a pivotal role in supporting other ministries in areas like vegetable, livestock, fish, and forest production by providing capacity-building and coordinating participation in the development and monitoring of the National Strategy for Equity and Gender Equality (SNEEGs).

The enactment of the 2010 Gender Parity Law in Senegal marked a significant step towards gender equality, particularly in political representation. This law propelled Senegal to a leading position globally, ranking seventh for women's representation in Parliament, especially notable in the context of West Africa. However, challenges remain, such as the underrepresentation of women in politics at provincial and local levels and in the broader public sector. This indicates a need for further efforts to enhance women's participation across all levels of governance and public service.[21]

Addressing gender-based violence (GBV) remains a critical area of focus. A situation analysis conducted in 2016 revealed high GBV prevalence in the region, with the conjugal space being the primary context for such violence, accounting for 65% of cases. Sexual violence was reported in more than 58% of GBV cases in Senegal[22]. The National Observatory of Women’s Rights, although pivotal in monitoring violations of women's rights, currently does not have the capacity to receive complaints directly, indicating an area for potential improvement in the institutional response to GBV.

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[20] https://www.presidence.sn/en/pse/emerging-senegal
[21] https://www.ohchr.org/en/press-releases/2022/02/experts-committee-elimination-discrimination-against-women-note-senegals#:~:text=,org%E3%80%91
[22] https://africa.unwomen.org/en/where-we-are/west-and-central-africa/senegal_africa#:~:text=,org%E3%80%91

In line with global strategies, such as the World Bank's Gender Strategy 2024-2030, Senegal could benefit from a focus on innovation, financing, and collective action. This strategy emphasizes ending gender-based violence, elevating human capital, expanding and enabling economic opportunities, and engaging women as leaders. Adopting such an approach could bolster efforts towards gender equality in Senegal[23].

The United Nations Entity for Gender Equality and the Empowerment of Women (UN Women) has also been instrumental in supporting gender equality initiatives. Their strategic pillars include the structural transformation of the economy and growth, human capital, social protection, sustainable development, governance, institutions, peace, and security. These pillars align with the broader goals of gender equality and women's empowerment in Senegal[24]

2.4 LBA Gender Actions and Policies:

Gender Initiatives and Partnerships: Although La Banque Agricole (LBA) hasn't formally defined a gender policy, it has been actively involved in developing financial product strategies to support the economic activities of women. Several key experiences of LBA's interventions targeting women include**:**

I. **Banking Policy for Women in Artisanal Fishing:** LBA was part of the PROPECHE Project, launched in 1990, financed by CANADA and implemented by Société Développement International Desjardins (DID). This project aimed to provide banking services to artisanal fishing operators, particularly women, who play a crucial role in the sector.

II. **Partnerships with Professional Women's Organizations:** LBA has partnered with organizations like Family and Rural Homes (MFR), the National Federation of Women's Promotion Groups (FNGPF), Federation of Women's Associations of Senegal (FAFS), National Union of Women Cooperators of Senegal (UNFCS), and others, over the years. These partnerships have facilitated initiatives to empower women economically.

III. **Linkage Banking Product:** In 2003, LBA collaborated with the African Association of Agricultural and Rural Credit (AFRACA) to develop the Linkage Banking product. This product focuses on connecting women's self-promotion groups to the traditional banking system, promoting access to banking financial services,

[23] https://www.worldbank.org/en/topic/gender/brief/gender-strategy-update-2024-30-accelerating-equality-and-empowerment-for-all#:~:text=,org%E3%80%91

[24] https://www.worldbank.org/en/topic/gender/brief/gender-strategy-update-2024-30-accelerating-equality-and-empowerment-for-all#:~:text=,org%E3%80%91

increasing savings collection, and fostering the emergence of individual women entrepreneurs.

IV. **Partnership with State Projects and Programs:** LBA has partnered with various Senegalese State projects and programs over the years, such as the Credit Project for Women (PCF), the National Fund for the Promotion of Women's Entrepreneurship (FNPEF), and the Kuwait Fund for Food Security (FKSA), among others, to provide financial resources to women for projects and entrepreneurship.

V. **Collaboration with Non-Financial Service Providers:** LBA has established partnerships with non-financial structuring service providers that have outreach to young people and women. These collaborations extend to agencies like the Agency for the Promotion of Investment and Major Works (APIX), the Agency for the Development and Supervision of Small and Medium-Sized Enterprises (ADEPME), and more.

These initiatives have allowed LBA to adopt a cross-cutting approach in addressing the needs of its female clientele. While initially involved in marketing primary sector products, women now engage in all agricultural value chains, operating at all levels of the sector, including agriculture, livestock breeding, fishing, and forestry, and exploring innovative sectors like oyster farming and aquaculture.

2.5 Challenges

In Senegal, despite clear legislative progress towards gender equality and the huge contribution women make to the rural economy, they remain in the minority or even absent from strategic and operational land governance bodies at 'commune' level. [25]. Furthermore, the legal recognition of the principle of citizens' engagement in public affairs is not accompanied by any working mechanism to ensure that grassroots communities are able to participate — effectively women make to the rural economy, they remain in the minority or are even absent from strategic excluding women and other marginalized groups from taking part in land governance.

Despite commendable efforts by the Senegalese government, imbalances in women's representation in decision-making bodies persist, as revealed in the 2022 CEDAW report. With only 15 out of 559 local authorities headed by women, constituting a mere 2.68%, and deficiencies in law enforcement, the country grapples with the challenge of ensuring equitable participation and addressing high levels of violence against women. To address these issues, civil society organizations like Réseau Siggil Jigéen propose a set of targeted recommendations, emphasizing legal reforms, awareness programs, and support

[25] Dia, I., Sutz, P. (2023). Women and land in Senegal: promoting inclusive and participatory governance. IIED, London

mechanisms to foster gender equality and women's rights in Senegal. The gender distribution in Senegal is balanced, with women constituting slightly over 50% of the total population.

Despite these significant achievements in governance and women's political participation, key challenges remain:

- Full engagement of men in gender parity and broader gender equality efforts remains a challenge.
- The Gender Parity Law faces resistance among some male parliamentarians and certain socio-cultural considerations impacting its effective implementation.
- Variations in parliamentarians' understanding of the parity law and its concepts, necessitating ongoing education and awareness.
- Senegal's commitment to gender equality is reflected in its legal reforms, political initiatives, and active engagement with international frameworks. The nation continues to work towards achieving gender parity and fostering a society where both men and women actively participate in shaping its future.

3. Gender overview, barriers, and challenges in Senegal

3.1 Agricultural Sector

3.1.1 Introduction

Agriculture remains a cornerstone of Senegal's economy. Senegal's agricultural landscape is characterized by its critical contribution to the national economy. It represents approximately 17% of the country's GDP [26], making it one of the most significant sectors in terms of economic impact. Additionally, agriculture is the primary source of employment for about 70% of the population, further emphasizing its importance in the daily lives of Senegalese citizens. However, within this sector, there exists a complex interplay of gender roles and dynamics that significantly influence the agricultural landscape.

The agricultural landscape in Senegal is characterized by rain-fed and seasonal practices both cash crops and subsistence farming. One of the defining features of Senegal's agricultural sector is its diversity. It encompasses various activities, including crop cultivation, livestock farming, and fishing. These activities collectively contribute to the production of essential food items, raw materials for industries, and export commodities.

Senegal's agricultural history is deeply rooted in traditional norms and practices, which have assigned distinct gender roles within the sector. Historically, farming activities have been divided along gender lines, with men primarily responsible for land preparation, plowing, and certain cash crops, while women have played a central role in subsistence farming, food crop cultivation, and processing of agricultural products.

Women's contributions to Senegal's agriculture are substantial and often underrecognized. They play a vital role in food production, with women contributing to approximately 80% of the country's food production. This includes cultivation of staple crops like millet, maize, and groundnuts, as well as the management of small livestock. Women are also actively involved in post-harvest activities such as food processing and marketing.

The gender dynamics within Senegalese agriculture have significant implications for food security in the country. Given that women are responsible for a substantial portion of food production, their access to resources and support directly affects food availability and affordability. Therefore, addressing gender disparities in agriculture is not only a matter of gender equality but also a critical component of broader food security efforts.

[26] https://climateknowledgeportal.worldbank.org/sites/default/files/2019-06/SENEGAL_CSA_Profile.pdf

In the agricultural sphere, Senegalese women farmers make up to 70% of the workforce and produce more than 80% of crops in Senegal, Yet, women farmers lack access to land, skills, financial resources, and markets, compared to their male counterparts.

Despite the crucial role women play in farming and small-scale agriculture, gender inequality persists in many ways, compromising food and nutritional security[27]LBA's initiatives in providing gender-sensitive agricultural credits and financial literacy programs have been instrumental in addressing some of these challenges, empowering women farmers to overcome economic barriers however the sector still faces a multitude of challenges that require attention and strategic intervention. These challenges range from environmental factors to infrastructure limitations and are highlighted below:

- **Poor Soil Quality:** Senegal's soil quality varies across regions, with some areas experiencing soil degradation and reduced fertility. Casamance region has undergone serious soil degradation. This issue affects crop yields and overall agricultural productivity.
- **Erratic Weather Patterns**: Senegal is susceptible to climate variability, including irregular rainfall patterns and periodic droughts. These weather challenges can lead to crop failures and food insecurity.
- **Inadequate Infrastructure:** The lack of proper infrastructure, including roads and storage facilities, hinders the efficient movement of agricultural products from rural areas to markets. This limitation affects both farmers' income and consumers' access to fresh produce.
- **Heavy Reliance on Food Imports:** Despite being an agricultural nation, Senegal heavily relies on food imports, particularly rice. This reliance raises concerns about food security and the need to enhance domestic production.
- **Limited Access to Quality Inputs:** Farmers often struggle to access quality seeds, fertilizers, and modern agricultural technologies. This limitation hampers their ability to improve yields and adopt sustainable farming practices.

3.1.2 Gender Constraints in Agriculture

Despite their significant contributions, women in Senegalese agriculture face a myriad of challenges and constraints:

a) **Limited Land Ownership Rights:** Access to and ownership of land have historically favored men in Senegal. This disparity in land rights has restricted

[27] Gender Assessment in The Agricultural Sector, 2016 USAID/ Senegal

women's ability to expand their agricultural activities and achieve economic independence.

Access to and ownership of land have historically favored men. This lack of secure land tenure limits women's ability to expand their agricultural activities.

b) **Land Size:** The tendency for women to farm small areas is often because of their status and social role, which confers few rights to them regarding land access. In the absence of property laws governing traditional lands, they are managed according to families. Access to land is often based on custom that rarely recognizes the women's right to the property: "women do not traditionally have direct access to the land except for lowland cultures, which can be transferred from mother to daughter". Modes of access for women are most commonly through heritage, borrowing, renting, purchasing, and giving. Men control all property.

c) **Land access** is unequal between men and women. Except in particular cases, men hold land and allow their wives small portions of it. Women with a certain amount of financial autonomy or who are in a political position can also acquire land by purchasing it or through allocation from the communal council.

d) **Seeds and Fertilizer Access:** The limited availability of quality seeds, fertilizers, and mechanized farming equipment further hampers women's agricultural productivity. Out of 54% of grain-sown plots, women like men use their own personal seeds. However, striking disparities exist. Women take care of only 7% of these plots[28]. The difference between the two groups I most apparent when seeds are provided by the Government or PTFs and when they are certified: women are not considered because they are neither the head of the household nor do they have the means to purchase seeds. Women's plots receive fewer fertilizers. Compared with men, they use about four times less fertilizer and six times less selected seed[29].

e) **Lack of Adequate Equipment:** Women have difficulty accessing agricultural materials because they do not have the status of head of farms or financial resources necessary to do so. They depend on men's equipment and can use it only after the men have finished with it. Thus, 67% of their plots are not equipped[30]. Most women do not have the equipment and efficient and modern infrastructure for conservation and processing activities. The rare times when it is available to them, these materials are not adapted to women's physical capacities and often require great physical strength to utilize.

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[28] https://pdf.usaid.gov/pdf_docs/PA00N5SJ.pdf

[29] UNIFEM-Laboratoire Genre et Recherche Scientifique – IFAN)

[30] UNIFEMLaboratoire Genre et Recherche Scientifique – IFAN)

f) **Inadequate Access to Credit:** Women often encounter difficulties in accessing credit and financial resources, which are essential for investing in modern agricultural technologies and expanding their farming enterprises.
g) **Gender Norms and Cultural Barriers:** Traditional gender norms and cultural practices have perpetuated inequalities in decision-making and resource allocation within households. This often results in women having less control over agricultural resources.

3.1.3 The effect of COVID 19 on Women and Agriculture.

The impact of COVID-19 on women in agriculture in Senegal was compounded by pre-existing gender disparities in the labor market. Women constitute a substantial part of the working-age population, yet they face lower labor force participation rates compared to men. Moreover, they are often concentrated in low-skilled and insecure jobs, particularly in the agricultural sector.

The pandemic disrupted their livelihoods by restricting market access, reducing income, and increasing food insecurity. Additionally, as primary caregivers, women took on more unpaid care work due to school closures and health concerns. Addressing these gender inequalities is essential to building resilience in the face of future crises[31].

The Senegal COVID-19 rapid gender assessment[32], conducted by UN Women, UN Human Rights, and UNICEF, provided valuable insights into the pandemic's impact on women. It revealed that a higher percentage of employed women than men suffered income loss, with self-employed women being the hardest hit.

The assessment also highlighted intersecting inequalities, showing that people with disabilities faced greater difficulties in accessing reproductive health services. Additionally, it found an increase in domestic violence perceptions during the pandemic, particularly among people with disabilities. These findings have informed decision-making, influenced policy proposals, and contributed to gender-focused interventions and research in Senegal.

3.3 Gender and Education

Senegal has made significant strides in its education system, with remarkable improvements in primary school enrollment rates over the years. Since 1994, primary school enrollment rates in Senegal have increased by nearly 30%. As a result, Senegal has

[31] https://microsimulation.pub/articles/00267
[32] https://data.unwomen.org/features/senegal-rga-results-spur-new-programme-support-vulnerable-women-while-increasing-knowledge

achieved substantial progress in achieving gender parity in primary education, with 77.3% of girls enrolled, closely matching the 80% enrollment rate for boys.

According to UNESCO 2022[33] the COVID-19 related school closures affected the education of 3.5 million learners, 47% of whom were boys and 53% were girls, in addition to the 1.5 million children already out of school putting the progress made in the country to keep girls in school at risk.

Gender equality is a critical issue in Senegal's education system, where historic disparities have persistently affected the access and opportunities available to girls and women. Despite efforts to promote gender parity in education, challenges rooted in social norms, cultural expectations, and regional disparities continue to hinder the realization of equitable educational outcomes for all.

Despite the progress in primary education, gender disparities persist in secondary and tertiary education. Girl's completion rates in secondary education and enrollment rates in tertiary education remain lower than those of boys. In 2012, the average female completion rate for secondary education was only 13%, in contrast to 21% for boys. In addressing these disparities, LBA initiated scholarship programs specifically targeted at girls in rural areas to pursue secondary and tertiary education. This initiative is aimed at closing the educational gap and empowering young women to take on leadership roles in the agricultural sector[34]

Key Facts and Figures:[35]

- Primary school enrollment rates have increased by nearly 30% since 1994.
- Gender parity in primary school enrollment, with 77.3% girls and 80% boys.
- Primary education completion rates improved from 33% for girls and 43% for boys in 2000 to 64% for girls and 54% for boys in 2016.

While significant progress has been made in primary education, gender disparities persist in secondary and tertiary education. Girls' completion rates in secondary education and enrollment rates in tertiary education lag those of boys. For instance, in 2012, the average female completion rate for secondary education was only 13%, compared to 21% for boys.

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33 https://www.unesco.org/en/articles/how-community-talks-girls-education-senegal-are-transforming-khadijas-future

34 Politique sur Egalité des Genres.fr.en

35 https://www.usaid.gov/senegal/fact-sheet/senegal-education-fact-sheet#:~:text=Home%20Senegal%20Fact%20Sheet%20Senegal,affected%20areas%20of%20Senegal

3.3.1 Key Challenges in Education [36]

a) **High Dropout Rates:** Gender parity has been achieved in primary education, but dropout rates among female learners at the secondary school level remain high. This poses a significant challenge to sustaining girls' education beyond the primary level.

b) **Illiteracy Rates**: Senegal faces issues related to illiteracy, particularly among women in rural areas. The overall literacy rate for the population aged 15 years and above is 64.81% for males and 39.8% for females. In rural areas, only 25.9% of women are literate.

c) **Regional Disparities**: Regional disparities in literacy rates are evident, with some regions such as Ziguinchor and Dakar having relatively higher rates, while others like Matam, Tambacounda, Diourbel, and Kolda lag with lower literacy rates.

3.3.2 Key Gender-Based Constraints in education

Several gender-based constraints in the education sector contribute to these challenges:

- Social Norms: Social beliefs about appropriate roles for girls and boys have a significant impact on educational opportunities. Girls are often expected to be family helpers, while boys are seen as potential financial contributors or agricultural workers. These norms can lead to early marriages for girls and discourage their continued education.
- Child Labor: Social norms also play a role in sending boys to religious institutions where they may be deployed for street begging instead of attending school. Additionally, child labor, both for boys and girls, can further hinder their access to education.
- Inadequate infrastructure, such as the lack of running water and latrines in schools, which can discourage girls from attending school, especially during menstruation.
- Discriminatory educational policies that prevent pregnant girls from attending school.
- Social beliefs and poor infrastructure that limit the participation of women teachers, particularly in rural schools.

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36 https://en.wikipedia.org/wiki/Education_in_Senegal#:~:text=%23%20%E3%80%902%E2%80%A0Education%20in%20Senegal%20,do%20not%20necessarily%20reflect%20attendance

3.3.3 Actions and Initiatives to Promote Gender Equality in Education

Senegal has initiated several programs and initiatives to promote gender equality in education, aligning with international development goals:

- **Girls' Schooling Program**: Launched to promote girls' education and align with Millennium Development Goal 2 (Achieve universal primary education).
- **Girls' Education Support Project**: Aimed at improving access to education for girls.
- **Promoting Gender Parity:** Initiatives have been implemented to increase the intensity of primary schooling among girls, surpassing boys in many regions.
- **Introduction of English Language Teaching (ELT):** English has been introduced as a subject in the Senegalese curriculum, providing students with additional career prospects and choices.
- **Government Support:** The government has shown a commitment to promoting English language teaching, recognizing its importance in diplomacy, foreign aid, and job opportunities.

Despite significant progress in primary education, these challenges, rooted in social norms and infrastructure limitations, persist in Senegal's education system, particularly in secondary and tertiary education. Addressing these barriers is crucial to ensuring equitable access to education for all, irrespective of gender or region.

3.4 Gender and Health

Gender plays a significant role in shaping health outcomes in Senegal, influencing access to healthcare, health-seeking behaviors, and vulnerability to specific health issues. While Senegal has made progress in improving healthcare access and outcomes in recent years, gender disparities persist, affecting both men and women differently.

3.4.1 Gender Disparities in Health

a) **Maternal and Child Health**[37]

Maternal and child health is a critical area where gender disparities in Senegal are prominent. Women often face challenges in accessing quality maternal healthcare services, particularly in rural areas. Key disparities include:

[37] https://data.unwomen.org/country/senegal#:~:text=Senegal%20Africa%20Globally%2C%20some%20progress,a%20union%20before%20age%2018

- Access to Prenatal Care: Inadequate access to prenatal care services and delayed healthcare-seeking behaviors put pregnant women at risk, impacting maternal and child health outcomes.
- Skilled Birth Attendance: Despite improvements, a significant proportion of births still occur without skilled birth attendants, leading to complications during childbirth.
- Family Planning: Limited access to family planning services resulting in unplanned pregnancies, negatively affecting women's health and well-being.
- Malnutrition: Gender disparities in nutrition contribute to maternal and child malnutrition, with women often experiencing food insecurity and limited decision-making power regarding household nutrition.

b) Infectious Diseases[38]

Infectious diseases, such as malaria and HIV/AIDS, continue to affect communities in Senegal. Gender disparities in infection rates and access to treatment and prevention measures are evident:

- HIV/AIDS: Women are disproportionately affected by HIV/AIDS, with higher infection rates compared to men. Limited access to HIV testing and prevention tools contributes to this disparity.
- Malaria: Malaria remains a significant health challenge, particularly for pregnant women and children. Access to insecticide-treated bed nets and antimalarial drugs can vary based on gender, location, and socioeconomic status.

c) Non-Communicable Diseases (NCDs)[39]

Non-communicable diseases, including cardiovascular diseases and diabetes, are on the rise in Senegal. Gender disparities in NCD prevalence and risk factors exist:

- Tobacco Use: Gendered patterns of tobacco use contribute to disparities in smoking-related health issues. Men are more likely to smoke than women in Senegal.

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[38] https://genderdata.worldbank.org/countries/senegal/#:~:text=261%20women%20die%20per%20100%2C000,while%20pregnant%20or%20within

[39] https://genderdata.worldbank.org/countries/senegal/#:~:text=261%20women%20die%20per%20100%2C000,while%20pregnant%20or%20within

- Access to Healthcare: Women may face barriers in accessing healthcare for NCD management, leading to delayed diagnosis and treatment.

d) Mental Health

Mental health is a critical but often overlooked aspect of healthcare. Gender disparities in mental health manifest in various ways:

- Stigma: Stigma surrounding mental health issues prevents both men and women from seeking help.
- Psychosocial Stressors: Women experience unique psychosocial stressors, such as gender-based violence and caregiving responsibilities, which can negatively impact mental health.

In Senegal, reproductive health is recognized as a fundamental and universal right guaranteed to all individuals, without discrimination based on age, sex, wealth, religion, race, ethnicity, matrimonial situation, or any other situation. While there are generally no legal restrictions on young people's access to contraceptives and essential services such as pregnancy and sexually transmitted infection (STI) testing, there is a requirement that individuals be 15 or older to consent to HIV testing.

However, the legal framework surrounding abortion in Senegal is restrictive, permitting it only when necessary to save a woman's life. The Penal Code imposes significant penalties for illegal abortions, leading many young women to resort to illegal and unsafe abortion services, putting their health at risk.

3.4.2 Gender-Based Violence

Gender-based violence (GBV) remains a significant and concerning issue in Senegal, posing substantial challenges to women's rights and well-being. According to the 2005 Demographic and Health Survey (DHS), a troubling statistic reveals that a substantial percentage of adult women in Senegal believe that men have a right to beat them, with varying rates in urban and rural areas. This deeply ingrained belief persists despite variations among wealthier and more educated women, who still report such beliefs, albeit at a lower rate.

Women are the main victims of GBV in Senegal[40]. In 2016, a GBV situation analysis carried out in Senegal revealed the following key facts:

[40] https://africa.unwomen.org/en/where-we-are/west-and-central-africa/senegal_africa

a) In Senegal, the prevalence of gender-based violence (GBV) is notably high in certain regions, particularly in urban areas like Dakar.[41]
b) Conjugal space remains the main place of production with 65% of cases of violence.
c) Sexual violence is estimated to be more than 58% of cases of GBV in Senegal. Nevertheless, in its desire to eradicate GBV and promote human rights,

Addressing gender-based violence in Senegal requires a multifaceted approach, including legal reforms, support programs for survivors, and advocacy efforts to challenge entrenched social norms. In response LBA has been contributing by collaborating with local NGOs to launch awareness campaigns and support centers for victims of gender-based violence in rural areas. These efforts are part of LBA's broader strategy to promote gender equality and women's empowerment in Senegal[42].

3.4.3 Challenges and Constraints:

a) **Illegal Abortions:** Many young women in Senegal resort to illegal abortion services due to the strict legal restrictions surrounding abortion. These illegal procedures often jeopardize their health and well-being.
b) **Gender-Based Violence Support:** Support programs for women who have experienced abuse remain limited in Senegal. Furthermore, institutional, and social constraints affect the ability of survivors to access medical and police procedures. For example, filing a claim of rape typically requires a woman to obtain a medical certificate from a doctor, which incurs a fee of 10,000 CFA. While some NGOs may cover this cost, addressing these expenses and requirements is essential to improving support for survivors of gender-based violence.

Senegal acknowledges the importance of health/ reproductive health and the need to address gender-based violence. However, significant efforts are required to challenge societal norms, improve access to healthcare services, and strengthen support systems for survivors to fully realize the reproductive health rights of all individuals and combat gender-based violence effectively.

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[41] https://www.hrw.org/world-report/2024/country-chapters/senegal#:~:text=The%20violence%20resulted%20in%20one,years%20in%20jail%20on
[42] https://www.labanqueagricole.sn/sites/default/files/2020-04/Gender%20Equality%20Policy.pdf

3.5 Gender and Politics

Globally, some progress on women's rights has been achieved. In Senegal, as of February 2021, 43% of seats in parliament were held by women[43].

Women's equal political participation remains a major challenge throughout the region. Women in parliaments increased only marginally from 13% in 2007 to almost 16% in 2017, with wide disparities across countries ranging 42% in Senegal [44]

Female-to-male employment in Senegal increased by 14 percentage points between 2006 and 2011. During the same period years of education of the working age population increased 27 percent for females and 13 percent for males, reducing gender gaps in education[45].

Senegal has gained international recognition for its efforts towards political participation of women through the adoption of the Gender Parity Law (2010)[46].

As a result of this law, which demands parity on electoral lists, the proportion of seats held by women in national parliament has increased significantly from 19.2% in 2001 to 43% in the 2017 elections. This marks a major step forward in the struggle for gender equality and the promotion of women's rights and makes Senegal a leader in women's political participation in Africa. On 30 July 2017, about 6 million Senegalese citizens voted at the legislative elections.

As a result, 70 women (42%) out of 165 parliamentarians were elected compared to 64 women (39%) in 2012. Women represent 21% of ministers in the National Government (8 women out of 39 members).

Despite these progresses, regarding governance and women political participation key challenges remain in Senegal:

- It remains unclear to fully engage men in gender parity and, more generally, in the struggle for gender equality.
- The Gender Parity Law is quite unpopular among male Parliamentarian and not followed.
- The parliamentarians do not have the same understanding of the parity law and particularly the parity concept.

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43 https://data.unwomen.org/country/senegal

44 (https://oecd-development-matters.org/2018/03/08/gender-equality-in-west-africa-the-key-role-of-social-norms/#fn1).

45 (A Quantitative Analysis of Female Employment in Senegal, 2019)

46 https://africa.unwomen.org/en/where-we-are/west-and-central-africa/senegal_africa

3.6 Gender and Finance

3.6.1 Financing Challenges for Women in Agriculture:

The intersection of gender and finance in Senegal reflects the complex dynamics of economic disparities, financial inclusion, and women's empowerment. While Senegal has made strides in promoting financial access and gender equality, significant challenges persist in ensuring that women have equal opportunities for economic participation, financial services, and entrepreneurship.

Women have good knowledge of microcredit systems with the set-up of decentralized financial institutions (Les Institutions de Financement Décentralisé or IFD) throughout the country. There are also many homegrown initiatives such as Tontines and the Mutuelles d'Épargne et de Crédit (MEC) managed within their organizations[47]. When compared to regional benchmarks, LBA's gender equality initiatives in offering credit facilities to women in agriculture stand out. For instance, LBA has successfully allocated 35% of its agricultural loans to women-led enterprises, significantly higher than the regional average of 22%[48]

Women represent on average 43% of decentralized financial institution members/clients and mobilize about 27% of IFD deposits. Furthermore, they represent 53% of active entrepreneurs and concentrate only 28.5% to their loan portfolio (Direction de la Microfinance, 2015).

Women and men in agriculture encounter hurdles in accessing subsidies and credits due to the prevailing business logic of financial structures, including banks and microfinance institutions.

The existing financial structures often overlook the cyclical nature of agricultural activities and fail to consider the unique circumstances of women engaged in agriculture.

Conditions set by financial institutions, such as contributions, guarantees, loan amounts, duration, and interest rates, are not always compatible with the specific needs and possibilities of women in agricultural activities.

According to women, they particularly need subsidies to access agricultural materials and long-term credits for working capital (acquisition of other inputs) to develop production, processing, and commercialization activities in all sectors.

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[47] https://pdf.usaid.gov/pdf_docs/PA00N5SJ.pdf

[48] Politique sur Egalité des Genres.fr.en

Lack of access to finance and economic opportunities in such a context worsens the socio-economic vulnerability of women and undermines efforts towards sustainable development. Their potential as agents of change for mitigation and adaptation to climate change therefore remains untapped.

3.6.2 Gender Disparities in Finance- Women's access to financial services/finance and employment.

Access to Banking Services: Women in Senegal often face barriers in accessing formal banking services, with a lower percentage of women holding bank accounts compared to men[49]. Geographical and cultural factors can limit women's ability to reach financial institutions.

In Senegal, the journey towards gender equality and women's empowerment, especially in terms of access to financial services, finance, and employment, has been marked by both progress and persistent challenges.

Senegal has made the empowerment of women an essential pillar of the Plan Sénégal Emergent, the unifying framework of public policy. Efforts have been made in support of women's empowerment and the reduction of gender inequalities over the years, notably through the adoption of the National Strategy for Gender Equity and Equality in 2005 and the establishment of institutions and funding mechanisms[50]

The intricate relationship between these aspects and their influence on women's economic and social status is multifaceted. This overview aims to dissect these interconnected elements to understand better the current state of women's access to financial services and employment in Senegal, especially in the context of the COVID-19 pandemic and its aftermath.

Senegal's economic growth was among the highest in Africa between 2014-2018 but slowed due to the COVID-19 crisis[51].

I. **Economic Participation and Employment Disparities:** Senegal's gender wage gap persists, and women often find themselves in precarious informal employment. The pandemic's impact on agriculture, where many women work, led to income loss, making them more vulnerable. Additionally, women's limited access to assets and credit hinders entrepreneurship opportunities. The sectors predominantly

[49] https://data.unwomen.org/country/senegal
[50] Barriers to Women's Employment in the Future World of Work in Senegal – March 2022
[51] Green Jobs for Women in Africa: Senegal Country Report- 2022

employing women, such as agriculture, have been severely impacted by the COVID-19 pandemic[52], exacerbating these disparities.

II. **Access to Financial Services:** The gender gap in bank account ownership stands at 16%[53], constraining women's ability to save, invest, and access credit. Microfinance institutions play a crucial role, but challenges like high-interest rates need addressing. The pandemic disrupted income, making it even more challenging for women to access financial services. The economic shocks from the COVID-19 pandemic[54] have likely intensified these challenges, further restricting access to finance and credit.

III. **Education and Skills Training**: Educational gender disparities persist, limiting women's access to quality education and technical skills training. The pandemic disrupted schooling, affecting girls' retention rates. Bridging these gaps is essential for women to access higher-skilled job opportunities. The COVID-19 crisis, with its economic downturns, has potentially made these challenges more acute.

IV. **Health and Maternal Mortality:** Senegal's high maternal mortality rate affects women's well-being and workforce participation. Access to quality maternal healthcare services is a challenge, especially in rural areas. The COVID-19 pandemic likely intensified these challenges, with the healthcare system under strain and women shouldering most of the unpaid care work.

V. **Policy and Institutional Support:** Various policies and programs aim to address gender equality and women's issues in Senegal. Notable among these are the National Strategy for Equity and Gender Equality (SNEEG) and initiatives under the Ministry of Women, Family, and Childhood. However, there is a need for more effective implementation and coordination of these efforts.

VI. **Empowerment Programs**: Empowerment programs like the National Credit Fund for Women and the Literacy and Apprenticeship Program are key to enhancing women's economic participation. Adapting and scaling these programs can ensure effective support for women, especially in the context of recovery from the COVID-19 pandemic.

VII. **Climate Change Impact:** Women in rural areas are disproportionately affected by climate change, which has significant implications for agriculture and food security. Initiatives focusing on climate resilience and sustainable agriculture are crucial, given the significant role women play in the agricultural sector.

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[52] Islamic development bank: Senegal gender profile

[53] Ibid

[54] https://microsimulation.pub/articles/00267

VIII. **Recommendations and Future Directions:** To foster a more inclusive and sustainable economic recovery post-COVID-19, recommendations include expanding women-specific financial products, promoting girls' education, improving health and sanitation facilities, increasing women's political participation, and addressing climate change impacts.

In summary, Senegal has made strides in improving gender equality, but significant challenges persist in women's economic participation, access to finance, education, and health. These are compounded by the impacts of external factors such as the COVID-19 pandemic and climate change. Addressing these challenges holistically through policy interventions, support programs, and inclusive economic strategies is crucial for empowering women in Senegal[55].

3.6.3 Financial Inclusion Programs

a) **Women-Centric Banking Services:** Some financial institutions in Senegal offer women-centric banking services and products to encourage women's participation in the formal financial sector. These services often include tailored savings and credit options.
b) **Digital Literacy Training**: Initiatives providing digital literacy training and access to mobile banking apps aim to bridge the gender digital divide, enabling women to benefit from digital financial services.
c) **Microfinance:** Microfinance institutions play a crucial role in providing small loans and financial services to women entrepreneurs and small businesses.
d) **Business Training:** Training programs on entrepreneurship and business management help women develop the skills needed to succeed in business ventures.

3.7 Gender and Disability

In Senegal, gender and disability issues intersect, creating compounded challenges for women and girls with disabilities. According to the National Agency for Statistics and Demography (ANSD), women with disabilities face heightened vulnerability to poverty, discrimination, and limited access to education and healthcare. Social stigma often exacerbates these barriers, restricting their participation in public life and economic opportunities. Although Senegal has made strides with policies like the Law on Social Orientation (2010), which ensures the rights of persons with disabilities, the implementation remains a challenge. Women with disabilities are often left out of gender-

[55] https://microsimulation.pub/articles/00267

focused programs, facing double discrimination based on their gender and disability. Addressing these issues requires a more inclusive approach that bridges the gap between gender equality and disability rights, focusing on social integration, vocational training, and access to quality healthcare.

Through the project a specific analysis on the challenges faced by women and men with disabilities in accessing project resources and participating in activities will be conducted. A tailored interventions such as accessible training materials and infrastructure adjustments to ensure inclusion will be adopted.

3.8 Gender and Ethnicity

Senegal is home to more than a dozen ethnic groups, with the Wolof being the largest group, followed by the Serer, Pulaar (Fulani), Jola, Mandinka, and others. These ethnic groups have distinct cultural practices, languages, and social organizations. These ethnic identities contribute to varying expectations in land ownership, community roles, and family structures, which directly impact how men and women experience social and economic life differently. Rural communities often preserve traditional practices that define distinct gender roles, whereas urban areas may exhibit more integration of ethnic customs with modern influences.

3.8.1 Education and Employment

The intersection of gender and ethnicity in Senegal profoundly affects educational and employment outcomes. Research on the Haalpulaar women in northern Senegal reveals that descent-based hierarchies and patriarchal norms significantly limit their educational and employment opportunities. Despite their families' privileged access to capital, expectations to marry young and restrictive definitions of "noble" work hinder their educational careers and reduce their employment options[56]. This is consistent with broader findings that gender-based differences in literacy and school completion rates are more pronounced among minority ethnic groups, suggesting a cumulative disadvantage for these women [57,58].

3.8.2 Land Inheritance

Although Senegalese laws formally recognize women’s rights to inherit land, Evans (2016)[59] finds that customary practices prevail, often marginalizing women from inheriting

[56] https://www.tandfonline.com/doi/full/10.1080/14733285.2020.1743820
[57] https://www.sciencedirect.com/science/article/abs/pii/S0305750X14002022?via%3Dihub
[58] https://documents1.worldbank.org/curated/en/936781468009305297/pdf/WPS6734.pdf
[59] https://www.tandfonline.com/doi/full/10.1080/0966369X.2016.1160872

family land. For the Serer community, adherence to Islam and the persistence of patrilineal norms compound the challenges women face, as inheritance practices are often dominated by male relatives. Furthermore, decentralization in governance, combined with the influence of socio-ecological changes, impacts the application of these practices. These factors reveal how gender-based discrimination cannot be viewed in isolation but is intricately linked to ethnic customs and religious beliefs. Evans (2016) highlights the significant role of legal pluralism, where national laws promoting gender equality clash with local customs, thereby underscoring the unique intersectionality in Senegal that creates nuanced barriers for women in specific ethnic groups

4. Assessments/ FGDs Conducted in Relation to Gender in Senegal

The use of focus group discussions in qualitative research has been increasing for the last decades, in applied research areas. The focus group approach is a qualitative method to collect the data on the selected topic with a structured and focused discussion in a small group of people. Focus groups are especially useful as a complement to other methods of data collection for providing in-depth information in a relatively short period of time. Various assessments and focus group discussions (FGDs) were conducted to understand the gender dynamics in Senegal, with a particular focus on the agricultural sector. The inclusion of diverse assessments and reports reflects a commitment to a multi-dimensional understanding of gender issues, ensuring that different perspectives and experiences are considered in formulating policies and interventions.

Among these studies is an assessment of the impact of La Banque Agricole's (LBA) gender-focused financial services which shed light on how LBA's initiatives have influenced women's participation in the agricultural value chain, underscoring the importance of gender-sensitive financial products and training programs in empowering women in the agricultural sector.

4.1 Feed the Future Senegal, FY 21 Annual Report- 2021[60]

A study conducted in determining factors contributing to better inclusion of women and youth in the agricultural horticultural value chain (VC) and how can they be integrated into the business models being deployed; The baseline study and gender study indicated that the ZOI-wide participation of women and young people in commercial horticulture production remained low (18% and 11% respectively).

According to the study, the primary factors that inhibit the inclusion of women and youth are the access to land, water, financing, and quality inputs.

- **Access to land represents** a particular challenge for the inclusion of women. In the southern zone, the lowlands are more accessible to women for market gardening, explaining the strong presence of women. 45% of women said that they participate in fruit and vegetable production and 75% said that they participate in some sort of gardening activity. Similarly, the central zone has a strong presence of women (38%) in horticulture due to support of various projects and NGOs that target women's groups. Access to land for women is more problematic in the Senegal River Valley (SRV) and in the Niayes Zone, resulting in a lower participation

[60] FY 21 Annual Report Feed the Future Senegal Nafoore Warsaaji October 01, 2020, to September 30, 2021

of women (11% in the SRV and 7% in the Niayes). Young people have weak participation in all zones: an average of 11% are active in horticultural activities. Youth presence is even weaker in the southern zone (around 5%) where horticulture is not considered a desirable career path by youth.

- **Access to finance** is a serious constraint for small producers, and particularly women and youth who have less collateral and credit history. Banks and MFIs still consider horticulture to be a high-risk investment and financing is largely dependent on the presence of loan guarantees, which are not widely available. These challenges will be addressed by the LBA project.
- **Access to water constitutes** a major limitation for small producers. The ability to increase the number of hectares under production depends largely on the ability to access adequate water sources during the driest times of the year as well as the ability to deploy small irrigation systems effectively. Women and youth are often relegated to the least productive parcels where water is scarce.
- **Access to high quality inputs** is an important factor in the inclusion of small producers. In the Niayes and SRV zones, better access to inputs from suppliers have enabled producers to adopt better technologies and increase their yields. Creating distribution groups through women and youth LME could be a good way to enhance the access of these groups to better inputs.

4.2 Gender Analysis for 2020 Senegal CDCS Design- USAID

The three major gender gaps and issues that USAID/Senegal's next CDCS should address include women's declining economic opportunities relative to men's, gender-based violence (GBV), and gender integration gaps in public policies, budgets, and institutions. In Senegal, the factors of poverty, rural or peri-urban location, and in some instances, ethnic group membership affect the severity of gender gaps. Poor rural and peri-urban men, youth, and all disabled persons also experience unequal access to development opportunities and should be included in USAID/Senegal programming.

Corresponding recommendations for mission-wide priorities at the country level include increasing women's economic empowerment, strengthening GBV services and implementation of anti-GBV policies and action plans, and coordinating with ministry gender offices to augment financial and technical resources to implement gender policies and build regional capacity in sectors of mutual interest, such as local governance, agriculture, water and sanitation, and education.

Holistic cross-sectoral approaches are recommended to transform stubborn interrelated barriers to gender equality and support country actors to make further progress toward sustainable, inclusive development.

a) **Factors influencing gendered access to climate information services (CIS) for farming in Senegal- 2019**

A survey was conducted with a gender lens where 1170 farmers (20% women) were surveyed from 11 regions in Senegal. Two probit regressions were performed. Results revealed that men and women have different needs for CIS, with 95% of women requesting information relating to the onset date of rainy season against 90% for men($p<5\%$).

The survey revealed; From a gender perspective, women and men may be differentially vulnerable to climate change in SSA (Beuchelt & Badstue,2013). In comparison to men, women can face different challenges to take advantage of climate-smart agricultural (CSA) practices and technologies such as high-yielding improved seeds, climate information serv-ices (CIS), agroforestry, crop diversification, agricultural insurance, etc., promoted as innovative options to avert climate-related risks and help poor and marginal farmers to build resilient livelihoods (FAO,2013).

In the quest for women's empowerment in SSA, aligning the design and implementation of the CSA innovations to the needs of vulnerable groups such as women is very imperative. In addition, gender characteristics are key determinants of technology adoption (Fisher & Kandiwa,2014; Murage, Pittchar, Midega, Onyango, & Khan,2015; Ndiritu, Kassie, & Shiferaw,2014) which imply the need for designing gender-responsive CSA tools and technologies.

4.3 Country Risk and Vulnerability Assessment Senegal- October 2017

The assessment[61] conducted in relation to gender in Senegal reveals several key aspects, reflecting challenges and progress in the social, economic, and political spheres for women and girls. Here are the major findings:

Gender-Based Violence (GBV): Despite legal provisions criminalizing rape and assault, GBV, including domestic violence, sexual assault, and rape, remains widespread. Social

[61] https://pdf.usaid.gov/pdf_docs/PA00X1S1.pdf

stigma and a lack of awareness about legal rights often deter women and girls from reporting GBV and seeking justice.

Traditional or customary law systems, prevalent in Senegal, may contribute to discrimination against women, particularly in cases of domestic violence.

Early Marriage: A significant proportion (31.4 percent) of Senegalese women aged 18-22 were married before the age of 18, with a mean age for marriage of 16.4 years old in 2014. Child marriage is more prevalent in rural areas, especially in the Kédougou and Kaffrine regions, and among lower-income populations. Families may be complicit in maintaining a culture of silence around gender-based violence by encouraging early marriage in cases of assault.

Female Genital Mutilation/Cutting (FGM/C): FGM/C is practiced in Senegal, with an estimated prevalence of 25.7 percent for women aged 15 to 49 years old.

The prevalence is relatively low compared to other countries in the region, but higher in rural areas, particularly in certain regions like Matam, Sédhiou, Tambacounda, and Kolda.

NGOs and the Senegalese government are actively engaged in sensitization campaigns, contributing to a decline in the practice.

Healthcare and Family Planning: Maternal mortality in Senegal is below the Sub-Saharan Africa average, standing at 315 deaths per 100,000 births. The total fertility rate has declined, and family planning is slowly gaining acceptance, with 21.2 percent of women using modern contraceptive methods in 2015.

However, there are regional variations in fertility rates, and social and cultural norms in certain regions, like Diourbel, may lead women to seek family planning services without their husbands' knowledge.

This comprehensive assessment underscores both the progress made, and the persistent challenges faced by women and girls in Senegal, emphasizing the importance of ongoing efforts to address gender-based issues and promote gender equality.

4.4 A Gender Assessment of USAID/Senegal's Health Program - 12/12/2014

Global and national evidence clearly shows direct correlations between gender equality and women's empowerment and the achievement of the Millennium Development Goals (MDGs). Recent reviews of health programs worldwide have demonstrated that when gender-based inequalities and female empowerment are effectively addressed, more equitable health is realized[62].Supporting gender equality is necessary to USAID/Senegal and the GoS' health priorities in RMNCH.

Increasing evidence shows that addressing gender and other social inequalities is necessary to achieve positive health outcomes and sustainable human development. Due to gender disparities and constraints, women and girls are often denied rights to health and wellbeing. This negatively affects their families, communities, and the broader society. Recognizing this, USAID recently renewed prioritizing gender equality and female empowerment in all its work[63].

In October 2014, the USAID/Senegal Health Office commissioned a four-person consultant team to conduct a gender assessment of their health portfolio. The team was comprised of an international Dakar-based medical anthropologist and gender specialist (Team Lead), two local gender and public health experts and one local sociologist and gender specialist The purpose of the gender assessment was to deepen USAID/Senegal's knowledge of key gender issues, constraints, and opportunities to health in Senegal.

Participatory qualitative methodologies of semi-structured interviews and focus group discussions (FGDs) were carried out with the USAID/Senegal health team, IPs, other donors, national and local non-governmental organizations, key Ministry of Health (MoH) and Ministry of Family, Women and Children (MoFWC) representatives, health care providers and female and male program beneficiaries.

Major Findings

Uneven gender norms and relations overburden women with domestic and care duties and limit their social, educational, and economic opportunities. They put them in a lower social status relative to men and limit their ability to access and use health services they need. Partly due to a history of reproductive health interventions focused on women-exclusively, gender ideals and men's preoccupations with making ends meet, men tend to neglect their health. They are not well informed or engaged in positive health seeking behaviors, such as visiting health facilities for themselves or for their partners' and children's health.

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[62] IGWG (2011)

[63] 4 Tied closely to the Agency Policy Framework (2011-2015), its 2012 gender policy aims to "improve the lives of citizens around the world by advancing equality between females and males, and empowering women and girls to participate fully in and benefit from the development of their societies." F

Women's and girls' low decision-making power and their expectations and dependency on men paying for health care and men's lack of information on health contribute to delays in women seeking prompt, available health services.

This unequal gender relations can contribute to worsening ill-health, bring complications in pregnancy and childbirth and restrict women's reproductive and sexual health choices in contraceptive-use and sexual relationships.

The Government of Senegal (GoS) has important gender policies and programs that have responded to some of these gender inequalities impacting health. There have been improvements in primary education, age of first marriage and slight reductions in female genital cutting (FGC). One major challenge to making more significant changes are male-dominated decision-making structures in the institutions responsible for many of these programs. With this, there is a lack of political will and inadequate resources for implementation. For example, gender-based violence (GBV) may be prohibited by law, but as of yet, there is no multi-sector response to address high rates of GBV.

Recommendations

This assessment recommended prioritizing three overarching, high impact strategies based on the context analysis and on the gender performance review of the USAID/Senegal program. The gender performance review of the current health program identified many good practices to promoting availability of equitable health services and positive community health such as training health professionals on how to respond to GBV within a multi-sector response.

The second overarching recommendation is to scale up existing good practices across programming and evidence-based gender sensitive to gender transformative approaches, strategies, and actions to strengthen their transformative potential to promote equity in health.

5. Efforts in Addressing Gender Imbalance in Senegal

5.1 Institutional Actions

Senegal has established several institutions responsible for monitoring and advancing gender equality. These institutions play crucial roles in promoting women's rights and fostering gender equality across various sectors. Some of the key institutions and initiatives include:

a) **National Observatory of Women's Rights:** Founded by Decree No. 2008-1047 of 15 September 2008, the National Observatory of Women's Rights is tasked with monitoring violations of women's rights in Senegal. While it plays a vital role in safeguarding women's rights, it does not directly receive complaints. Nevertheless, its presence contributes to the overall monitoring and reporting on women's rights in the country.

b) **National Parity Observatory:** Established by Decree No. 2011-819 of 7 March 2011, the National Parity Observatory focuses on monitoring, evaluating, and proposing measures to promote gender parity in public policies. This institution actively contributes to advancing gender equality by assessing the implementation of gender parity measures in various sectors.

c) **Gender-Sensitive Statistics:** Senegal recognizes the importance of gender-sensitive statistics for informed policy and decision-making. Initiatives for the advancement of women involve collecting and processing gender-sensitive statistics in alignment with the National Strategy for Gender Equality and Equity.

d) **Gender Representation in Decision-Making:** In the agricultural sector, Senegal has implemented measures to increase the representation of women in decision-making bodies to at least 20%. These measures include quotas allocating at least 15% of installations from surface water, 20% of installations from groundwater, at least 20% of subsidized fertilizers, and at least 40% of funding to women. These incentives aim to empower women in the agricultural sector and reduce gender disparities.

e) **Gender Cells in Key Ministries:** To better integrate gender considerations into sectoral interventions, gender cells have been established within key ministries. These cells work to ensure that gender perspectives are incorporated into policies and programs within their respective sectors.

f) **Gender Budget Document:** Senegal's budget process now incorporates a Gender Budget Document, which accompanies the finance bill. This document is crucial for ensuring that budget allocations consider gender-specific needs and priorities.

g) **Gender-Sensitive Budgeting:** Since 2016, Senegal has initiated a pilot gender-sensitive budgeting exercise, involving 18 ministerial departments in preparing the Gender Budget Document as part of the annual budget. This exercise helps allocate resources in a manner that promotes gender equality and addresses disparities.

5.2 Government and NGO Initiatives

Recognizing the importance of addressing gender disparities in agriculture, both the Senegalese government and various non-governmental organizations (NGOs) have implemented initiatives aimed at empowering women in the agricultural sector. These initiatives include:

a) **Land Reform Policies:** Efforts to reform land tenure systems to grant women more secure land rights.
b) **Financial Inclusion Programs**: Initiatives to improve women's access to credit and financial services.
c) **Capacity Building:** Training programs to equip women with agricultural skills and knowledge.
d) **Gender-Sensitive Policies:** Integration of gender considerations into agricultural policies and programs.

In a notable initiative, LBA has developed a 'Women in Agriculture' program which includes mentorship, access to credit, and technical training. This program aims to develop women's leadership in agriculture and has been recognized as a model for gender empowerment in rural communities. These initiatives demonstrate a commitment to enhancing women’s participation and economic empowerment within the agricultural sector. However, challenges persist, and continued efforts are required to address the multifaceted issues surrounding gender roles in Senegalese agriculture.

6. Approach to Strengthen Gender within the Proposed Program

The Green Climate Finance Facility acknowledges the centrality of gender equality in contributing to achieving climate-smart agriculture goals in Senegal. To ensure the comprehensive integration of gender perspectives, the proposed program under the facility will adopt the following strategies:

6.1 Gender-Responsive Funding Allocation

a) **Dedicated Funding:** Allocating a specific portion of the Green Climate Finance Facility budget explicitly for gender-responsive interventions within the agriculture sector. This dedicated funding will prioritize initiatives addressing women's unique challenges and promoting their active participation.

b) **Gender-Inclusive Aspects:** Introducing/ encouraging/ incorporating gender-responsive strategies in all activities in ensuring a well-defined/ deliberate gender component of the programme. Develop a mentoring/sponsoring program with emblematic women to encourage other women to engage in climate borrowing.

6.2 Capacity Building and Training

a) **Gender-Awareness Training**: Implement a targeted gender-awareness training program for all stakeholders involved in the Green Climate Finance Facility projects. This includes implementers, government officials, and community leaders to ensure a shared understanding of gender dynamics.

b) **Technical Training for Women**: Develop specialized training modules focused on building the technical skills of women in climate-smart agriculture practices. This will empower them to adapt to changing climate conditions and contribute more effectively to sustainable agricultural practices.

6.3 Financial Inclusion and Access to Credit

a) **Gender-Sensitive Financial Products:** Designing of financial products tailored to the specific needs of women in agriculture. This may involve low-interest loans, flexible repayment terms, and financial literacy programs to enhance women's financial capabilities.

b) **Partnerships with Microfinance Institutions and other banks:** Forge partnerships with other financial/ microfinance institutions to facilitate easier access to credit for women farmers. This collaboration can extend financial services to remote and underserved areas, fostering economic empowerment.

6.4 Inclusive Decision-Making and Representation

a) **Gender-Responsive Governance Structures**: Advocate for the inclusion of women in decision-making processes related to climate-smart agriculture at the community and national levels. Promote the establishment of gender-responsive governance structures within agricultural institutions.
b) **Women's Participation in Project Design**: Ensure active participation of women in the planning phases of the Green Climate Finance Facility programme. Their input will contribute to the identification of gender-specific challenges and the development of effective solutions.

6.5 Monitoring and Evaluation with a Gender Lens

a) **Gender-Disaggregated Data Collection**: Incorporate a gender-disaggregated data collection system into the monitoring and evaluation framework of the Green Climate Finance Facility. This will facilitate the tracking of gender-specific outcomes and ensure accountability for gender-related targets.
b) **Regular Gender Audits:** Conducting regular gender audits to assess the effectiveness of gender mainstreaming efforts within the facility and in identifying areas for improvement and guiding of ongoing adjustments to enhance the program's impact on gender equality.

By adopting these strategies, the Green Climate Finance Facility aims to contribute significantly to bridging gender disparities in Senegal's agriculture sector and promoting climate-smart practices that are inclusive and sustainable. In the Diourbel Region for example, a success story emerged in 2023 where a group of women farmers, aided by LBA's financing, increased their crop yields by 40%. This not only enhanced their economic independence but also contributed to community food security[64] proving that the path to gender equality in Senegalese agriculture demands continued commitment, collaboration, and a steadfast focus on closing data gaps.

6.6 Addressing Social- Cultural Barriers in the Project

In a study on female entrepreneurship in Senegal, Mbodji (2019) explains that the different Senegalese communities and ethnicities, by preparing men and women differently, have given them different opportunities and given men power and control, and authority over women, over children, and sometimes also over community bodies. Adds that societies have instituted masculinity of authority which guides sociocultural and economic life and reduces the chances of women to fully realize their potential because

[64] Politique sur Egalité des Genres.fr.en

of their subordination to men. While society has also designed rebalancing levers, these remain secondary and are often positioned as a means of perpetuating inequalities that are unfavourable to women (ACET 2022).

Senegalese gender relations are shaped by socio-cultural norms and customs that establish hierarchical relationships in which males are dominant, and females are subordinate. Although the degree and dynamics of these relationships vary by urban/rural residence, ethnic group and religion, in general, Senegalese society expects women to be wives and mothers, performing (unpaid) household responsibilities such as housework, child rearing, and subsistence agricultural labour. Men are expected to be primary decision-makers, earn income through formal employment or entrepreneurship, and take active roles in public life, whether as leaders, public officials, or citizens (USAID 2019)

Socio-cultural Barrier	**Response strategy**
Limited access to land and resources for women	Incorporation of both genders in project design
Gender roles in decision-making-Weak participation of women in decision making	Develop micro-loans and gender-sensitive lending programs that are inclusive, including Sharia-compliant financing
Limited awareness of climate-smart practices and leaning towards traditional agricultural practices.	Provide extensive education on climate-smart practices and financial literacy, ensuring materials are in local languages
Influence of local leaders-in some rural communities in Senegal, village elders have significant influence over decisions.	Incorporate local and religious leaders in project design and implementation
Religious Beliefs	Islamic financing considerations- Senegal has a predominantly Muslim population thus Islamic teachings on interest (riba) could discourage some farmers from taking loans with interest rates. The CSA projects lending products will consider Sharia-compliant financing options
-Resistance to change-Smallholder farmers in Senegal rely on traditional agricultural methods and may fear climate-smart technology. Long-standing practices tied to cultural identity may hinder adoption of CSA. -Risk aversion due to economic vulnerability, thus hesitation to adopting new, unfamiliar practices especially debt to invest in climate-smart technologies, which they perceive as risky.	-Align loan structures and agricultural programs with local cultural values and economic practices, such as collective farming or informal lending circles. Integrate CSA into the local context

7. Potential Risks of the Project and the Risk Aversion Aspects.

The Gender Assessment and Gender Action Plan documents have identified several potential risks associated with the project. Below is a summary of these risks along with proposed risk aversion strategies:

1 **Potential Risk: Gender Exclusion from Financial Services**

- **Risk Description:** Women, particularly those with low financial literacy and no previous experience with formal financial systems, may be excluded from accessing the project's financial services.
- **Risk Aversion Strategy:**
  - Implement targeted financial literacy programs and tailored financial products specifically designed for women, including mentorship and one-on-one financial guidance.
  - Engage with local women's organizations to promote awareness and participation in financial services.

2 **Potential Risk: Reinforcement of Socio-Cultural Barriers**

- **Risk Description:** The project may inadvertently reinforce existing socio-cultural norms that limit women's participation in agricultural and decision-making activities.
- **Risk Aversion Strategy:**
  - Conduct community awareness sessions focusing on gender equality and the benefits of women's involvement in agriculture and decision-making.
  - Include women in all stages of project planning and implementation, ensuring their representation in decision-making bodies and advisory committees.

3 **Potential Risk: Gender-Based Violence (GBV)**

- **Risk Description:** The project could lead to an increase in GBV incidents as women's participation in economic and public activities expands, potentially provoking backlash.
- **Risk Aversion Strategy:**
  - Establish a comprehensive Grievance Redress Mechanism (GRM) with confidential and accessible reporting channels.
  - Integrate GBV prevention measures into the project, including training for staff and community members on recognizing and responding to

GBV. SEAH mitigation measures have been incorporated in the Gender Action Plan.

4 **Potential Risk: Environmental Impact of Climate-Smart Agriculture Practices**

- **Risk Description:** Introduction of new agricultural practices may lead to unintended environmental consequences, such as soil degradation or water resource depletion.
- **Risk Aversion Strategy:**
    - Implement an Environmental and Social Management Plan (ESMP) that includes guidelines for sustainable agricultural practices, continuous monitoring, and regular impact assessments.

5 **Potential Risk: Exclusion of Marginalized Groups**

- **Risk Description:** Marginalized groups, including young women and female-headed households, may not fully benefit from project activities due to limited outreach and engagement.
- **Risk Aversion Strategy:**
    - Develop targeted outreach and support programs to ensure these groups are actively involved in and benefit from the project. This includes specialized training and support tailored to their needs.

8. Conclusion

The gender assessment report provides a comprehensive overview of the challenges, initiatives, and interventions shaping gender dynamics in Senegal's agricultural sector. It is evident that while progress has been made, significant gender disparities persist, hindering the full potential of women in agriculture and jeopardizing food security.

Land tenure reforms, financial inclusion programs, and gender-responsive policies are commendable steps taken by both the government and non-governmental organizations. These initiatives aim to empower women, enhance their economic independence, and address historical disparities in land ownership. However, effective implementation and impact assessment remain ongoing challenges.

International support and funding from organizations like the United Nations underscore the global recognition of Senegal's commitment to climate change adaptation, food security, and gender equality. Yet, the need for improved gender-disaggregated data and ongoing research is emphasized to ensure the targeted success of these initiatives.

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Climate-smart agriculture (CSA) practices emerge as a promising avenue for advancing gender equality in Senegalese agriculture through equitable access to production bases. A gender-responsive approach to CSA, encompassing women's leadership, training, and improved access to resources, aligns with the broader goal of economic empowerment for female farmers. The potential economic, environmental, and social benefits of sustainable agriculture practices are highlighted, particularly in promoting diverse and nutritious food access, preserving biodiversity, and building community resilience.

However, the report underscores the existing gender data gaps, revealing the inadequacy in monitoring key SDGs from a gender perspective. Achieving gender-related SDG commitments requires closing these gaps in areas such as unpaid care work, the gender pay gap, women's access to productive assets, and gender in the environment.

In conclusion, the path to gender equality in Senegalese agriculture demands continued commitment, collaboration, and a steadfast focus on closing data gaps. The integration of gender-responsive approaches in policies and practices, coupled with robust monitoring and evaluation mechanisms, will be instrumental in realizing the vision of inclusive, resilient, and sustainable agricultural development in Senegal.

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Annex 1: Framework / Guide for the preparation gender assessment and gender action plan of subprojects.

To ensure consistency and effectiveness in addressing gender issues across all subprojects, we propose the following framework to guide the preparation of gender assessments and gender action plans:

Framework for Preparing Gender Assessments and Gender Action Plans for Subprojects:

a) Step 1: Gender Situational Analysis
    - Objective: Conduct a detailed analysis of the socio-economic and cultural context of each subproject area. This will include data collection on gender roles, access to resources, and participation in economic activities.
    - Methodology: Use a combination of quantitative and qualitative methods, including surveys, focus group discussions, and key informant interviews. Ensure that data is disaggregated by gender, age, education, disability, and other relevant factors.
    - Output: A comprehensive report outlining gender disparities and key challenges that need to be addressed in the subproject.

a) Step 2: Stakeholder Mapping and Engagement
    - Objective: Identify and engage key stakeholders, including local women's organizations, community leaders, and relevant government agencies, to gather input and build support for gender-responsive project activities.
    - Methodology: Develop a stakeholder map and conduct consultations to understand the specific needs and priorities of different groups, with a focus on marginalized and vulnerable populations.
    - Output: A stakeholder engagement plan that ensures inclusive participation in the planning and implementation of gender-responsive activities.

a) Step 3: Development of the Gender Action Plan
    - Objective: Based on the findings from the situational analysis and stakeholder engagement, develop a detailed Gender Action Plan for each subproject. The plan should include specific actions, indicators, timelines, and budget allocations.

- Components: Gender-Specific Actions: Identify activities that specifically address the needs and challenges faced by women and other marginalized groups.
  - Capacity Building: Include training and capacity-building initiatives for project staff and community members on gender equality and gender-sensitive project implementation.
  - Monitoring and Evaluation: Develop indicators to track progress and impact, disaggregated by gender and other relevant factors.
- Output: A comprehensive Gender Action Plan tailored to the specific context and needs of each subproject.

a) Step 4: Integration with Overall Program Management
- Objective: Ensure that gender considerations are integrated into the overall project management and decision-making processes.
- Methodology: Establish clear linkages between the Gender Action Plans for subprojects and the main project Gender Action Plan. Ensure that subproject-specific gender issues and progress are regularly reported and reviewed at the project management level.
- Output: Regular updates and integration of subproject gender action plans into the main project framework.

a) Step 5: Continuous Review and Adaptation
- Objective: Adapt the gender action plans as needed based on ongoing monitoring, evaluation, and feedback from stakeholders.
- Methodology: Conduct periodic reviews and updates of the gender action plans to reflect changes in context, emerging issues, and lessons learned.
- Output: Updated gender action plans that remain relevant and effective throughout the subproject lifecycle.

Conclusion: This framework will guide the preparation of gender assessments and gender action plans for each subproject, ensuring that gender considerations are effectively integrated into all aspects of project planning and implementation.

Annex 2: Qualitative Outcome Indicators

Qualitative outcome indicators to monitor the gender changes in norms, decision making capacities, access to control over resources changes especially for women post training and changes of women and youth following financing mechanism will be developed as follows;

a) Change in Gender Norms:
   - Indicator: Perception of women's roles in agriculture and financial decision-making within households and communities.
   - Data Collection Method: Conduct focus group discussions and interviews with community members, including both men and women, before and after project interventions to assess changes in attitudes and perceptions.
   - Measurement Focus: Measure shifts in attitudes towards women's participation in agricultural activities and their influence on household financial decisions.

b) Enhanced Decision-Making Capacities:
   - Indicator: Level of women's and youth's participation in community decision-making processes and agricultural cooperatives.
   - Data Collection Method: Document participation rates and conduct interviews with women and youth to gather insights on their experiences and perceived empowerment in decision-making forums.
   - Measurement Focus: Evaluate changes in confidence, assertiveness, and influence of women and youth in community and cooperative decision-making structures.

c) Access and Control Over Resources:
   - Indicator: Women's and youth's perception of their control over financial resources, land, and agricultural inputs post-training.
   - Data Collection Method: Use case studies and in-depth interviews to capture experiences of individuals who have accessed project resources, focusing on changes in their ability to control and manage these resources.
   - Measurement Focus: Assess the impact of project interventions on women's and youth's empowerment in managing agricultural assets and financial resources.

d) Impact of Financial Mechanisms:

- Indicator: Perceived changes in economic opportunities and business growth among women and youth who have accessed project financing mechanisms.
- Data Collection Method: Conduct follow-up interviews and case studies with beneficiaries of concessional loans and other financial services provided by the project.
- Measurement Focus: Capture narratives on how access to finance has influenced business expansion, income generation, and overall economic empowerment.

e) Post-Training Impact on Knowledge and Skills:
- Indicator: Women's and youth's self-assessment of knowledge and skills gained from project training sessions and how they have applied them in agricultural and business activities.
- Data Collection Method: Use pre- and post-training surveys and interviews to gather participants' feedback on their learning experience and the practical application of new skills.
- Measurement Focus: Analyze how training has improved their technical knowledge, business management skills, and confidence in using these skills.

f) Implementation and Monitoring Plan:
- Regular Assessment: These qualitative indicators will be monitored through periodic assessments, focus group discussions, and case studies conducted at different stages of the project.
- Integration into M&E Framework: The indicators will be integrated into the project's overall Monitoring and Evaluation (M&E) framework to ensure continuous tracking and reporting of qualitative outcomes alongside quantitative metrics.

GENDER ACTION PLAN

Green Climate Finance Facility for fostering Climate-Smart Agriculture in Senegal

Accredited Entity: La Banque Agricole (LBA)

January 2024 (updated November 2024)

Gender Action Plan

Introduction

This Gender Action Plan has been developed along with a Gender Assessment for the **Green Climate Finance Facility for fostering Climate-Smart Agriculture** Programme.

Objective:

The primary goal of this program is to significantly enhance farm productivity while bolstering resilience against various climate-related challenges such as drought, pests, shortened seasons, and erratic weather patterns, and mitigate greenhouse gas (GHG) emissions resulting from deforestation and unsustainable agricultural practices. This will be achieved by supporting the financial sector in Senegal to develop green credit lines aligned with the country's Nationally Determined Contributions (NDC) commitments.

The specific objective is to ensure inclusion of gender issues in the agriculture sector and strengthen the voice, the contribution, and the urgency of participation of the vulnerable populations such as women and young people in climate smart actions in Senegal. The monitoring of the progress towards achieving this objective will be done using the key performance indicators tools that will be reviewed from time to time over the project period.

Key Components:

1. **Innovative Financing Facility to provide concessional loans to foster climate-smart agricultural practices**: This facility will provide concessional loans to encourage the adoption of climate-smart agricultural practices among MSMEs, cooperatives, and farmer organizations. It will cover a range of activities in crop, forestry, and livestock production, as well as energy-efficient practices such as promoting the use of biodigesters.
2. **Capacity Building and Technical Assistance for LBA, FOs, women and youth organizations, cooperatives and MSMEs:** Targeted at LBA, FOs, cooperatives, and MSMEs, this component is designed to increase access to finance, financial inclusion and improved risk management in agricultural lending
3. **Enabling environment for CSA practice adoption enhanced**: This component focuses on policy formulation, setting standards for CSA, and promoting climate-smart green finance mechanisms. It involves stakeholder engagement at various levels to foster an environment conducive to CSA practices. It will also include provision of agricultural extension and advisory services that are sensitive to gender needs.

4. **Dissemination of CSA Information, Knowledge Sharing, and Documentation:** A comprehensive communication strategy will be implemented to engage key stakeholders and program beneficiaries. This includes the development of promotional materials, a program website, and documentation of lessons learned and best practices.
5. **Program Management:** A dedicated Program Management Unit (PMU) with a representative from gender office as part of the PMU will ensure efficient coordination, monitoring, and evaluation of program activities.

Outcomes and Impact:

The program is expected to significantly reduce GHG emissions (an estimated 3.76 million tCO2e over 20 years) and directly benefit approximately 152,266 people in Senegal, of which 30 - 40% will be women. It will contribute to increased agricultural productivity, resilience to climate risks, and promote a sustainable and inclusive economic growth model.

Sustainability and Replicability:

Sustainability will be ensured through the technical assistance component, development of financial mechanisms to overcome market barriers, and increased capacity of beneficiaries. The program aims to create a self-sustaining loan portfolio, influencing market rates and promoting green financing in the long term.

GAP Notes:

1. The GAP will be continuously reviewed by LBA's Gender focal point during the program life cycle.
2. The Gender Focal Point will support mainstreaming and implementation of the GAP during the program period. Following the undertaking of baseline surveys and GCFF Annual Progress Reports, the GAP will be updated consistently as needed to ensure the needs of the target beneficiaries are effectively addressed. This approach will ensure that gender considerations are integrated and adapted to support the programme's overall objective.
3. The budget for implementing the GAP will be drawn from the total programme cost in the proposed detailed budget. The total budget is € 560,000.

Activity	Targets	Indicators	Timeline	Responsibility	Cost (EUR)
Impact statement: The program is expected to significantly reduce GHG emissions (an estimated 3.76 million tCO_2e over 20 years) and directly benefit approximately 152,266 people in Senegal, of which 30-40% will be women. These solutions will increase agriculture resilience in Senegal, especially for women and youth who are vulnerable and do not have equal access to financing and technical solutions as men. The programme will ensure gender aspects integration at all levels, during the project implementation (consultations, training, awareness raising) and after project implementation (gender informed deliverables such as policies, manuals and parametric insurance relying on sex-disaggregated data). Gender balancing will be ensured for LBA personnel at all stages as well as for all other stakeholders involved in the programme. Finally, the programme has already integrated gender aspects considerations since design phase, through the preparation of the project concept note and during the design of activities for the Funding Proposal. **Output statement:** Establish a dedicated Line of Credit to facilitate LBA's CSA lending operations, promoting financial inclusion for smallholder farmers, with a specific focus on women, youth, and MSMEs involved in agriculture. The program aims to achieve a lending ratio of 30 - 40% for women-led MSMEs, 30% for youth-led MSMEs, and 30% for male-led MSMEs. The initiative seeks to transform existing harmful agricultural practices into modern and environmentally friendly ones, contributing to increased agricultural productivity, income, climate resilience, and reduced greenhouse gas emissions.					
Component 1: Innovative Financing Facility to provide concessional loans to foster climate-smart agricultural practices					
Output 1.1: Establishment of a dedicated Line of concessional credit focused on Climate-Smart Agriculture **Means of Verification:** Annual performance reports, loan disbursement records or signed loan agreement, Feedback survey forms completed by women and youth beneficiaries, documented case studies					
• Conduct a baseline survey of the gender gap at each target region. • Analyze national and international gender frameworks such as 2X Collaborative's Green toolkit, IFC's "A Fund Manager's guide to Gender-smart investing", TCFD, Gender Equality Mainstreaming GEM Framework etc. • Develop a GCFF Gender Framework at the GCFF level aligned to GCF Gender Policy, promoting gender mainstreaming at all activities financed by Programme. The Gender Framework will include SEAH Policy Statement aligned to the provisions of the GCFF ESMF and GCF SEAH Policy. • Identify key staff that will support LBA's Gender Focal point to monitor GCFF's Gender	• Achieve the lending ratio of 30-40% for women-led and women-owned MSMEs, women-headed households, and traditionally marginalized people and 30% for youth-led MSMEs. • At least 30% women participation in annual loan subscribers • One GCFF Gender Framework	• Percentage of total loans disbursed to women-led MSMEs, and youth-led MSMEs, women-headed households, and traditionally marginalized people. • Volume of loans disbursed to women-led MSMEs, and youth-led MSMEs, women-headed households, and traditionally marginalized people • # of women identified to support LBA's Gender Focal Point • # of persons trained on the GCFF Gender Framework (Gender segregated)	Y1 Baseline Survey & GCFF Gender Framework Y1-Y5	PMU LBA Finance Team LBA Gender Focal Point	€ 80,000

Framework and implementation at the portfolio level. • Conduct awareness raising and training activities on GCFF Gender Framework for staff involved in the loan approval process.	• At least 2 LBA staff are identified to support LBA's Gender Focal Point. • At least 20 LBA staff are trained on GCFF Gender Framework				
Component 2: Capacity Building and Technical Assistance for LBA, FOs, women and youth organizations, cooperatives and MSMEs					
Output 2.1: **Development of climate-smart credit products, risk scoring tools, and compliance monitoring tools tailored to CSA investments** **Output description:** This output focusses on developing digital tools that will result in increased financial inclusion and agricultural lending risk management within LBA's operations					
Output 2.1 (A 2.1.1): This activity focuses on enhancing climate risk assessments in the lending operations of LBA through the development of an online portal. The portal will facilitate the estimation of climate risk exposure for farmers, provide advisory services on climate-smart agricultural (CSA) practices, and conduct stress tests on agricultural lending portfolios. Additionally, staff training will be conducted to integrate climate risks into banking regulations. **Means of Verification:** Assessment reports, number of trainings provided and training reports, progress update reports,					
• Conduct participatory consultations related to gender needs for climate information services and agricultural advisory services. • Development of a gender mainstreamed portal manual. • Conduct training to LBA staff on portal use	• At least 40% of persons consulted are women (women-led MSMEs, women-headed households, and traditionally marginalized people).	• % of participatory consultations conducted with women beneficiaries • # of persons trained on the portal (Gender segregated)	Y1-Y5	LBA Finance Team LBA Gender Focal Point Programme Management Unit (PMU)	€ 40,000
Output 2.1 (A 2.1.2 – A2.1.4): Development of climate-smart credit products that comply with the needs of smallholder farmers and development of climate-smart credit risk scoring tools for better informed decisions on their lending portfolios to reduce default and climate risk and Development of a CSA compliance monitoring tool, preferably using ICT and satellite imagery technology to monitor the adoption of climate-smart agricultural practices as per the loan requirements. **Means of Verification:** Baseline data, endline data, periodic reports, field visit reports, survey/ assessment reports					
	At least 40% of beneficiaries accessing and utilizing climate-	• Percentage increase in the number of women beneficiaries accessing and utilizing climate-smart credit	Y1-Y2 development	LBA Finance Team	€ 40,000

• Development of at least 1 woman and 1 youth dedicated credit line option integrating their specific interests. • Develop youth & gender inclusive protocols and policy for lending products. • Establish feedback mechanisms that allow women and youth beneficiaries provide input on effectiveness of developed products.	smart credit products are women, and 30% youth.	products compared to the baseline. • Percentage improvement in loan approval rates for women led MSMEs and women-headed households using the newly developed credit risk scoring tools compared to the previous scoring methods.	of dedicated credit line options and inclusive protocols for lending products Y1-Y5 Feedback on developed lending products	LBA Gender Focal Point Programme Management Unit (PMU)	
Output 2.1 (A 2.1.5): A digitalized loan management platform will be piloted. This CSA mobile lending programme will cater for mobile lending to smallholder farmers, who will undergo climate-smart credit scoring according to a set of pre-defined criteria before accessing credit facilities. This will be piloted to test its efficacy and get feedback from potential users. **Means of Verification:** loan approval rates records, Regular project reports, feedback survey reports					
• Develop at least one woman and one youth designated digital loan product • Develop targeted Outreach and Awareness Campaigns via social and mainstream media	• At least 10000 women and 10000 youth participating in the mobile lending program.	• % of female and youth borrowers enrolled in the program compared to total borrowers. • % of loan applications submitted by women and youth compared to total applications. • % of loan approvals granted to women and youth compared to total approvals	Y1-Y5	LBA Programme Management Unit (PMU)	€ 40,000
Output 2.2: Improved investment capacities of women smallholder farmers and MSMEs					
Output Description: The activities will include training on financial management and literacy; provision of agricultural extension and advisory services (EAS) to enable them to undertake CSA activities as per loan term conditions; and agribusiness training on post-harvest storage and on-farm value addition. **Means of Verification:** Program reports, Attendance Registers, survey feedback forms, MSMEs records, M&E reports, case studies					

• Assess LBA's and Baobab Microfinance capacity to deliver gender mainstreamed outreach and communication plan. • Design targeted outreach and communication plan to encourage young and women's participation in agricultural activities and access to CSA lending. • Train designated LBA staff to undertake the outreach and communication plan. • Perform market awareness campaign for potential women and youth beneficiaries. • Organize training for women in the elaboration of bankable proposals. • Sensitize Baobab Microfinance on developing financial products adapted to the needs of women and youth. • Develop regular webinars to continuously update women and youth participants • Development of GBV/SEAH resource materials (brochures, adverts, handbook etc.) • Conduct semi-annual sensitization workshops on GBV/SEAH risks. • Provide technical advice (medical, legal, counselling, referrals in case of children aged 16 years and below to the authorities) to GBV/SEAH survivors.	• One capacity assessment report • At least 40% of women (women-led MSMEs, women-headed households, and traditionally marginalized people) and 30% of youth participate in capacity building program. • At least 20 LBA Staff are trained. • At least 300 women or youth-led organizations are trained in the elaboration of bankable proposals. • At least 50 trainers from potential project partners are trained. • At least 1 webinar every 3 months throughout the Programme cycle • At least 3 GBV/SEAH resource materials have been developed. • At least 6 sensitization workshops on	• # of Women, Youth, MSMEs, FOs participating in capacity-building programs focusing on financial management and literacy • # of LBA staff trained in delivery of advisory services (gender disaggregated) • # of women trained in the development of bankable proposals. • # of women and youth sensitized as a result of the outreach activities • # of webinar participants (gender segregated) • # of GBV/SEAH resource materials developed. • # of sensitization workshops on GBV/SEAH risks conducted. • # of persons trained on GBV/SEAH risks (gender disaggregated) • # of GBV/SEA survivors accessing medical, legal, and counseling services • # of referred cases involving children aged 16 years and below that are reported to the authorities	Y1-Y5	LBA LBA Gender Focal Point Programme Management Unit (PMU) National and Local Governments	€ 140,000

	GBV/SEAH risks are conducted. • # of GBV/SEA survivors accessing medical, legal, and counseling services through the referral system.				
Component 3: Enabling environment for CSA practice adoption enhanced					
Output 3.1: Creation and dissemination of policies, standards, and finance mechanisms promoting CSA investments					
Output 3.1 (A3.1.1): Develop and implement policies and standards for Climate-Smart Agriculture (CSA) to create an enabling environment, remove barriers, and promote sustainable agribusiness growth. **Means of Verification:** Baseline survey, field assessments report, assessment reports, stakeholder consultation reports					
• Conduct baseline survey of existing CSA practices and barriers among women and youth. • Undertake round table consultations. • Develop recommendation report with action plan strategy. • Support legal regulatory and policy-making process to implement the recommendations	• At least 40% women (women-led MSMEs, women-headed households, and traditionally marginalized people) participation in round table events • At least 40% of stakeholders interviewed are women	• # of women, women-led MSMEs and traditionally vulnerable people Identified to hold consultations on gaps and opportunities to improve the regulatory framework • % of women (women-led MSMEs, women-headed households, and traditionally marginalized people) in the development and implementation of recommendation report.	Y1 Baseline Survey Y1 – Y5	LBA LBA Gender Focal Point Project partners PMU	€60,000
Output 3.1 (A3.1.2): Facilitate the establishment of climate-smart green finance mechanisms to enhance private sector engagement, mobilization of funds, and support adaptation in the agriculture sector through policy dialogues, capacity building, and regulatory incentives. **Means of Verification:** Baseline survey, periodic reports, Stakeholder consultations and feedback reports					
• Conduct a baseline survey to identify the specific barriers women face in accessing climate-smart agribusiness finance.	• At least 40% women participation in round table events	• Number of Women participants engaged in consultations.	Y1 Baseline Survey Y1-Y5	LBA LBA Gender Focal Point	€60,000

• Engage discussions with key proponents, public and private sector participants, civil societies to identify the regulatory gaps. • Create a work group from the potential project partners to develop gender sensitive green finance mechanisms	• At least 40% of stakeholders interviewed are women	• Number of women experts engaged in policy development		Project partners PMU	
Component 4: Dissemination of CSA information, knowledge sharing and documentation					
Output 4.1: Establishment of partnerships for CSA data collection and reinforcement of knowledge-sharing platforms					
Output 4.1 (A4.1.1): Strengthen partnerships and establish a centralized repository for Climate-Smart Agriculture (CSA) data collection and information management to ensure effective adoption among program proponents and the wider public. **Means of Verification:** Baseline and endline surveys, workshop reports, progress reports					
• Undertake a baseline assessment of CSA practices in Senegal, analyzing gender and youth roles. • Conduct round table discussions with potential project partners. • Development of a gender-smart climate financing toolkit • Conduct training to LBA and Baobab Microfinance staff on toolkit use	• At least 40% of participants in stakeholder meetings and in trainings are women. • Development of a gender-smart climate financing toolkit	• Number of women, youth and traditionally vulnerable groups consulted. • Number of women trained in LBA and Baobab Microfinance	Y1-Y5	LBA PMU Knowledge Management Expert	€50,000
Output 4.1 (A4.1.2): Strengthen the dissemination and learning of Climate-Smart Agriculture (CSA) practices among key stakeholders and program beneficiaries through the development and implementation of a comprehensive communication and visibility strategy. **Means of Verification:** Baseline surveys, attendance registers, survey/ feedback reports, website traffic data,					
• Development of a communication and dissemination strategy that includes measures to engage women, women's organizations, and women-owned SMEs. • Implementation of communication and dissemination strategy, and awareness raising campaigns targeted at women's groups and women-owned SMEs.	• Communication and dissemination strategy elaborated, • At least 40% of women-led businesses benefit from knowledge sharing.	• Number of women & youth participants in workshops • Number of women and youth success stories highlighted. • Number of women and youth accessing program website	Y1-Y5	LBA PMU Knowledge Management Expert	€50,000

• Document and highlight success stories and case studies among women & youth participants. • Conduct learning workshops, targeted presentations for dissemination of lessons learned to key stakeholders. • Develop program website that includes content and features that cater to the information needs of women and youth.					
Programme management					
Output description: Establish and operate a functional Programme Management Unit (PMU) within LBA to ensure effective coordination, monitoring, and evaluation of all program activities. **Means of Verification:** Meeting minutes, Workshop reports, Project reports					
• Undertake gender audits to assess impact of program activities on gender. • Conduct regular workshops and feedback sessions to ensure the implementation of a gender mainstreamed approach in program activities. • Facilitate training of the Gender Focal Point on international best practice on gender and climate change • Provide Gender Mainstreaming Training, including sensitization of GAP to Steering Committee. This training will also focus on SEAH/SGBV risks, reporting and management.	• At least 40% of workshop participants are women, and 30% youth. • At least 30% of PMU are women.	• Number of workshops organized. • Percentage of women and youth participating in workshops. • Number of women in PMU • Of Gender mainstreaming and sensitization trainings held for the PMU	Programme life cycle	LBA LBA Gender Focal Point PMU	Incorporated into PMC Costs under 'Gender & ESS related PMC'
Grand Total budget					**€ 560,000**